

Bajaj Housing (BAJAJHFL)

Conference call transcripts, oldest-first. 7 call(s). Generated 2026-06-08.

Call: Oct 2024

25 October 2024

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra - Kurla Complex, Bandra (East)
Mumbai - 400 051
BSE Code: 544252 NSE Code: BAJAJHFL - EQ

Dear Sir/Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter and half-year ended 30 September 2024

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 21 October 2024, the transcript of Q 2FY2025 investors conference call has been uploaded on the website of the Company at <https://www.bajajhousingfinance.in/investor-presentation>

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

We request you to kindly take the same on record.

Thanking you,

Yours Faithfully,
For Bajaj Housing Finance Limited

Atul Patni
Company Secretary

Email id: - bhflinvestor.service@bajajfinserv.in
Copy to Catalyst Trustee Ltd. (Debenture Trustee, Pune)

MANAGEMENT: MR. ATUL JAIN – MANAGING DIRECTOR – BAJAJ HOUSING FINANCE LIMITED
MR. GAURAV KALANI – CHIEF FINANCIAL OFFICER – BAJAJ HOUSING FINANCE LIMITED
MR. JASMINDER CHAHAL – PRESIDENT, HOME LOANS – BAJAJ HOUSING FINANCE LIMITED
MR. VIPIN ARORA – EXECUTIVE VICE PRESIDENT – COMMERCIAL REAL ESTATE AND LAP – BAJAJ HOUSING FINANCE LIMITED
MR. NIRAJ ADIANI – EXECUTIVE VICE PRESIDENT, RISK – BAJAJ HOUSING FINANCE LIMITED

MODERATOR: MR. NISCHINT CHAWATHE – KOTAK INSTITUTIONAL EQUITIES

Bajaj Housing Finance Limited
October 21, 2024

Page 2 of 21

Moderator: Ladies and gentlemen, good day and welcome to the Bajaj Housing Finance Q2 FY '25 Earnings Conference Call hosted by Kotak Institutional Equities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch -tone phone.

I now hand the conference over to Mr. Nischint Chawathe from Kotak Institutional Equities.

Thank you and over to you, sir.

Nischint Chawathe: Hi. Thanks, Rheo. Good evening. Welcome to the Maiden Earnings Conference Call of Bajaj Housing Finance Limited. We have with us the management of Bajaj Housing Finance today to discuss the Q 2FY '25 performance. Represented by Atul Jain, Managing Director, Gaurav Kalani, Chief Financial Officer, Jasminder Chahal, President, Home Loans, Vipin Arora, Executive Vice President, Commercial Real Estate and LAP, and Niraj Adiani, Executive Vice President, Risk.

I would now like to hand over the call to Atul for his opening comments.

Atul Jain: Thank you, Nis chint, and a very good evening to all the participants on the call. This is our maiden call, the first call, so that's where our special thanks to all the participants who have joined on this call with us. I'll take the results of the company have been uploaded on BSE, NSE, along with the investor presentation deck, which again, like I'm calling it the first equity presentation deck, what we've uploaded.

I'll refer in first 10 -15 minutes, few salient features of the deck, we'll refer and then leave it for question and answers to be there. I straightaway jump to panel number three, which is on the quarterly synopsis of the results. For the last quarter, the company crossed two significant milestones.

One was listing, of course, and second has been the crossing of INR100,000 crore s AUM in seventh year of the operation of the company, eighth year of the operation of the company. We continue to have strong growth with AUM growth of 26%. Absolute AUM growth was in same range of last two quarters.

PBT growth was 23%, PAT was 21% because of a tax adjustment in the previous year versus the current year, while risk performance continue to remain strong at a GNP A at 29 b ps and NNP A at 12 b ps. From an operating efficiencies point of view, opex to NTI improved to 20.5% versus 22.1% in the last year Q2. On a scalability metric, AUM has come as INR 1,02,569 crores, 26% growth.

From a profitability, PBT was INR 708 crore s and a 20.5% opex to NIM. Asset quality 29 bps and 12 bps of an NNPA. Credit cost was 2 bps, which was because of an overlay release. Net of overlay release, it would have been 14 b ps. Capital adequacy led by because of a public issue towards the end of the quarter, last quarter, has been 28.98 %. I'm moving to panel number four, which is on the business metrics. 26% AUM growth is called out.

Bajaj Housing Finance Limited
October 21, 2024

Page 3 of 21

In between as a subcomponent, home loan had a 24% Y-o-Y AUM growth, loan against property at 18%, lease rental discounting at 28%, and developer finance at 56%. In terms of a portfolio composition, it remains by and large stable with 57.2% as a home loan and close to 10% as loan against property, 19.6% lease rental discounting, 11.7% developer finance, and 1.7% other by and large in the same range, which had been there. Disbursements for Q2 was tad lower than Q2 FY '24, largely led by a decline in transactions in the LRD side of the business for the quarter, because last year same quarter, we had two marquee transactions, large transactions in the lease until discounting business vis-a-vis, that is where the disbursement has been at tad below the last year same quarter. I'll move to panel number

five.

Cost of funds came in at 7.92%, which was five bps higher than Q1 FY '25 at 7.87%, and year on year, 28 bps increase, which has been there. Borrowing mix, largely 44% : 45%: 11%. 44% to the bank, 45% on the money market, and National Housing Bank at 11% has been the mix. On the gross spread basis, on a Q2 FY '25, we had 1.9% gross spread, which was stable from the last quarter, which was a Q1, 1.9%.

Of course, on a year on year basis, the gross spread was 2.3% in Q2 FY '24. NIM at 4.1% in Q2 improved marginally from Q1, which was at 3.9%. However, again, a Q2 FY '24 point of view, it was 4.4%. opex to NTI stood at 20.5%, which is an improvement on 22.1% in like-to-like quarter in the last year. For the first half of FY '25, opex to NTI stands at 20.7% versus 23% in H1 FY '24. I'm moving to the panel number six.

GNP A and NNPA's already called out. Loan loss to average loan assets, 0.02% as of 30th November. However, net of overlay release credit cost is 14 bps. On a ROA, 2.5% in Q2 FY '25, nearly same ROA of 2.6% in Q2 FY '24. ROE, given the capital raise in this number, coming down at 13% in Q2 FY '25 versus 16% in Q2 FY '24. Capital adequacy, for the same reason, jumping up to close to 29% on 30th September, 24, against a regulatory requirement of 15%. Completed IPO process, got listed on 16th September. As of 30th September, out of IPO proceeds of INR 3,560 crores, what was for the company's primary raise, INR 1,500 crores was yet to be deployed and they remained in the monitoring account. It's expected to be utilized during October 24.

Profit after tax already called out, moved up by 21% against a 23% improvement in the profit before tax. I'm moving to the panel number 14. The strategic differentiators of the company, since this is the first presentation, there are four, five differentiator, what we put as a company differentiator.

First is a scalable balance sheet, because we are constructed for scale and that is where prime housing and lease rental discounting work as a scale builder for the company, which is reflected in last seven years track record, starting a new company to a INR 100,000 crores balance sheet. We are constructed as a low risk business model, which is underwritten from a robust underwriting and generating a risk management performances, also from the type of asset what we choose to lend.

Bajaj Housing Finance Limited
October 21, 2024

Page 4 of 21

We are constructed for medium return, which we balance the portfolio mix between operating business segments and sub-segments to deliver a medium return to the shareholder and all products suite of mortgage and within all transaction types, all sub-segments, prime, non-prime, we address, while the relative weightage on each segment can be plus or minus depending upon our risk return point of view on a segment.

Borrowing mix, a diversified borrowing mix between banks, money market, NHB, and a focus on enhancing floating rate mix is a strategic differentiator.

I'm moving to panel number 16, which is a quarterly financial snapshot. We have discussed the prime points, only point out is on the half yearly performance, 26% AUM growth, 20% pre-provisioning operating profit growth, profit before tax growing at 21%, PAT growing at 13%.

I'm just reminding last year in quarter one and quarter two, we had an exceptional tax release of previous year tax write backs. That is why the profit after tax growth is lower than the profit before tax in the first half. Moving to panel number 18, on the key financial trends, on the gross spreads, gross portfolio yield remains steady at 9.9% from a one year Q2 FY24 to Q2 FY25. Cost of funds have inched up from 7.6% to 7.9% over the same period.

Gross spread from the same period 2.3% to 1.9%, but stable from last two quarters, nearly stable from last two quarters at a 1.9% to 2% in last three quarters. Operating efficiencies g

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opex to NIM moving down to 20.5%. and NIM slightly inching up in last two quarters, going near to the Q3 FY '24 at a 4.1%. Asset quality remains stable from a GNP A and NNPA point of view and return ratios, return on equity coming down because of equity infusion. While return

on asset climbing up.

Moving to panel number 19, which is a borrowing mix, 44% as a bank borrowing, 43% as a NCD borrowing, and 1.6% as a CP borrowing, and 11% as a NHB borrowing is by and large a mix with focus on a longer tenor funding through money market and NHB refinance and we have an active relationship with 17 banks on the bank line basis.

Moving to panel number 21, the sustainability ratios for the company. On a leverage ratio, our threshold is 8. We are depicting last four quarters. Of course, right now the leverage ratio has come down because of a rights issue in the first quarter and then followed by a public issue in the second quarter. But that's the ratios we will track at 8 times leverage ratio as we go on. And capital adequacy from a regulatory threshold of 15%, of course, has inched up significantly because of a Q1 and a Q2 capital raise.

I move to panel number 22, which is depicting the portfolio mix over last one year, Y-o-Y, and also from September '23 to March '24 to September '24, by and large stable. 1% differential coming in, in the home loan mix going down and a 2% growth in the developer's construction finance portfolio over a one year period. Other assets are lease rental discounting remaining stable as a part of a portfolio, loan against property going down by around 1% over the period. Moving to panel number 27, on our asset quality trend, Stage 1 assets remaining by and large stable, 99.21 % from Q4 FY'23 to 99.39 %, 99.37 %, 99.35 %, a stable range over last six quarters. Stage 2 assets coming down from a year-on-year perspective from Q4 FY'23 from 0.57 % to Bajaj Housing Finance Limited
October 21, 2024

Page 5 of 21

0.32%. Provisioning coverage ratios, PCR on Stage 3 assets, remains range bound on 57%, 58%, 59%. GNP A, NNP A numbers we have spoken about.

I come to the last slide where I'm pointing, which is at 29, panel number 29, which gives an asset wise breakup on the GNPA's, NNPA's on an asset breakup from a home loan to loan against property to the other loans. This is what I have from my side. Thank you for patient listening. I hand over to you Nischint

Moderator: We will now begin with the question-and-answer session. Anyone who wishes to ask a question, press star and one on touchtone phone. If you wish to remove your cell phone from question queue, press star and two. Participants are requested to use handsets while asking questions. Ladies and gentlemen, we will wait for a moment, while question queue assembles. To ask question, please press star and one.

The first question is from Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Hi Atul and team, thanks for giving me an opportunity and Congrats on the results and the listing as well. I have a few questions. One is, what was the disbursement growth in the home loan segment for this quarter, for the second quarter, and also if you can tell me for the first half?

Atul Jain: So, I have readily available on the Y-o-Y numbers. On the retail side, the disbursement growth was close to 7% while on the commercial side the degrowth was of 9% on a Y-o-Y number. We can check on the quarter-on-quarter numbers and come back to you. My assumption is it will be by and large stable but we can come back to you on the specific number. Y-o-Y numbers, we have kept ready for the quarter.

Raghav Garg: Home loan you're saying 7% Y-o-Y disbursement.

Atul Jain: We break it in retail and commercial rather than breaking it on the segments. So on the retail and commercial which is construction finance and your lease rental discounting versus a home loan and a loan against property

y. But in any case, as an AUM growth also Y-o-Y is given of all the segments, which is by and large stable, barring construction finance, which has risen more. Other 24% is a home loan Y-o-Y AUM growth versus 18% loan against property, 26% lease rental discounting, and a 58% there in DF. At an overall company level, 26% growth. But we can come back to you on the quarter number if you're interested.

Raghav Garg: No problem. And how are you looking at the disbursement growth in the retail side for this year as a whole?

Atul Jain: Raghav, We are operating in one -- a bit of a construct because we are yet not out from the publicity guideline for future looking there. But I'll say that we are, because we are still in regulatory silent period, because this is a 40 days as advised by legal counsel to us. But we'll be by and large stable. We are not seeing any major changes in the disbursements as we go forward. In fact, our view is that we should be as our SBU of a near prime and affordable is kicking in, we should see a growth picking up a bit towards in the retail segment. Because so far it is largely Bajaj Housing Finance Limited
October 21, 2024

Page 6 of 21

led by prime, but with the affordable and near prime segment now started delivering numbers, as we go forward, we should have a pickup in the retail numbers.

Raghav Garg: Atul, the only reason I was asking is that you've done 7% for this quarter and given your AUM growth has been at around 26%, a single digit growth would largely mean that the AUM growth slows down further. That's the broad idea that one would get. So, hence that question.

Atul Jain: Raghav, that 7% is a past quarter when we are seeing Y-o-Y on the retail side, but that is already reflected in the AUM growth number what has come, because AUM growth number is also given at a segmental level. So I think that is a reflection of the numbers.

Raghav Garg: But as your base grows larger, those concerns -- that's one of the concerns which may be there, that's all.

Atul Jain: I think you're making a statement of -- as the base grows larger, yes, of course, disbursements need to grow faster to maintain the same AUM growth. It's a mathematically correct statement that's what you're making. But that is what we are there for. We'll try what we have to do, what we have to do. I'm trying to bit balance the response. Like I said that since we are under a publicity guideline, not to give too much of a specific future forward-looking numbers, we can't share, that's why I'm trying to moderate my response.

Raghav Garg: Understood, that's fair enough. Another question is how much further can the cost of borrowing go up from -- because I was looking at some of the NCD data for you and some of your low-cost borrowings are maturing in next couple of quarters. So, you know, just in that backdrop, what is your expectation of further increasing...?

Atul Jain: In the cost of fund side, by and large, whatever you can say the implication of either the earlier low-cost NCD maturing or the pricing, the peaking out of the pass through in the cost of fund, that has happened. Whatever we are seeing a bit of an uptick in the current quarter is largely because of a -- you are aware in last three-four months, there has been an MCLR increased by the banks. There has been all the banks, most of the banks have increased MCLR.

It is not catching up, whatever increases in the Q2, because whatever caught up has to be happened has happened. There are very little number of -- I'm not even sure it is in single, it will be less than INR 300 crores, INR 400-odd crores of a kind of a low-cost NCDs earlier, which are yet to be retired. Otherwise, everything is now -- structurally, it has got picked up. It has structurally got picked up.

Raghav Garg: Understood. And I'm assuming, since you're in that 40-day period, you're also not allowed to speak about your credit

cost guidance. Is that correct? Otherwise, my next question would have been on that, given that the current quarterly run date seems too low.

Atul Jain: So quarterly run rate, like we called out, the 2 bps is looking like from, because of an overlay release, a net of overlay release, we are by and large been stable in last four, five quarters of a 14 to 16 bps of a credit cost, net of overlay release. We don't see any reason, because stage two assets have remained at a low level, or have come down over the last one, one and a half year

Bajaj Housing Finance Limited

October 21, 2024

Page 7 of 21

period. We are not looking to look at a very differentiated, or any significant change in the credit cost numbers as we go forward, net of overlay release.

Moderator: Thank you. Next question is from Deepak Gupta, from SBI Pension Funds. Please go ahead.

Deepak Gupta: Good evening, sir. Thank you for taking my question. My first question is on loan sourcing strategy for the company. If you could give us a sense, what percentage of loans, on-book and incrementally, are being sourced from the branches of Bajaj Housing, versus DSA? And in DSA, what would be the share of Bajaj Finance?

Atul Jain: Deepak, so what we source, there is no -- in our kind of a sourcing, because we are largely in the prime segment, our branch is not sourcing there. So, branch is largely a front office, where our front office salespeople come and operate from. We largely source at the counter, at the developer counter, or through the distribution partner.

So, in that sense, and we largely in our main cities, where we operate larger part of the business, we operate from BHFL branches, not from BFL branches. Both companies have different branches. Only in some places in the rural market, we take space or a subspace from Bajaj Finance branches to operate, but that's not a BFL branches organization.

It is our people who may have been sitting in the BFL branches as a cost-sharing basis, where we don't have sufficient number of people. So, the entire sourcing by BHFL, not by BFL. If the question is pertaining to the ETB mix of the Bajaj finance, because we get consented customer on the digital leads or on the franchise customer of BFL, that sourcing in the home loan side will be between 12% to 15% kind of a sourcing mix, which remains by and large stable.

Out of the home loan disbursements, whatever come through, 12% to 15% disbursements come from consented customer digital leads basis from what comes from BFL to us. At a distribution side, there is no overlap between two companies. Both companies mobilize business separately. So

whatever business we see from a distribution for BHFL is a BHFL mobilization, not a BFL mobilization.

Deepak Gupta: So, I hear you, sir. And my next question is on the fact that, given the fact that now Bajaj Housing is listed and is arm length between Bajaj Finance and Bajaj Housing, can Bajaj Finance also do similar business as Bajaj Housing?

Atul Jain: See, Bajaj Finance already does loan against property business because both companies have their own strategic constructs. Bajaj Finance does the LAP business to primarily meet their vast SME -customer franchisee requirement and to deepen their relationship with these customers.

In BHFL, we primarily look at LAP for incremental returns because we are a housing finance company, overall construct from a regulatory construct, we have to have a majority of the assets in the individual home loan, 50% plus, plus the residential assets have to be 60% plus. So, for us, LAP and LRD are a mix of opportunity base. So it comes as a lower priority for BHFL.

Bajaj Housing Finance Limited

October 21, 2024

Page 8 of 21

BHFL has its own space, own priority. BFL has its own priority. So, both companies are not guided by each other's priority. So that's where BFL already does a significant amount of a LAP business from quite

some time, not from today.

Moderator: The next question is from Viral Shah from IIFL Securities. Please go ahead.

Viral Shah: Yes, hi Atul, congratulations BHFL team. I had one question, I'll just ask that and then maybe I'll come into the queue later on if at all time permits. So, I see your employee count has been reducing since last few years, and also in the first half, it has reduced. So can you tell us like what is the data on the off -role employees? Are they exclusive to us? And like, what are the roles that they perform?

Atul Jain: So, thanks, Viral. What we, in our case, what we have done is that we have changed our strategy of entry -level non -managerial positions. We have shifted to contractual employees around a year, one and a half year back. That's why where you see the employee numbers coming down because all the replacement and all the front -end manpower comes through the manpower outsourcing arrangements through a partner.

So, if you have to, the employee numbers have come down, but if you look at the total number of people deployed, if I have to add the contractual employee, we would have gone up by almost close to 400 people in between March '24 to September '24, because more of our contractual employees, outsource employees have come in than the reduction.

So, the reduction in the on -role employees, if I have to call out in last six months, would be close to 252 because of normal attrition and all new roles which get created or get refilled or gets created on the contractual side, while on the contractual side increase would be 700. So net increase of close to 400 450.

Viral Shah: Got it. And I believe you won't be able to share the numbers as of now because of that restriction?

Atul Jain: I shared the numbers right now, the number of employees, when you have asked the number of employees, I said that in last six months, total number of employees, including outsource, has gone up by close to 400.

Viral Shah: But you won't be able to share the absolute number, the off -role numbers?

Atul Jain: Off-role numbers are, we can, you give us some days to share the absolute number, but in any case, if I'm calling out that 400 numbers have gone up, you can.

Moderator: Thank you. The next question is from Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes, hi team, congrats on the quarter and the successful IPO. Just one question on your floating rate loan. So, what percentage would be repo -linked versus internal benchmark -linked? And how are you thinking about pricing in a repo -rate cut environment?

Atul Jain: So, in terms of our repo -rate, I'll give you the specific number. I think close to INR 15,000 crores – could be, INR 13,000 crores asset could be repo -linked, which is match funded by repo -linked liabilities. Close to match funded by repo -linked liabilities. So, there is, if your question is on

Bajaj Housing Finance Limited

October 21, 2024

Page 9 of 21

the spread management as a repo -rate cuts down, it's completely hedged or balanced. In that sense, from wherever, whatever the repo -linked book is there, the same is backed by repo -linked liabilities, largely.

Piran Engineer: And your internal benchmark moves over time with repo, or how does it typically move?

Atul Jain: Internal benchmarks are linked to our cost of fund movement. Internal benchmarks are linked to our cost of fund movement.

Piran Engineer: Got it, got it. Could I squeeze in one more question?

Atul Jain: Yes, please go ahead.

Piran Engineer: Yes, okay. Just on the disbursement growth being only 7% in retail, is that more of conscious decision with regards to pricing or asset quality, or is it a genuine end investor sort of, or end home buyer slowdown?

Atul Jain: No, so there is no concern on the credit cost side or the sales side. The numbers are there. There is no, nothing what we are envisaging or seeing as far to go d

own in terms of their disbursement.

Rather, so my request to you would be to look at, because the earlier question was also towards the disbursement growth.

Probably the portfolio AUM growth is a larger number to look at in the, as far as, you know, mortgage business is concerned. Disbursement growth sequentially or at a number wise is, in our sense, less important than the AUM growth. I'll say at a AUM growth level in the retail also, at a Y-o-Y and a home loan at a 24% AUM growth level is a significantly okay number.

So, we don't see, so there is no conscious decision to slow down or not. It's not being slowed down, whether from a credit point of view or from.

Piran Engineer: No, like competition, like that's what I meant?

Atul Jain: Competition in any case remains very intense. Competition in the home loan, in the prime home loan remains very intense, which all of us remain. But that had been the status from last six seven years, ever since we started the business and expected to remain intense. We don't see any change in the competitive stance or our competitive stance or our appetite to grow or our ability to grow.

Moderator: Thank you. Next question is from Abhishek M from HSBC. Please go ahead.

Abhishek M: Yes, hi. Thank you for taking my question. So two questions, one on provision. So just back calculating, I think the current run rate of overlay utilization is around INR30 crores a quarter.

If we just go by this then maybe in the next one - one and a half quarters the existing overlay gets exhausted. So suffice to say that next year we should be around this 14 bps, 15 bps kind of run rate of provisions. That is a normalized run rate of provisions that should continue, right?

Atul Jain: Yes. So Abhishek, rightfully because the overlay now remains only INR10 crores, because INR44 crores is inclusive of macro overlay. Till that, because as an ECL policy that is not a Bajaj Housing Finance Limited

October 21, 2024

Page 10 of 21

INR34 crores is a part of a macro overlay at the overall ECL policy. So that the discretionary overlay remains only at INR10 crores.

At a INR25 crores release last year, last quarter it has meant 14 bps of a credit cost if we normalize that. If you look at last four five quarters other than the period when we had used the overlay release to increase stage one non-delinquent coverage point of view, the credit cost has been by and large in the range of 14 to 17 bps hitting 14 to 17 bps in last four five quarter and that's what normally we should be looking at, because as the overlay release is remaining of a INR10 crores which is available now.

Abhishek M: So that normalization may happen quicker, maybe by next quarter itself because the remaining overlay is just INR10 crores?

Atul Jain: Remaining overlay is only INR10 crores, so 14 bps to 17 bps is the buy and large the credit cost corridor if you look at last four -five quarter normalizing overlay release, normalizing any enhancement in the stage one asset cover which comes as a credit cost, but we strengthened in a lot of places of a stage one cover as we had the overlay. As we had the overlay, we used that overlay release in a few quarters to strengthen stage one coverage.

Abhishek M: Got it. That's clear. The second question is just some data keeping questions. Can you share the disbursement mix in the quarter? And just a request - just maybe if you can include it in your deck for future quarters that will be really useful, but can you share it for this quarter the INR12,000 crores, how is it split between HL LRP, LRD and developer finance?

Atul Jain: Abhishek, we'll take a call on inclusive of the data point. Right now, I'm not having the data point right now ready because like I said in the earlier question also we largely go by more by AUM growth, whether when we look at a monthly internally or a quarterly internally, less of a disbursement. But if that

is a requirement from most of the analysts, we'll start having the data ready when we come back.

Abhishek M: Sure, because the flow helps us understand the direction actually. It's actually slightly more important the stock we can sort of derive. But just to get a sense, if I look at the AUM mix, would the retail disbursements be lesser than the mix of AUM and corporate, the developer finance and LRD would be higher than the percentage mix of AUM. That is how it should play out, right?

Atul Jain: Because the AUM mix is also published which is from a 1 year to 6 months to now. AUM mix is by and large stable 1% drop in home loan mix which is on the panel number 22, if you refer

which is September 23, March 24 and September 24. The AUM mix at a home loan is dropping by 1%, but LAP is also dropping by 1%. LRD remains stable and the developer finance has gone up by 2% from a AUM mix point of view. But the majority of the book still 57 % plus 10 % LAP remains retail.

So it cannot be, commercial cannot have the more share because 57.2 % plus 9.8 % which is 67% of the book is still retail in that sense.

Bajaj Housing Finance Limited
October 21, 2024

Page 11 of 21

Abhishek M: Right. So incrementally growth is - how long can this growth happen from commercial or rather developer finance and LRD or when does growth in home loan disbursement, loan against property when do you have to start growing it at par with LRD or developer finance, that's my basic question because right now it seems to be growing slower.

Atul Jain: So, Abhishek, home loan in the again at AUM level which has gone 26%, home loan has gone by 24%.

Abhishek M: No, I'm asking about disbursement, actually?

Atul Jain: But disbursement, okay like I said that, we'll start putting disbursement because disbursement, more than disbursement AUM is the relevant number, but we'll start putting our disbursement numbers on that because disbursement numbers are an indicator for AU M growth number. Because eventually earning is on AUM for the company, but we'll start putting out the disbursement numbers from next quarter onwards.

Abhishek M: Sure. Okay, thanks. I'll come back in the queue.

Moderator: Thank you. The next question is from Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Hi Atul. Hi Gaurav. Congrats on the successful IPO. The first question is on the developer finance book and the LRD book. When we talk about the active customers or active developer relationships, are these unique corporate houses or how many unique corpo rate houses would we have in each of the book? That's the first.

Second is, what is the exposure of our home loans and the developer finance book to luxury housing which is probably around INR4 crores plus in MMR and maybe INR2 crores plus in rest of India. And the third is a subset of this question. What is your view going forward on luxury housing growth because we're seeing a lot of launches in this sector?

Atul Jain: Sorry, Shubhranshu, I got your first question which was on you are wanting to know the corporate developers for the developer and the LRD book is there. So I'll answer that question and third question I've understood. In second question, I was not able to hear correctly. But the first question which remains which is what we have given as a number of projects and also developer relationships as well which is given out in the deck in terms of the developer finance book is represented by how many nu mbers.

Generally, lease rental discounting and developer book is not much of over 20, panel number 26 which gives the active developer relationships of 451. So 693 projects represented by 451 developers. So it is in that sense.

Shubhranshu Mishra: No, what I'm asking is out of these 450 developers, how many are unique corporate relationships? I mean, do we have three or four major exposures?

Atul Jain : No, when we call a develope

r relationship that means if there is a one person who owns multiple entities is called as one. So 451, when we are seeing developer financing, that is then in that

Bajaj Housing Finance Limited
October 21, 2024

Page 12 of 21

sense in your question, you can say it's the 451 corporate relationships or the developer relationships which means -

Shubhranshu Mishra: Unique in that sense?

Management: Yes, 451 are unique. That's why it's 451 representing 693 projects. So that's how, so there can be people having multiple projects or the same person in the same entity exhibiting multiple projects where we have a exposure, 451 are unique developer s. Same way in the lease rental discounting, 264 are the unique relationships. So there in your same example, if one corporate house has three entities wherever three relationships, it is counted as one. 264 is counted as one.

Shubhranshu Mishra: Understood. My second question was what is our exposure of luxury houses roughly on INR2 crores plus in rest of India and INR4 crores plus in developer financing and home loans?

Atul Jain: So largely in terms of a disbursal side in the home loan side, generally INR 2 crores and plus would be constituting maybe around 15% odd. I don't have a specific number right now. I think that's a approximate number, but we'll check that number of INR 2 crores plus because largest number of disbursals are our average disbursals in the prime housing space because there are

various pieces of business. There is affordable near prime housing in the rural where the ticket prices are low, but if you have to talk about the prime housing, their average disbursement size comes at close to 70 odd lakhs where the larger part of the customers remain between 40 lakhs - 45 lakhs to close to INR 2 crores to INR 2.5 crores. Above INR 4 crores would be very minor part in the retail side very minor part. And in the developer finance as well largely the customers who would have funded above INR 4 crores unit size would again be very, very marginal. We are largely, because we do developer finance for two purposes. First purpose is to act as a funnel for home loan. Largely in luxury housing, it does not act as a funnel for home loan.

So that's where the portfolio mix would be very, very marginal for luxury housing. Above INR 4 crores, if you're talking, in the luxury housing?

Shubhranshu Mishra: Above INR 2 crores in construction finance, what would be the exposure?

Atul Jain: I won't have the ready numbers right now for me to answer. But you should assume majority of the book is towards less than INR 2 crores. Major part.

Shubhranshu Mishra: My last question is about your view on luxury housing growth going forward?

Atul Jain: I would -- We are very small compared to the industry. So I'll desist from giving an industry view in terms of how the industry is going to grow. We believe, as of today, in a general view, what my personal view would be that all segments of industry have large leeway to grow, but I'll desist from making an industry comment.

Moderator: Next question is from Kunal Shah from Citigroup.

Kunal Shah: Congratulations for listing and thank you for taking my question. So with respect to the lease rental, the way the ticket sizes have been going up now, we are almost 103 compared to less than 60 few years back. So what size? Is there any particular ticket size we would be comfortable

Bajaj Housing Finance Limited

October 21, 2024

Page 13 of 21

with? The developer housing, we have managed it less than INR 50-odd crores in terms of eight years. So anything out there.

And related to that, when we look at it, almost zero stage two, stage three, and developer finance also hardly anything. But when we look at the history, maybe the players in this segment, asset quality has been quite patchy in terms of when the cycle turns. So any plan to create provisioning at any point in

time?

Because today it's almost like a zero provisioning on this INR 25 crores, INR - 26,000 crores of the book. So now what would be your view in terms of provisioning in these two segments?

Atul Jain: So there are two questions what you have asked, Kunal. First is on the LRD average ticket size versus developer finance average ticket size. Because in lease rental discounting, it's largely marquee customers and a very large funds and even the REITs, which are the customer, the ticket sizes are significantly higher than the construction finance.

Because in construction finance, there is an execution risk versus in lease rental discounting, there is no execution risk. We don't have a particular ticket size in mind, which we target in lease rental discounting. But of course, since we target the upper end of the customers, because majority of our portfolio is in the grade A commercial, which is leased out to largely whether a Fortune 500 MNC companies or a large Indian corporate.

So the ticket sizes tend to be higher because of the type of collateral and the type of customers we target. The number of average ticket size is an outcome. We remain open to a very large ticket size is also in lease rental discounting.

In the developer finance, in the construction finance, given there is a construction risk also, which gets embedded in the system.

We try to be as granular as possible, which is reflected in the average ticket size and average outstanding per project because of the method, the way we underwrite and the way we disburse, which is on linked to the stage of construction and also the sweeps what we start from the day one. That's where at the outstanding level, at a project level, you will see it at a INR 17 crores, at a developer level INR 26 crores versus even a sanction amount of a INR 46.6 crores or kind of a crore number.

That is on the ATS. On the history and the asset quality and the provisioning what you're talking about, see in lease rental discounting at a INR 14,000 crores book, the provisioning in the stage one is INR 85 crores, which is from a historic point of view, since we do not never had any stage two or a stage three asset, I think 0.61% kind of a ECL provisioning is significantly higher provisioning than whatever ECL models do that.

What I was calling out in earlier question that whenever we used in two quarters to strengthen stage one provisioning because of an overlay release, we use that here because there is, while as a historical on an ECL model, there is no loss number or a loss percentage which will get calculated on lease rental discounting but the 0.61% what you can see from panel number 28.

Bajaj Housing Finance Limited

The provisioning is 0.61% on an entire stage one asset. There's no stage two and stage three assets, it's more than adequate in our assessment. Same in the developer finance, it's a 0.62 %, we carry that, we believe 0.61 % and a 0.62 % at a stage one asset provisioning is a reasonable bit.

On the asset quality cycle, Kunal, I have to call out that we believe the way we have done construction finance in terms of a granular book, we can't say that in any downturn, there will be no, nothing will happen. But by and large, if you look at just, what you're referring for the people who have the problem and during the industry down cycle, I'll only request you to compare the average outstanding per project and average ticket size per project and number of projects they had for the size of the book will be a rightful reflection because we believe the way we do granular disbursement, disbursement is linked to the stage of the project and not overwhelming concentration. We should be better off even in an industry down cycle and we have tested the industry down cycle earlier as well while we were smaller at that time but our in history of our -- we have funded more than 1000 projects in our

history. So far, there had been only four projects where we had encountered troubles and in the entire history of a seven year, out of that one or two we recovered later on and one or two which are reflected in the stage two or stage three as well as of today. That's what Kunal I had to say.

Moderator: Thank you. Next question is from Pranav Gupta from Aionios Alpha Investment Advisors.

Pranav Gupta: Hi and thanks for the opportunity. Congratulations on the successful listing. For this one question, which is a more longer term question, with no large changes that we can expect in the asset mix, how should one think about long-term ROA and think about optimal leverage over a three, four, five year period?

Atul Jain: So, Pranav, that is what we have put in our presentation in the panel number on when we give the sustainability matrix at our leverage. Panel number 21, we believe 8 is the leverage which is a sustainable leverage metric and that's where as we go forward, as we utilize the capital, what has been there, we can see that before it is when we look to raise the capital.

Pranav Gupta: Right, and just on the ROA bit, with leverage going up, capital getting utilized and no major changes expected in the asset mix, how should one think about ROA going forward?

Atul Jain: So, in the last quarter, ROA, the capital raise has had a very minuscule impact because we got listed only on 16th September. So, 16th September and that also, like we have called out in the presentation, a INR1500 crores as of 30th September also was unutilized. So, there was a minor impact of a ROA in the capital raise in the last quarter.

So, it's not that the last quarter ROA is driven by the capital raise of last quarter. And if you look at the overall broader number as well, on the trajectory of ROAs over the period, I think that ROAs had been in the range of between 2.3% to 2.5% by and large over the various -- if I exclude FY23, it is largely in the stable range of between 2.3 % to 2.5 %, 2.6% ranging between in a quarter going up or going down slightly a bit. It has been largely stable in the last two - three years.

Bajaj Housing Finance Limited

October 21, 2024

Moderator: Next question is from Renish from ICICI. Renish from ICICI, you may go ahead with the question. There seems to be no response from the line of Renish. We'll move to the next question.

Next question is from Jignesh Shial from InCred Research.

Jignesh Shial: Hi, thanks and congratulations for the successful listing. I only had one question. Bajaj Finance has a particular product called Flexi Loans, which is an OD facility, which has been provided as a personal loan. Do in a home loan, we do Flexi Loans? And if yes, then what will be the proportion of it? Just that's the only question.

Atul Jain: So Jignesh, in home loan as a regulatory construct, you cannot do Flexi, because if the customer pays back to you, then it gets to be classified as a non-home loan. Only in few of the loans, if it is a balanced transfer and you are opting for a top-up, in a top-up, it can be offered as a OD piece, which is not classified as a home loan, because that's classified as a top-up.

It will be a very minuscule part of the portfolio, because only in the few customers who would have some top-up, they may have some amount of flexibility. It will be negligible as a Flexi in the home loan side.

Jignesh Shial: Okay, so my understanding is that then all of our home loans are pure term loan kind of product.

Atul Jain: Yes, it has to be term loan, Jignesh.

Jignesh Shial: Okay, and no Flexi in LRD and corporate also, right?

Atul Jain: No, Dropline Flexi would be there in loan against property, because there's no regulatory standing there, and I specifically called it in a home loan and a construction finance with a residential finance book, because there will be no Flexi or a very miniscule Flexi

in the top -up

portion. Out of 57% of the book, I think less than 8% or 9% is top -up book. A miniscule piece in the home loan side. Nothing in construction finance. In lease rental discounting, there will be some piece of a drop -line Flexi, which will be available to the customer, because it's a non -home loan asset. You are regularly allowed to do that. Same in loan against property as well.

Jignesh Shial: So LAP will be, what portion would be then Flexi? And any rough -cut idea?

Atul Jain: I'll have to check, with, but majority of the book, there also will be term loan. Small portion. Majority will be term loan.

Jignesh Shial: That's it from my side. Thank you and all the best, sir. Thank you.

Moderator: Thank you. The next question is from Omkar Kamdekar, who 's an individual investor. Please go ahead.

Omkar Kamdekar: So, first of all, I wanted to ask, what is your definition of affordable with respect to affordable housing loans?

Atul Jain: See, Omkar, the definition of affordable, there are various definitions. That 's why we call prime and non -prime. That 's why we call it a near -prime and affordable, because the definition, there's no standard definition of industry or players. So we follow a simplistic rule. Whatever is not

Bajaj Housing Finance Limited

October 21, 2024

Page 16 of 21

prime is a near -prime or affordable. There's a wide variety of definitions of affordable which is used, there is no standard definition what we can refer.

So prime is easier to define the customer who is easily bankable by all banks and largely salaried, a good salary with a good FOIR and buying a very good collateral and rest of the market is in a spread between various parts. That's why we prefer to call it a prime and a non -prime rather than terming it anything else.

Omkar Kamdekar: Actually, I was asking from the perspective of the PMAY guidelines. So if do go for the growth for the affordable housing sector in that segment, so do we look at the same guidelines, the same way that it is defined by the government in the PMAY ? So that was the reason behind that question.

Atul Jain: So last time also when the PMAY CLSS -Credit Linked Subsidy scheme was there, we were a participant. We may not have been a very large participant because by definition, our larger amount of our customers are above the 25 lakh loan criteria, what are there. But all government schemes, we participate heartily and we try to mobilize as much as possible because we take it as an opportunity to grow a part of the business and also we feel it is our responsibility to take the schemes coming from governm ent or the regulator or supervisor to convey to the market. So as PMAY guidelines execution starts, we'll be doing our best to mobilize what we can mobilize. But by nature, or by definition, today our mix is significantly lower in the segment where PMAY guidelines are applicable, the new CLSS guidelines are applicable.

Omkar Kamdekar: Understood and just two final things. How much of scale -up do you think as a total percentage of the AUM would this affordable be in the next three to five years? That's one. And lastly, on the LAP vertical, with respect to the idea being tied on the end -use monetization of the LAP vertical. So what I wanted to understand, how are we monitoring and what is th e guidance that you use with respect to making sure that the provisions that you use are well ahead of the regulatory guidelines?

Atul Jain: I did not fully clearly understand your question, Omkar, but I'll answer on what I could. One of your questions was on the forward -looking mix in terms of a prime and a non -prime home loan mix. Like I requested earlier, we are since in a silent period. We' ll desist from making any future - looking statement as of now, but that is on the second part. If I got you correctly, it was on your LAP utilization of funds and the monitoring of funds. Is that ri

ght?

Omkar Kamdekar: Yes. So, I'm a bit more stringent about trying to identify how the funds for the LAP are specifically unsecured. So, we don't have unsecured, but the end -use monetization for the LAP business vertical. And most of it, the business that we do in the LAP, is this more towards consumption select for business entities and etcetera? How is that vertical in that respect?

Atul Jain: So, LAP, see if it's largely, most of the LAP loans go towards the self -employed segment, which is towards as for the declared end -use funds is whether for business purposes, which can be growth capital and the working capital. Of course, the tracking is a s from a self -declared kind of a thing, it is individual. It's not very high -ticket kind of a loan.

Bajaj Housing Finance Limited

October 21, 2024

Average ticket size is close to 80 lakh to one crore kind of a number. From the individual salaried people who are using it, I'll assume that largely while it's going from a consumption or the personal usage of the account and that's basically the declared purpose, what they give. Because these are individuals who are borrowing. So, this is a declared purpose and that's where we track it.

But largely, most of it would be going in the micro, medium, and the small sector, their business requirement. To the salaried individuals who are taking the LAP loan, would largely be towards consumption is the direction.

Moderator: Thank you. The next question is from Rahil Shah from HSBC.

Rahil Shah: Thank you for taking me on the queue. So, I just wanted to understand the indicative yields on your different segments, so home loan, LAP, construction finance. Can you give a sense of like a range?

Atul Jain: Sorry? For indicative range on what?

Rahil Shah: Lending rates on the home loan, LAP, and construction finance and LRD.

Atul Jain: I'm sorry I cannot share this data, but broadly, I can say on the yield would be in the home loan, between close to 8.8 % to 9.2 %, on loan against property between 10 % to 10.5%, broad, on lease rental discounting between 8.5% to 9%. That's what, and the developer finance between 11.5% to 12.5% or 13 %.

Rahil Shah: Okay. Sure. And just between LRD and construction finance, based on your risk tolerance, the mix till what share between those two, would you be comfortable. I'm just trying to understand whether the share of LRD can increase further, or this is something where the company would be comfortable managing the work.

Atul Jain: We remain bullish on lease rental discounting because in our assessment, this has remained always a very low risk business and a scale business, delivering optimum kind of returns to the company and with risk profile being very low, given the choice of the customers and since it is in a way, doubly secured, both cashflow secured, because cashflows are secured along with the executed property or executed the project or executed building, which is there.

So, there is no cap we have as far as we look at from a lease rental discounting, but there is a different kind of a cap which comes for us because as a regulatory norm, 60% plus of our total assets, which means close to 62% to 63% of our loan assets have to be in the residential space. Because 60% of total assets, then there is a liquidity buffer, which also gets included as an asset. So, the balance assets is only what we can lend for basis the opportunity or risk return metric, whether loan against property or lease rental discounting or some other what we can do.

So the cap can come from that point of view, because if we continue to feel, as of today, our view had been that between loan against property and lease rental discounting, risk return metrics had been better for lease rental discounting. So we have chosen to grow lease rental discounting more. However, one from an upper cap point of view from the regulatory concept, second

is loan

Bajaj Housing Finance Limited

October 21, 2024

against property in future becomes much more attractive, it can have some mixed change. But from a business concept point of view, we remain very bullish on lease rental discounting. From a construction finance, we largely do construction finance for a funnel for our home loan business, which is close to now 11.7 %. Our internal view as of today would not to exceed 15 odd percent kind of a mix in this business as we even go forward. That is what I repeat to all.

Rahil Shah: Ok, sure. This was very helpful. Thank you.

Moderator: Thank you. The next question is from Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: Yes, hi. Thanks for taking my question.

Atul Jain: Jigar, we are sorry. I'm not able to hear your voice is breaking quite significantly. If you are using a speaker, I'll say if you can use a handphone.

Jigar Jani: Yes, sorry about that. So I was asking regarding the provision coverage ratios. So we have seen from Q1 FY '23, the PCRs on stage 1 dropping from about 0.6% to now about 0.34%. So do we have a minimum criteria beyond which we will not drop the stage 1 PCR or we will be driven by the model itself? Similarly on the stage 3 assets as well, so it has fluctuated between say 58 to at max 66 also. So any internal limits beyond which you will not drop the PCRs on stage 1 and stage 3?

Atul Jain: Yes, so first on the stage 1, it is driven by largely ECL model. The level you are saying dropping is because of we were carrying the overlay. As the overlay is getting consumed, it is coming as a normal stage 1 provision. So there is no model fluctuation which is happening here. It is only as the overlay is coming down because overlay fits as a part of a stage 1 coverage. So there is

no otherwise model changes or a model coverage change or a dropping of the coverage. It is absolutely in line with whatever is from a excluding overlay, ECL comes as a model which gets refreshed every year and there has not been any changes in the scheme.

But on the stage 3, as per ECL model, the number of LGD is significantly lower, but we generally provide for higher kind of a number as the vintage goes up because all are secured one, but we still try to do that. But again, the range bound will be 50%, 60 %. 50% to 60% is what against a model of close to around 40% -odd but 50% to 60% is a PCR on a stage 3 asset what would largely be there. And for stage 1, like I called it, the number remains stable. It's only the overlay adjustment is what is making you look like the stage 1 provision coverage is going down.

Jigar Jani: So now, since the overlay is almost demolished, this should be steady state basically, what we are seeing in the quarter?

Atul Jain: This will be steady state depending on the asset mix, because ECL stage one is different for each different asset. We provide for much higher stage 1 for if it is a commercial asset, whether a lease rental discounting or a construction finance versus a stage 1 asset provisioning for, let us say a home loan and which is visible if you look at the panel number 28, a stage one provisioning for each asset is different for loan against property to lease rental discounting to developer finance.

Bajaj Housing Finance Limited
October 21, 2024

Page 19 of 21

So a mix of a change, mix change can result into, so for example, if home loan has to grow much faster than other assets, you can look like at a consol level stage 1 coverage going down, but not other way around. So it's a product mix driven stage 1 output. I hope I'm able to explain.

Jigar Jani: Yes, understood, sir. This was very helpful. Thank you.

Moderator: Thank you. The next question is from Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Thank you and congrats on the listing. So we just wanted your outlook on the disbursements, right? So, I mean,

Q2 of last year to this year, till we got this quarter, the disbursements have been flattish, right? First half, we've done about INR24,000 crores. So what's the outlook for the second half, this number one?

And secondly, our repayment rates have sort of fallen drastically over the last two quarters. So anything you read out there, I mean, is this a structural thing that we are going to do out here? So that's the first thing.

Atul Jain: I was not able to understand your questions very clearly?

Gaurav Jani: Disbursement, H1 versus H1 is flattish, so H2 or lower. And the second one.

Atul Jain: So I like I called out Gaurav, for the first question that we are desisting from giving a forward looking, but we called out in a roundabout way saying that we deal with a affordable and a non - prime vertical which has gone live. We should be, okay as far as the retail disbursements are concerned. The second question even Gaurav could not get, can you just repeat?

Gaurav Jani: Sure. So what I was trying to ask is the repayment rates have drastically fallen over the last two quarters. Anything to read out here or, is this a structural thing or just, this is a reason and probably we'll get back to normal?

Atul Jain: Yield, you are referring to yield, Gaurav? Again, I'm sorry, we're not able to.

Gaurav Jani: Repayment rates.

Atul Jain: Retention rates?

Gaurav Jani: Yes.

Atul Jain: You're talking about portfolio attrition?

Gaurav Jani: That's correct.

Atul Jain: Okay. So portfolio attrition, like what you see from a, when you try to do this is a mix of various portfolios. Like if, in case of overall portfolio attrition, when you look at a DF portfolio, construction finance portfolio has a much higher portfolio attrition, because which drives the total attrition, because you will not be able to do a simple mathematics of a disbursement minus AUM growth to arrive at the attrition, because in each of the products, because we are a

Bajaj Housing Finance Limited
October 21, 2024

Page 20 of 21

diversified HFC having a various product mixes and at various assets can have a various kind of attrition driving there.

Therefore, the retail portfolios, the attrition rate remains by and large stable. The larger part of attrition up till last one year has been driven by the construction finance portfolio, because the residential sales has been very high and there are pre-agreed sweep ratios on each project at every stage. So that's where it has been more coming through the construction finance portfolio

in terms of an attrition.

Gaurav Jani: No, so just an extension to that. So last two quarters, we have seen a fall in the attrition right? So just want to understand anything to read into it?

Atul Jain: The attrition rates in the retail side are by and large stable. The plus and minus of the attrition rate, what we have seen would be driven by in the construction finance portfolio at some point of a time, if the sweeps are in a quarter, if the attrition is lower, the attrition overall might, you may calculate in a reverse way, but at a retail portfolio in the home loan side, it's by and large stable over the last 34 quarters.

Gaurav Jani: And for this last question, if I may squeeze in one, we haven't seen a drastic improvement in the margins, despite us raising money in Q1 and Q2 I think will come in, the benefits may come in Q3, but what I wanted to understand is, have we sort of matured borrowings on a back -end basis or how do we look at margins from here on?

Atul Jain: The margins do not change by raising, one, the public issue has been raised only on 16th September and we have called out already that money has not been utilized even as of a 30th September, because 16th September we got listed. So the partial utilization of money has happened only between 16th September to 30th September.

So it cannot have made any impact on our rate, but the margin wh

en we call about the gross

spread, which we said is stable between in last 3 quarters from a 2% to 1.9 % to 1.9 % has nothing to do with the capital infusion, that's your lending rate minus borrowing rate. The capital adequacy, capital being higher would result into ROA going up for a while, which will mean consequently ROE going down, but has no impact on the spread on the capital. Capital does not have an impact on the spread in any manner and investment.

Gaurav Jani: No, sure, so basically a borrowing base would sort of change, right? Once we raise capital, but I was just wondering, we also raised money in Q1, so did we get any benefit of that?

Atul Jain: But Q1, we raised INR2,000 crores as a rights issue. We, on an average, I think Q1, we grew by close to INR5,000 -odd crores, so that was -- that meets, but from probably I'm not able to get your question in a rightful manner, because the rights, capital raise has nothing to do with the spread. This capital raise means that your leverage is low, so your absolute profit can go up or ROA can go up, but spread does not change because of a capital.

Gaurav Kalani: Even on a net spread, if you compute basis your interest income to AR and interest cost to AR, that also has remained flat at 2.2%, Q1 versus Q2 of current year.

Bajaj Housing Finance Limited

October 21, 2024

Page 21 of 21

Gaurav Jani: No, sir, I meant the margins, probably I'll take it offline. There's a difference between the calculation of margins and spread, right? So, anyway, that's fine.

Atul Jain: Sure.

Gaurav Jani: I'll take it offline. Thanks.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to Mr. Nischint Chawathe for closing comments.

Nischint Chawathe: Thank you, everyone, for joining the call today. We thank the management for providing us an opportunity to host the call. Thank you very much, and have a nice day.

Moderator: Thank you very much. On behalf of Kotak Institutional Equities, that concludes this conference.

Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Jan 2025

31 January 2025

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra - Kurla Complex, Bandra (East)
Mumbai - 400 051
BSE Code: 544252 NSE Code: BAJAJHFL - EQ

Dear Sir/Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 31 December 2024 .

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations .

In furtherance of our letter dated 22 January 2025, the transcript of Q 3 FY2025 investors conference call has been uploaded on the website of the Company and is available at 'Quarterly Earning Conference Call Transcript ' drop down at <https://www.bajajhousingfinance.in/investor-presentation> .

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

We request you to kindly take the same on record.

Thanking you,

Yours Faithfully,
For Bajaj Housing Finance Limited

Atul Patni
Company Secretary

Email id: - bhflinvestor.service@bajajhousing.co.in
Cc: Catalyst Trustee ship Ltd. (Debenture Trustee, Pune)

Page 1 of 18

"Bajaj Housing Finance Limited Q3 FY25 Earnings
Conference Call "

January 27, 2025

MANAGEMENT : MR. ATUL JAIN - MANAGING DIRECTOR , BAJAJ
HOUSING FINANCE LIMITED
MR. GAURAV KALANI - CHIEF FINANCIAL OFFICER ,
BAJAJ HOUSING FINANCE LIMITED
MR. JASMINDER CHAHAL - PRESIDENT (HOME
LOANS), BAJAJ HOUSING FINANCE LIMITED
MR. VIPIN ARORA - EXECUTIVE VICE PRESIDENT
(CRE AND LOAN AGAINST PROPERTY), BAJAJ
HOUSING FINANCE LIMITED
MR. NIRAJ ADIANI - EXECUTIVE VICE PRESIDENT
(RISK), BAJAJ HOUSING FINANCE LIMITED
MODERATORS : MR. SAMEER BHISE - JM FINANCIAL
MR. MAYANK MISTRY – JM FINANCIAL

Bajaj Housing Finance
January 27, 2025

Page 2 of 18

Moderator : Ladies and gentlemen, good day and welcome to Bajaj Housing Finance Limited Q3 F Y25 Earnings Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer B hise from JM Financial. Thank you and over to you, sir.

Sameer Bhise: Thank you, Nirav. Good evening, everyone, and welcome to the 3Q FY25 earnings conference call of Bajaj Housing Finance.

First of all, I would like to thank the management of Bajaj Housing Finance for giving us the opportunity to host the call. From the management team, today we have Mr. Atul Jain – Managing Director ; Mr. Gaurav Kalani – Chief Financial Officer ; Mr. Jasmin der Chahal – President, Home Loans ; Mr. Vipin Arora – Executive Vice President, CRE and Loan Against Property and Mr. N iraj Adiani – Executive Vice President from Risk.

As always, we will have opening comments from the management team post which we will open the floor for Q&A.

With that now, I would like to transfer the call to Mr. Atul Jain – Managing Director for his "Opening Remarks ". Over to you.

Atul Jain : Thank you, Sameer. A very good evening to all of you and good morning to those who are attending from Western Hemisphere.

First I will take you through the Presentation that we have uploaded on the Investor Section of our website and also on the stock exchanges.

Coming to Panel # 3, it was overall a good quarter for us in terms of AUM growth and profitability. During the quarter AUM was up by 26% and overall AUM have now stood at Rs. 1,08,314 crore. While PBT and P AT both also grew by 25% on a Yo Y basis and were Rs. 713 crore and Rs. 548 crore respectively. Asset quality continued to hold well during the quarter with GNPA remaining stable at 0.29% and NNPA at 0.13% , provisioning coverage of 55%. Operating efficiency has improved further during the quarter and OpEx to NIM came at 19.8% in the quarter gone by against a 23.2% in Q3 FY24. Operating expenses remain ed in control at 7% growth on Yo Y against a NIM growth of 25%.

Capital adequacy of the company remained strong with CAR tad below 28% due to the capital raise which we recently did. PBC ratio also remained above. PBC is a principal business criteria

Bajaj Housing Finance

January 27, 2025

Page 3 of 18

ratio which is applicable to housing finance companies which is at 60%. The ratio was at 62.15% for BHF L.

I'll move to Panel # 4. The addition of AUM during the quarter was Rs. 5,745 crore. Total AUM growth was 26%. Within 26% under various segments, home loans grew by 23%, loan against property by 19%, lease rental discounting by 26%, and developer finance by 59%. Broadly, overall, portfolio mix remains stable with slight movement between the products. HL at 57%, LAP at 10%, LRD at 19%, and DF at 12%. During the quarter, we also saw disbursement growth of 17% compare d to same quarter last year. As an update, we had set up a near prime and affordable vertical to meet the mortgage need because we had predominantly been a prime company earlier. This SB U business has started picking up which is in line with our expectations and as we go forward we expect this vertical to become very significant in our overall scheme of things.

Moving to Panel # 5, cost of funds was stable at 7.9% from the last quarter indicating that the cost of funds have peaked out and the pass-through of all cost of funds has been there in the balance sheet. Borrowing mix again remained by and large stable at 43% to the banks, 46% money market and

NHB at 11%. Net Interest income grew by 25%, net total income also grew by 25%. Gross spread remains constant at 1.9%. NIM dropped slightly to 4% against a 4.1% on a sequential basis and also on a YOY basis.

Moving to Panel # 6. GNPA stood at 29 bps as against 25 bps on Q3 FY24 and 29 bps of preceding quarter. NNPA at 13 bps against 10 bps of Q3 FY24. In terms of credit cost, loan loss to average loan assets stood at 0.15% in Q3. However, net of overlay release, it was 0.20. If the same number net of overlay release during the last year same quarter was 0.15%. Now, past this, there is no other management overlay, which is there remaining in the balance sheet of the company. In terms of profitability, as already called out, PAT grew by 25% in Q3 and ROA remained at 2.4% in line with Q3 F Y24 and ROE at 11.5%. ROE is down given the full impact of capital raise, what we have done in September in Q2 F Y25. The ROE had partial impact because the capital raise being done in September. These ROA and ROE of course are annualized figures.

I'll move to Panel # 15 now. This is first time we are putting up a medium term guidance on key financial indicators. In last quarter, when we did our first call, we were still in the silent period, could not have guided for medium term guidance on the financial numbers. We estimate in the medium term 24 % to 26% AUM growth, Opex to net total income to go down to 14 % to 15% from in the current quarter it came to 19.8%, GNP A at 40 bps to 60 bps.

Credit cost remaining sideways between 20 to 25 bps. Provisioning coverage at 40 % to 50%. ROA is of a 2 % to 2.2% with leverage of 7 to 8 times. Thus ROE of 13 % to 15% in the medium term horizon.

Bajaj Housing Finance

January 27, 2025

Page 4 of 18

Moving to Panel # 17. I've already talked about the quarterly number. On the nine -month number, the PAT has grown by 17% because of a one -time tax provisioning release during last year what we had. Nullifying that in PBT the growth had been 23% as far as nine months figures are concerned on YOY basis.

Moving to Panel # 19 on a key portfolio trend, marginal downward in the portfolio yield from 9.9% to 9.8 % and spread remaining same at 1.9 %. In fact, it was 1.94 % last quarter to 1.89 % That's why you are even with a 10 bps portfolio dip and looking at 1.9 %. So it's a second decimal change what has happened there. Operating efficiencies I have talked about 19.8% in terms of a OpEx to net total income and NIM remains at 4%. Asset quality again stable at 0.29 % with NNP A at 0.13 %. Return ratios again talked about from 13% , now to 11.5% with full impact of a capital raise coming in.

Moving to Panel # 20. The borrowing mix remains quite diversified. Banks borrowings are backed by 17 banks. 43% bank borrowings have reduced by 1.2% sequentially. The portion which has been offset by a money market borrowing which has gone up by the same amount. Because it was led by larger bond & CP issuance during Q2.

Moving to Panel # 23, portfolio mix remains stable over a period of time with a minor movement in terms of the composition of the product.

Moving to Panel # 28. We have talked about GNP A and NNPA. Stage 1 assets have stood at 99.34 %, again in line with the long -term average of what we have seen over the last few quarters. Stage 3, we have already talked about 0.29 %. Stage 2 at 0.37 %, again more or less in line with last 7 -8 quarters.

Moving to Panel # 30, in terms of our provisioning coverage, the provisioning coverage, we continue to remain conservative on the provisioning coverage across products, in terms of product -wise GNPA in home loans are slightly up by 2 bps to 33 basis points. LAP has improved by 3 bps to 76 basis points. LR D continues to have a nil GNPA, while DF has improved by 1 bps to 9 basis points. And overall, an NNPA up by 1 bps sequentially. That is all from my side on the highlights of the quarter.

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en to take any questions from the forum. Thank you.

Moderator: Thank you very much. We will now begin with the question and answer session. First question is from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: I have three questions. So one is on the retail segment disbursements. Can you give us the absolute number of retail disbursements that was there? And then what was the growth on YOY basis and Q -on-Q basis in retail disbursements? And then another part of that question is that within retail, what was the growth in the home loan disbursements?

Bajaj Housing Finance

January 27, 2025

Page 5 of 18

Atul Jain : Raghav, first thank you for your compliment, but we won't be able to share segmental disbursement numbers. We have given the segmental AUM growth number, and overall AUM growth at a product level. The segmental disbursement numbers we generally do not publish.

Raghav Garg: But last quarter, you had indicated about 7% retail disbursements growth. Can you give a comparable number to that for this quarter?

Atul Jain : That quarter was also total disbursement . There was no retail disbursement .

Raghav Garg: I thought you had indicated retail disbursement growth of 7% in the last quarter.

Atul Jain : To the best of my memory, Raghav, no. to the best of my memory.

Raghav Garg: So the other question is that can you talk about your strategy in affordable home loans, say around ticket size, sourcing model? Are you going to be targeting the existing players in the market maybe from a BT perspective or you know, there loans? Which all geographies will you be focusing on? Just some color on that the affordable piece.

Atul Jain: So for affordable strategy, we will remain anchored predominantly on purchase transactions and not on take over or the BT because BT in any case, as a part of our digital channel, what we get leads through the digital channel from Bajaj Finance. I think we have built a presence there.

Vertical what we have set up, this is which is a special SBU, what we have set up to cater to non-prime and affordable is largely organic. Of course, a part of a BT, which is in the terms of an industry, 15%, -16% of the disbursements remains BT. So this vertical also may have 10% 15% of the total disbursements as a BT. States, what we'll be focusing is largely southern states and the Western. So initial period, Andhra, Telangana, Maharashtra, Gujarat and Rajasthan would be the states where we are focusing, where we have started. Because this SBU has two parts . One is a near prime and second is affordable. Near prime would come through the top 26 markets more, which is outskirts of the top 26 markets and affordable will come through a bit of a deeper presence in these markets. Ticket sizes in affordable will be between , average ticket size would be 16 -17 odd lakhs, and in the near prime close to 35 -40 odd lakhs. That would be the ticket size focused on purchase transactions.

Raghav Garg: And one more question, you know very broadly at maybe industry level or maybe you would have also heard some kind of softness in sales for developers, the numbers which the real estate developers have reported. So what is your assessment? Can you give us some idea in terms of what the developer off take is or can potentially be given your view on the real estate industry, the absorption of the existing inventory and all that, just in that backdrop?

Atul Jain: Yes, Raghav. I think all of us have read through the reports or which have come by various agencies tracking real estate sales and launches that the first nine months of FY25 residential real estate has witnessed slowness in growth versus last year. So I'll say slowness in growth versus last year and there is an overall sale drop also as what has been reported by few agencies

Bajaj Housing Finance

January 27, 2025

Page 6 of 18

but in terms of a market sizing and in

terms of their the launches have been lower. So the sales

are lower because of the number of launches or the amount of launches are lower in our assessment because what we see in the market the launches across various markets are lower, but the where the launches are there we have not seen an issue in the sale . That sales at the counters where there is a new launch , there is no issue , so there's no inventory built up . There's no inventory overhang getting built out , but decline in sales is largely led by, I'll say decline in launches, what we are estimating. Of course, we'll have to wait for the formal official numbers. These are all feedback from the ground kind of a numbers, what I'm talking about.

Raghav Garg: No, that's fine, but I was asking more from a perspective where your developer loan book growth could also come down right now. It's growing at a supernormal rate of more than 50%. Do you see any risk to that if, say for example, the launches are not as much or the demand on a higher base comes down from here on?

Atul Jain: Raghav, our book which we had mentioned has grown at a faster pace, but at absolute level we are still less than Rs. 13,000 crore kind of a book, which is across 738 active projects. So I'll say even if the launches are slow, which launches have been slow in first 9 months, but we have continued to grow at a good absolute pace, because the percentages in our case are not that relevant because of our base being lower compared to the industry overall size. So in the short term to medium term, I don't see a problem in terms of continuing to grow construction finance because that is the essential ingredient for us to grow our retail home loan business.

Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA India. Please go ahead.

Piran Engineer: So before I get to my question, I just want to ask the previous participants question a different way. In the 17% disbursement growth, would the retail growth be higher or lower than this, than the overall average ?

Atul Jain: I'll have to check because last time I had answered specifically saying that we tracked AUM growth, but I'll check and by the time we finished the call we would have checked. It should be more or less in my, to the best of my understanding in the similar range or a bit above, it will be a bit above, but I'll check and I'll confirm the number.

Piran Engineer: My first main question really is on builder loans. This is a product where you're growing quite fast. If you can just give us some sense of what percentage of the loan book is under moratorium right now, or where the DCCO has not yet come. Because I see your stage two is nil and stage three is just a few crores. So want to get a sense of whether the entire pool right now is even eligible for repayments or most of it is under moratorium?

Atul Jain: Piran, we follow, the way we do our building finance business is that we take the sweeps from the day one largely barring 1 or 2 projects where the agreement can be that the sweep is not from day one because moratorium is not the rightful metric to look at it. So technically, the project moratorium is in line with the RERA extension date RERA completion date which is the date at Bajaj Housing Finance
January 27, 2025

Page 7 of 18

which the DCCO is supposed to happen and after that the repayment starts from the contracted term. However, along with the contracted term, what we always contract for is a sweep from the day one in the realization. So practically, there will not be any project where there is a launch has happened and the repayments are not coming in. But the contracted repayment rate where that irrespective of the sales they have to pay down comes when the RERA expiry date comes, which is the DCCO date of the project. Because any project finance is constructed, the moratorium is still the DCCO date, which is the date of RE

RA expiry and after that the customer is supposed to pay in equated monthly principal installments for the balance period. However, as per our construct, we start taking sweep from the day one from the sales proceeds as agreed with the developer partner and most of the cases you don't hit the DCCO date because the sales have been so strong in last three years that you don't even hit the date for the full repayment of a loan before you hit the DCCO date. If you're referring to the DCCO extension, there in our history till date, we have given two DCCO extensions in our history. Not even now, and no DCCO extension has been given in last one year. There were two DCCO extensions which had been given over a period of time, one during the COVID period and one a bit later on that. Out of that two loans which DCCO was given, one loan is already successfully closed and one loan is NPA which is part of your Stage 3 asset as of today. Apart from those two loans, there is no other loan where we have ever given DCCO extension.

Piran Engineer: So Atul, if I understand this right, if you give a builder loan today on 27 Jan 2025 and the RERA completion date is, let's say, September 2026, which is in line with your DCCO date, between Jan 25 and September 26, he is not obliged to make payments, but obviously if he has some pre loan sales are good, he will make payments, but he is not obliged to do it. Correct?

Atul Jain: He is obliged to pay the interest servicing every month. Interest servicing is every month. So principal servicing is from the sweeps where the collection is happening. There is no moratorium on interest servicing from day one in any of the loans. Interest needs to be serviced by a developer on each loan from day one through the ECS mandate. The principal repayment, there's no obligation till the DCCO date, but the sweeps come in.

Piran Engineer: And just my second question in terms of given your medium term Opex to NIM target of 15%, today it's 19-20, what exactly would be the driver of that?

Atul Jain: We intend to keep on, if you look at even the past also, every year generally we improve this ratio by 1.5% to 2%. Because the kind of investments that are required or the income growth would always outpace the OpEx growth, given the nature of the business and as the balance sheet keeps on becoming bigger, there will be natural jaw which will keep on coming in. Because in our case, in mortgages, expenses are on acquisition while the income is on AUM. So as AUM becomes bigger, your jaw in any case keeps on expanding giving you more operating efficiency. So that's what we estimated to play at. So 14-15% is a number in the medium term, which we are very confident. In a longer term, in fact, we wanted to go down to between 9% to 10%, but Bajaj Housing Finance
January 27, 2025

Page 8 of 18

that's a longer term that's what we are not guiding for. But we're pretty confident that this is the operating efficiency path, which we will be able to achieve.

Moderator: Thank you very much. Next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Quickly on housing home loans. Essentially, we have to grow the home loan and LAP part much higher, at least to meet our medium-term growth rates because they are growing at anywhere between 20% to 23% with home loans being a larger part because this is roughly around 70% of

the book. So what is causing this slowdown in LAP book and home loan book? The second question is around the home loan book. We actually used to give a split between pure home loans and what is the top up. So today we have got roughly around 56% which we quantify as home loans, but I believe there is a substantial part which is also top up. And by RBI's prescription, we need at least 50% which should be pure home loans, right? And 60% which should be related to home loans and 70% of the as

sets should be related to entire pure home

loans. So wanted that part. And of the bank borrowings, what is on external benchmark? These are my couple of questions. Thanks.

Atul Jain: Thanks, Shubranshu, I'll try to answer your questions one by one. Home loan and LAP growth, you are saying we need to grow much faster, yes, because if we are guiding for 24% to 26%, probably we are growing at close to that range. Today maybe 21% to 22% in terms of a home loan plus LAP put together. LAP actually we don't consider as a standalone because LAP for us is a, there is as you have rightly called out as there is a regulation or regulatory requirement for individual home loan. There is a regulatory requirement for residential assets, which is 60% of total assets. I'm not sure what is 70% requirement what you are referring to. There's a 50% individual home loan requirement, which is pure home loan excluding any top up or excluding any VAS products sold which is booked as a home loan and there is a 60% requirement for a total residential assets on the total asset. Now for the remaining assets, remaining part of the book, which can be non-home loan, we take a call basis, at any point of the time, return risk metrics between loan against property and lease rental discounting. Our recent assessment of last three years had been that the lease rental discounting adjusted for risk is better return generator in last 2-3 years, given the intensity of competitive activity in loan against property market and the kind of what we say risk-adjusted returns which are coming in. So LAP and LRD, we are agnostic. We have grown LRD much faster in previous two years, as return risk metrics were in favor of LRD. For home loan remains the piece where we have to continue to grow in line with where we have to grow the company book. If you're guiding for 24% to 26% kind of a company book growth, that is where that minimum or higher than that is where we have to grow home loan. Now this 23% growth has been coming in where our economies of scale of our economies from our new near prime and affordable vertical has not kicked in. We expect this vertical to start generating meaningful contribution to the growth from next year, but this year we just started in May and June. So right now the numbers are for us a good indicator of the beginning but not that relevant from the AUM growth perspective. But coming year 2025-26 Bajaj Housing Finance
January 27, 2025

Page 9 of 18

and followed by 2026-27, I think from a AUM growth perspective from a home loan, this vertical will generate significant contribution to give us overall growth. In terms of the question you asked on the numbers in terms of IHL, 50% that number is 50.9% as out of 57%, 50.9% is the number for individual home loan, which is minus any top loan or minus any VAS loan or any. As a percentage of total asset. As this is what you see 57% is a breakup of AUM. But 50.9% regulatory requirement is on total asset, which includes the cash balances what you carry. So there's a bit of a different metric, but 50.9% is you can say the conservative metric when you are looking at that metric. 60% I called out with a residential asset, which we are 62.1% on the total assets again, which is called out as per the presentation as of 31st December 24. Bank borrowings, you had asked a question on, how much is linked to external benchmark. Out of 43% total mix 30% of our total liability is linked to external benchmark and 13% to MCLR. 43% is bank borrowing out of total borrowing. Out of that 43%, 30% is EBLR and 13% is MCLR. I hope I have answered your question Shubranshu.

Shubhranshu Mishra: Just one counter question here, Atul. You're talking about economies of scale kicking in next year from a very low ticket item. Our average ticket size is around 45 lakhs to 50 lakhs. We're talking about a 15 to 20 lakhs ticket size giving economies of sc

ale just a year from now. The math seems staggering.

Atul Jain: So what I'm talking about, Shubranshu, is that there is a normal organic growth on the normal business what will keep on coming in which is what we are delivering a growth today of a 22% to 23%, let us say, in a home loan segment. The incremental growth, because we have to deliver above 24% to 26% or at least 24% to 26% if we want to deliver the growth there, that is the growth which will come in from the new vertical, if not from expansion in the market share in the current vertical. Because when you look at the growth number, if you are talking about, let us say, 2% or 3% of incremental growth number to come, then we are talking about, Shubranshu, only Rs. 3000 crore kind of a number in terms of a 25-26. So it's not staggering.

Moderator: Thank you. Next question is from the line of Viral Shah from IIFL Securities. Please go ahead.

Viral Shah: A few questions. One is I'm looking at your stage two. Over there, across both home loans and

LAP, we are seeing that the stage two has kind of increased sequentially . So is this the part of the normal seasoning? What are you seeing? Any color, incremental color would be helpful.

Atul Jain: Yes, thanks, Viral. But if you look at it, of course, you're looking at a Q2 to Q3. But when you look at over the year, which because we have put up in the investor deck for the last 7-8 quarters, this is broadly in line with . See , what happens is there are stage 2 assets. They consist of two parts, which is 31 to 90 DPD accounts and also in our case, we classify certain accounts below 30 DPD also as a part of a stage 2 basis our internal classification where risk team assesses that there is a significant increase in the credit risk. There are two parts to it. So 31 to 90 DPD, which is the regulatory definition of a stage two. But incrementally, we also follow a definition where internally risk schemes categorize certain assets as stage 2, which are actually in stage 1 from a Bajaj Housing Finance

January 27, 2025

Page 10 of 18

definition point of view. Now, there was reduction in stage 2 last quarter, primarily on account of a movement of less than 30 DPD, which were risk classified accounts. When you look at a 31 to 90 DPD accounts, the movement, there is no movement. So there was a less than 30 DPD, which was risk categorized accounts. There was a movement downward last quarter, which got broadly normalized in this quarter. 31 to 90 DPD have remained largely range bound to 0.08% at a company level from 0.07% in Q2. So we don't see anything. So 0.07 % was a 31 to 90 DPD regulatory definition with stage 2 accounts in quarter two, which is 0.08 %. Rest of the stage two assets are a reflection of what we internally classify as an increased risk, and that's why we classify them as stage 2. Have I answered you, Viral?

Viral Shah: I think you are mentioning at an overall level, I think broadly that will hold true even for home loans and LAP segments?

Atul Jain: It is 0.07 % to 0.08 % it will hold true and lease rental discounting does not have any stage 2 account. So it is home loan and LAP as DF also does not have. So it will apply on home loan and LAP only.

Viral Shah: And, Atul, basically wanted to get a sense if you can quantify if at all there has been any impact from the property registration disruptions in a few states Karnataka, Telangana, what has, say, how much it has been impacted ? And secondly, has it impacted your say incremental disbursements? Again, not the existing projects, but the new projects even on the construction finance or the LRD side. If you can just give some color over there , both on retail as well as wholesale ?

Atul Jain: Viral, there has been some delays in execution of registrations due to a change in Karnataka, if you are calling out as state of Karnataka because of e -Khata introduction which is for long term good

for the industry and long term good for the customers. But situation is getting normalized as we speak because there are delay. It is not cancelling or impacting the volume in the long run and we don't see any long term or a persistent impact of e-Khata as far as Karnataka is concerned. Telangana I am not aware of any disruptions in registrations or anyway. So Telangana you called out Karnataka and Telangana. Karnataka yes , its introduction to this e -Khata which has resulted into some delays or some deferments in terms of time taken, but not in Telangana to the best of my knowledge , I am not aware of any effect in the Telangana.

Viral Shah: And lastly, just again, I think this point has been broadly touched upon, but see, if the real estate cycle turns, right, and again, I think we are probably in third, fourth year of the cycle whatever people have different opinions of how long the cycle lasts. My question is that, say, if the cycle turns hypothetically, whenever that is, do you see the exposures that you have taken? Have you done stress testing? How will your exposures fare in that cycle? And what can be the, say, potential portfolio at risk , say, either on stage 2, stage 3 levels, if that kind of thing pans out?

Atul Jain: So Viral, in terms of the way we lend our construction finance construct, which is given again also as a part of our IPs, we try to do so that we are able to stand the time and in terms of a cycle, Bajaj Housing Finance

January 27, 2025

Page 11 of 18

if there is a cycle movement or a slowness itself. Because you have rightly called out there is a cycle which will be there and there can be a cycle when there is an enhancement in terms of what you call an inventory overhang. But if I have to say on a macro level, the kind of inventory overhang today is there even if there is a slowness in sales versus the launches , I think we are very far from even the pre -COVID days of a kind of inventory overhang which is there. So there is a good 3-4 years away in my assessment, even the inventory overhang what we had during the pre -COVID days. At that time also industry was worrying . Second, the way we underwrite if you look at this Rs. 13,000 crore kind of a balance sheet what is outstanding in developer finance, it is representative of 738 projects. Average disbursement or average outstanding per project is what we construct ourselves for granular book and that is what we, I was mentioning in the

earlier question when it was there on the terms of a sweep . While the repayment starts on the DCCO date but the sweep starts from day one and our disbursements are constructed in such a manner that we give a generally tranche based disbursement that at every stage there are each disbursed amount what is booked for a construction finance is given in terms of a breakup of various tranches which are linked to three milestones. One is a construction milestone, second is a sales milestone and third is a collection milestone in the project. We believe the construct what we follow, even in terms of a downturn in industry, we should be able to hold ourselves well.

Moderator: Thank you. Next question is from the line of Ganesh from Bharat Bet Research. Please go ahead.

Ganesh: My question was basically a follow up of the same. So given that we are kind of growing our developer finance book at a relatively high pace, broadly as we go into the, if we go into a kind of a negative cycle in that sector, how will that fare? And broadly the way I wanted to think about it is if you could give us some guidance with respect to say past negative cycles in the real estate space. How has the median player done, how has the top decile player done in terms of say, GNPA on the developer finance book ? That would be helpful to quantify this as such.

Atul Jain: So Ganesh , if I carry the same point forward what I was mentioning to Viral, now in terms of you asked for a bench

mark for a better players versus us, you can say not so good players in terms of a low cycle. I think if you look at a pre -COVID or the last cycle, probably I would not have access to the numbers. You will have access to the number. You should probably refer to HDFC Limited and ICICI bank numbers on GN PAs and NNPA on the construction finance because they had one of the largest books there. To the best of my understanding, they never have these issues of what we are calling or even in the low cycle, because it depends upon how do you run the business. How do you run the business and what is your construct in terms of running a business, and are you able to identify the emerging risk or emerging stress much earlier and manage the risk accordingly. Because there is a execution risk which is embedded in the construction finance which you need to manage. So my assessment and my knowledge is that the better players had always handled the risk very well and have not got impacted by the cycles over the period of time the longer term players . We also have been in the industry now for seven years . Now since inception we have funded close to more than 1300 odd projects . We have so Bajaj Housing Finance

January 27, 2025

Page 12 of 18

far seen only four cases which have slipped into an NPA . Out of them two we managed to recover later on and close and the two which are still in NPAs which is visible from the balance sheet. And which I called out in earlier also, till date we have only given DCC O extension also to two accounts. So, and the industry had not been that good apart from what it had been for last 2-2.5 years. So I'll only maintain that if you handle risk well, you play granular and you are on top of the risk, you have an ability to manage this risk. We believe we have the ability to manage this better than maybe some other players .

Moderator: Thank you. Next question is from the line of Siraj Khan, individual investor. Please go ahead.

Siraj Khan: My first question is actually I would want to have a clarification with respect to the LRD vertical. So there we see there is no NNPA, GNPA but the average ticket size that I can see is approximately Rs. 98 crores, although I would want to this situation not happen but in which scenario will this , why will there be an NPA in this case and what will be the procedure for collecting such a large amount in the in the NPA ?

Atul Jain: So Siraj, as the name calls out, lease rental discounting is given against two securities, if I have to say two securities. One, the customers here is broadly 50% of the portfolio would be to very large rated funds or rated companies, which are very large portfolio. So you can say the inherent risk stability of the portfolio is much higher than any other mortgage portfolio. That's why you see GNP A and NNPA are nil. And if you look at overall industry, also for last 20 -25 years, this is not the LRD has never gone through a cycle because of inherent double security structures which get built in . First is that you have the cash flows escrowed to you because there is no execution risk of the project. You have a, because this is already built and leased out, you have the cash flows escrowed to you which is more than your current EMI coverage and as there are rental escalations , and as the tenor moves, your security in terms of a cash flow keeps on getting better. Added to it, in any case, the property is mortgage d to you, which is at a lower LTV. So that's why you don't see stress . This portfolio to us, I think this is one of the safest asset classes in mortgages. That is an industry experience in India and that has been our experience as well, which is a reflective of a nil NPA.

Siraj Khan: And now, coming to the main question , the affordable housing. So we have seen many players coming into the affordable vertical. There are already some players there in the affordable vertical

al. So my question is, in the medium term slide that you have given, that you want 20% to 25% growth, so the book size for this affordable vertical, what do you see in the medium term for this vertical over the medium term?

Atul Jain: So Siraj, the medium term growth, so our dominant portion of the book is likely to remain in the medium term of a prime only because it is affordable as. If I have to put that over a five -year period, this will not, between non -prime, near -prime and affordable, 80% of the book is still going to remain prime. So because there is a, affordable is a various definition of various people,
Bajaj Housing Finance
January 27, 2025

Page 13 of 18

we generally call there is a non -prime, near -prime and affordable . Affordable is not going to be very very large as a n overall portfolio composition even in the medium term .

Siraj Khan: So would that still go somewhere in the region of say 5% of overall portfolio something like that in the medium term because why I want to understand is, if that grows very fast will it have extra impact on the yield or the ROA etc . like for example because ROA is on the lower side . Affordable will have a better yield , so will the yield increase faster, higher ROA as a consequence?

Atul Jain: So no, probably here 5% of the overall book also would not be affordable. 5% to 7% of the home loan book can be affordable. 5% to 10% of the home loan book can be affordable, but not a 5% of overall book. That is first part because I think it will because Prime has a much more head start. We are already at Rs. 108,000 crore kind of a balance sheet for us to built a 10% on overall 5% to 10% on overall books that fast. Second part in the terms of yields, yes, affordable is a different nuanced business while the yields are better, but there is also a much higher cost to originate, which is what you see in most of the affordable companies' results. So, and given the mix what we are projecting for a medium term, I don't think it will have a very significant impact in enhancing the overall ROA. But we need to move to affordable to cover our full product suite because we are a mortgage company. And also given the emphasis of the government and the regulators on the housing for all, we need to be part of contributing to that vision as well as offer ing a full suite of the mortgage product for all customers so that we are present in all markets. As we learn the trick of the game, because it has a different skill set, like we called it, we had been largely present in the prime segmen t, it has a different skill set. As we learn the skills, basis the metrics what we see and if we are able to do it at a lower cost and it generates a much higher net return, net of cost, we can take a call to accelerate this more. But as of today, I will say that it will have some impact on the overall yield profile, but not much impact on the overall ROA profile. That's why the medium term guidance also for ROA, what you are seeing is not very different from what we have today.

Siraj Khan: And you actually touched on the follow up question was on the distribution and the cost side only. So how, it was with respect to how are we going to source this business like because these affordable companies, they have very high cost because they have t o set up a lot of branches and etc. So cost is high. So how are we going to do that?

Atul Jain: We will figure out our ways in terms of where we have started in a particular way. We will learn over the period whether that results into an efficient origination, what we are trying. Because we are very small, I would not want to comment upon our sourcing model today. But we are trying to be slightly different from the industry to have a benefit of a lower cost as well as a bit of a higher yield. But time will tell whether we succeed or not.

Moderator: Thank you. Next question is from the line of Jigar Jani f

rom B&K Securities . Please go ahead.

Bajaj Housing Finance
January 27, 2025

Page 14 of 18

Jigar Jani: Just one question, can you share what yields are you giving loans as of now on the near prime and affordable segment?

Atul Jain: Near prime and affordable actually is a very wide segment. The yields vary from , let us say for home loan, we have talked about home loans from 9% to 16% in the market, because it is a scale of a profile , assessed income, not assessed income, verified income, not verified income, type of collateral, and various combinations. We largely operate in this segment between 9 % to 13 % . We are not in a much higher segment because there is a 13 % to 17 % or 18 % segment as well in the market. But for a near future, in the foreseeable future, we'll operate in the 9 % to 13 % kind of a market, not 13 % to 17 % , 18%, because we have to learn that skill set also to further source.

Jigar Jani: And just to follow up to this, any, this we have separate branches or this product will be sold through the same branch?

Atul Jain: The geographies where we are commonly present with the other segments, it will be the same branches, but where geographies, there will be geographies which we are going to cover through this segment where we are not existing ly operating, we will set up the branches for those markets for this particular. But there are no dedicated branches in that sense. In that market, if we start

on affordable and later on the prime vertical or the other verticals want to go, that's a BHFL branch. There is no affordable branch. It's a BHFL branch, which all businesses of the company can operate from.

Jigar Jani: Yes, so no dedicated branches, for say. It will be all products across all branches.

Atul Jain: Yes.

Moderator: Thank you. Next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Just two or three questions. So I actually joined in the call much later, so pardon me if it is repetitive. But did you answer any question related to the credit cost? It was about, calculated basis 15 basis point in this quarter annualized. So what explains this? Is this just the rising stage 2 and stage 3 in this quarter that you had to make provisions for or some contingent provisions also started building into the books?

Atul Jain: So Rahul just to answer you on the credit cost, was not asked. So over all credit cost gross of overlay release in this quarter was 0.20% which is because there's a Rs. 10 crore overlay release because 0.15% is net of overlay release. But if we nullify that because then it is 0.20% which was in last quarter, 0.14%. A quarter prior was 0.17%. So it's more or less in range. The stage 2 also remains more or less in range, which I answered in a previous question, saying that if you take a 31 to 90 DPD kind of account, that remains in range and would be in 0.08%. While you see the stage 2 accounts at a 32 to 37 bps kind of a movement. But out of that, the 31 to 90 DPD, which is a regulatory Stage 2 accounts are only 0.08%. So there is no uptick in the credit cost, if that is a question, what you are saying. 15 to 20 bps range movement. In the last year, same

Bajaj Housing Finance

January 27, 2025

Page 15 of 18

quarter, the credit cost was 0.15%. Again, net of overlay release, which is 0.20%. Now the difference of 0.15% and 0.20% is also largely on account of a stage 1 provisioning movement because the credit costs move in line with, because there is a stage 1 movement and also various asset classes mix. So if there is a particular asset, because every asset classes are different stage 1 provisioning, which is a general provisioning, what you call it. So there is a particular mix shift that happens, or assignment out versus in a one quarter to another quarter. So largely stage 1 movement, which is a harmless movement, Rahul, if I have to just answer

for you.

Rahul Jain: Very helpful. The other question is, have you disclosed what proportionally developer financing book would be to the under construction projects? And what would you explain now, what stages of development these projects would be, etc.?

Atul Jain: So entire book would be largely to under construction projects because construction finance is given for that purposes to build so that entire, almost entire book barring very small portion which may be to, in the completed project where there's a rundown of POS is happening. So that is entirely for the under construction projects rather. The various stages of construction because there are 730 projects. There are projects which are in various stages. It's an ongoing business. We keep on lending more and there are projects which keep on getting completed or the loans getting run off.

Rahul Jain: Just one last question. In retail, this was still, has there been any significant movement with regards to balance transfer out in this quarter versus the previous quarters?

Atul Jain: No, it is by and large stable. In a home loan, we generally have, you see on an annualized basis, close to 12% kind of a balance transfer out which is more or less in line with what we had seen in previous part.

Moderator: Thank you. Next question is from the line of Parth from Nomura. Please go ahead.

Parth: Most of my questions are answered. But just one doubt. You previously mentioned that one of the reasons for growing the developer finance book is to bring the ecosystem to act as a distribution channel. But now considering the development finance growth in this quarter, are we seeing the developer finance book as a potential growth driver in the coming quarters or in the near term?

Atul Jain: I think in between I was again losing your voice, but I'll try to answer what I've understood from your question. I think you are asking, do we. We had earlier called out that construction finance is a tool for us to grow our home loan business as a distribution point. But do we now see that can it be a growth engine in itself? Have I understood your question?

Parth: Yes.

Bajaj Housing Finance

January 27, 2025

Page 16 of 18

Atul Jain: Developer finance remains critical for us in two parts. First, of course, as a funnel for home loan and a point of availability at the expansion of a distribution counter. But in itself also from a mortgage company point of view, it is a return enhancer. But given there is an inherent risk in construction finance, which is higher than the normal home loan business, we would like to not

exceed around in the short term close to 12% to 15%. We are already a 12% kind of a mix, 12% to 15% mix in terms of our portfolio of construction finance to balance the risk. So it is not going to be a standalone growth driver from the balance sheet. From the current perspective, yes, 12% contribution to AUM can go up to 15% in the coming time, but it is not going to be dominant portion of the book because then the risk profile of the balance sheet changes. Because irrespective of the method, the way we would want to underwrite and the way we monitor the projects, inherently there is an execution risk of the projects or a macro risk which sets in versus a retail granular transaction. So that's where it, on a standalone basis, it won't be a balance sheet builder for us.

Moderator: Thank you. Next question is from the line of Abhishek from HSBC. Please go ahead.

Abhishek: My question is on this medium-term guidance. Just wanted to understand some of the assumptions behind it. So is it like a 2-3 year aspiration and have you factored in any repo cut impact, etc. or this is just BAU without all those external events?

Atul Jain: Abhishek, this is a three-year kind of a medium term, and we call it a three-year kind of a visibility. Of course, it is assuming what you can see or what you can forecast

t, whether it's a

repo cut, because we are largely a variable balance sheet on the assets side as well as variable. So like I had called out earlier as well, that changes in the rate, there can be at a point of a time, sometimes lag impact, where if the rates are going up, we can see temporarily for a timing margins going up, which happened in FY23, that is where, or if there are rate cut is there and the competitive intensity is higher, there can be a bit of a lag of six to nine months in terms of there. Of course, this medium term guidance assumes the cycle to the best of what we are able to predict. It is not created in standalone where the impact of a repo cut is not there. For next year, we have our own projections of repo cut, which are based in the forecast or the assumption medium-term guidance what we are giving.

Abhishek: But essentially, you're saying that over three years, it will get neutralized. So whether repo cut or not repo cut, you could still look at it as a through-the-cycle kind of aspiration?

Atul Jain: Through-the-cycle average returns. But if you look at today, we are having a ROA of 2.4%, if you're guiding for 2% to 2.2%, if there is a bit of a lag impact also which impacts the margin for some point of a time that in any case factors it out. The 2% to 2.2% kind of a ROA range factors that. If ROA range does not move beyond that also, we had at the highest level where we had seen the ROA to go to 2.5% to 2.6%. So if we had seen on an upper cycle movement of a 20 bps, if you take the same movement from 2.4%, 2.1%, 2.2%, that's where Abhishek it is factored in.

Bajaj Housing Finance

January 27, 2025

Page 17 of 18

Abhishek: Because when I work back, it sort of implies a 25 bps NIM compression from here. So I was just wondering whether this is a function of you assuming repo cut etc. or whether this is a function of the loan mix, changing yields coming off in the industry. So, this 25 bps, how we should look at it?

Atul Jain: Yields coming off is one of the factors and as you grow bigger, and we have to assume the competitive intensity, which is already very high, will continue to be like that. So there can be a, there are various factors which are baked in, whether it's a yield compression and which is a yield compression and the COF through the cycles at point of a time, which can compress. So I'll say, we have done a bit of a financial understanding of the P&L, what we understand, and this is that we have forecasted.

Abhishek: Just trying to understand, because obviously with scale, the mix will change, the yields will change. So I can understand that.

Atul Jain: Yields in our business, Abhishek, are also guided by competitive intensity, because that's an external factor. So we have to we generally assume a bit of an extra competitive intensity to be there in the market.

Abhishek: I think the second question is we are you know doing all this developer financing right now. Obviously with a view that this will help us in increasing our retail Home-loan sales later on. So at what point do we see that inflection right that this starts contributing to more retail origination and disbursement?

Atul Jain: So Abhishek, even today also they contribute a very significant part of our retail home loan. So it is at, while we say the penetration what we have in our projects may be still lower than what we want. Our penetration in our projects in terms of would be close to 16% to 18% as of today, we would prefer to be it having a higher, but it is even today also significant portion of our home loan registrations in a month. It contributes very significant amount. As it goes forward, it will contribute more as well as we become more efficient as we are able to penetrate more at the counters where we have extended the construction finance.

Abhishek: Then irrespective of whether you scale up near prime or not, ideally

the growth in prime should

sort of accelerate. Because right now the jaws between growth in developer finance and let's say even if you take it by number, number of developers you're financing versus how many of those projects are contributing, there's a jaw there, right?

Atul Jain: We have work to do to improve our efficiency in capturing the market where we are funding the projects. You are rightfully calling out, Abhishek. There is a jaw there and we capture that what we intend to do or the prime growth can be much higher than what is there. But pluses and minuses, there are always pluses and minuses. That's why the projections for near term or medium term or the medium term projections are in line with what is there. There will be some pluses, there can be some minuses.

Bajaj Housing Finance

January 27, 2025

Page 18 of 18

Moderator: Thank you. Next question is from the line of Pranuj from J.P. Morgan. Please go ahead.

Pranuj: So if I just follow up on the previous question another way, for this 14 % to 15% OpEx to NI I and 2 % to 2.2% ROA, is there a particular set of spreads that you would want to target on a steady state?

Gaurav Kalani: Spreads would remain in that corridor of 2 % to 2.2% .

Atul Jain : Gross spread would be lower than 1.8%.

Gaurav Kalani: Broadly, yes So, over a medium term, yes it would be So, between 1.8 % to 2.2 % in that corridor, spreads would move .

Atul Jain : Depending on the rate cycle and depending on the competitive intensity , 1.7%, 1.8% to 2.2% through the cycle, the spreads will remain at the book level .

Pranuj: That and 7x to 8x leverage, as you stated in your presentation.

Gaurav Kalani: That is from a RO A 7x to 8x leverage, delivers a 13 % to 15% ROE. We had previously been raising capital when we had been closer to 7 x, but as we have now grown in scale and reached a stage, our earlier threshold used to be 6 x to 7x leverage as a private company. Now we have moved the threshold to 7 x to 8x of a leverage as we have grown bigger, not as a private to public, but as we have grown bigger, we believe that we have ability to shell the capital more now.

Moderator: Thank you, Pranuj. Ladies and gentlemen, we'll consider that as the last question. I'll now hand the conference to Mr. Mayank Mistry for closing comments.

Mayank Mistry : Thank you all for joining the call today. And thank you to the management team of Bajaj Housing Finance for giving us this opportunity to host the call. Thank you all.

Moderator: Thank you very much. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2025

29 April 2025

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra - Kurla Complex, Bandra (East)
Mumbai - 400 051
BSE Code: 544252 NSE Code: BAJAJHFL - EQ

Dear Sir/Madam,

Sub: Transcript of earnings conference call held in respect of the financial results for the quarter ended 31 March 2025.

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule II I to the SEBI Listing Regulations .

In furtherance of our letter dated 16 April 2025, informing the Exchanges regarding earnings conference call in respect of the financial results of the Company for the quarter ended 31 March 2025, the transcript of Q 4 FY2025 earnings conference call has been uploaded on the website of the Company and is available at ' Quarterly Earning Conference Call Transcript ' drop down at <https://www.bajajhousingfinance.in/investor-presentation>

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

We request you to kindly take the same on record.

Thanking you,

Yours Faithfully,
For Bajaj Housing Finance Limited

Atul Patni
Company Secretary

Email id: - bhflinvestor.service@bajajhousing.co.in
Cc: Catalyst Trustee ship Ltd. (Debenture Trustee, Pune)

"Bajaj Housing Finance Limited Q 4 FY25 Earnings
Conference Call "

April 23 , 2025

MANAGEMENT : MR. ATUL JAIN - MANAGING DIRECTOR , BAJAJ HOUSING
FINANCE LIMITED
MR. GAURAV KALANI - CHIEF FINANCIAL OFFICER ,
BAJAJ HOUSING FINANCE LIMITED

SENIOR MANAGEMENT TEAM, BAJAJ HOUSING FINANCE
LIMITED

MODERATOR : MR. ANUJ SINGLA – BANK OF AMERICA SECURITIES

Bajaj Housing Finance Limited
April 23, 2025

Moderator: Ladies and Gentlemen , Good Day and Welcome to the Bajaj Housing Finance Limited Q4 FY '25 Earnings Conference Call.

This call will be recorded, and the recording will be made public by the company pursuant to its regulatory obligations. Certain personal information, such as your name and organization , may be asked during the call. If you do not wish to disclose, please immediately discontinue this call. Ladies and gentlemen, please note , this call is not for media representative or Bank of America , investment bankers or commercial bankers, including corporate and commercial FX. All such individuals are instructed to disconnect now. A replay will be available for Bank of America , investment bankers and commercial bankers, including corporate and commercial FX. The replay is not available to the media.

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*” then “0” on your touch tone telephone. I now hand the conference over to Mr. Anuj Singla. Thank you and over to you , sir.
Anuj Singla: Thank you, Ryan. Good evening, everyone. This is Anuj Singla from Bank of America Securities. Thank you very much for joining us for the Bajaj Housing Finance Earnings Call to Discuss Q4 & Full Year FY'25 Earnings .

To Discuss the Earnings , I am pleased to welcome Mr. Atul Jain – Managing Director, Mr. Gaurav Kalani – CFO and they are joined by other Senior Members of the Management Team .

Thank you very much, A tul sir, for giving us the opportunity to host you.

I now invite “Mr. A tul Jain for his Opening Remarks ,” post which we will open the floor for “Q&A .”
With that , over to you , sir.

Atul Jain: Thank you, An uj and B oFA team for hosting us. A very good evening to those who are in India joining this call and good morning depending upon the geography if someone is joining from the western hemisphere .

I have with me Gaurav – our CFO , Jasminder – our President , Home L oans, Vipin – EVP (CRE) , Niraj – Risk Officer , Dushyant – our Construction F inance Head, and Pa wan heading o ur Near Prime and Afforda ble SBU.

Bajaj Housing Finance Limited
April 23, 2025

I will take 15 -20 minutes to cover the important sections of the investor deck which is now uploaded on the website as well as on the stock exchange and later on leave the balance time for utilizing for question -answer session .

Quickly going to Panel # 3 on the presentation, overall, good quarter across metrics , AUM , asset quality and profit. As of 31st March '25 AUM stood at 1,14,684 crores , growing 26% , while we have maintained asset quality with GNP A of 0.29% and N NPA at 0.11% respectively.

Q4 FY'25 PAT has g rown by 54% and annualized RO A was steady at 2.4%.

OPEX trajectory continues to improve from 27.1% OPEX to NTI to 21 .7% in Q4 FY25 . This is for Q4 and o verall yearly numbers also we will talk about as we go forward .

We are currently present across 174 locations through a network of 2 16 branches.

Annualized RO E for the quarter was 12.1%, while annualized credit cost was 0.12 % . Capital adequacy has remained very strong, supported by capital raise during the year and CAR was tad below 28.25% and P BC ratio which is a critical metric from a HFC point of view, which is 60% and 50% requirement from the regulatory point of view ; we were 63.28% which was well above the regulatory requirement of 60% as of 31st March '25.

I will move to Panel # 4. I have spoken about the overall AUM growth on the previous panel .

In terms of the product level that growth was decent across products ; Home Loans grew by 22%, LAP by 28% , LRD by 24% and Develop er Finance by 49%.

The company in total added 6 ,370 crores

of AUM during the quarter as against 5,442 crores in Q4 FY24 .

Overall portfolio mix also remained well diversified with some movement between the products. HL stands at 56.2%, LAP at 10.7%, LRD at 19.1 % and Developer Finance at 12 .5%.

The Company disbursed 14,254 crores during the quarter as against 11,393 crore s in Q4 FY24.

Hence, overall disbursements grew by 25% on YoY basis for the quarter.

As we had updated in the last quarter regarding the launch of our SBU of Near P rime and Affordable Housing , the business is g rowing stead ily and is in line with our expectations to meet the future goals

of the business.
Bajaj Housing Finance Limited
April 23, 2025

During the quarter, the company has also strengthened its management team to support future growth. We will continue to invest in the coming year in SBU which is for Near Prime and Affordable Housing and also non-top six markets to generate future growth for the company.

I am jumping to the next panel. Cost of funds remained flat sequentially at 7.9% for Q4 FY25. Our well-diversified borrowing mix has further improved with a mix of money market instruments at 49% followed by bank borrowing at 41% and NHB refinance at 10%.

OPEX to NTI, as called out earlier, improved from 27.1% in Q4 FY24 to 21.7% in Q4 FY25, and on a full year, it dropped from 24% in FY24 to 20.8% in FY25.

The company also continues to leverage technology for digitalizing various processes which is now reflecting from our increasing penetration of new initiatives like e-agreement, where we have crossed 93% penetration of our entire customer base whom we are onboarding new and online customer onboarding journey also crossed 80% penetration in the month of March.

Gross spread was marginally lower at 1.8% from 1.9% in Q3 FY25 owing to reduction in yield because of the market competitive pressure, while the net interest margin was flat on sequential basis at 4%.

Coming to Panel # 6. Overall asset quality has remained healthy during the quarter, GNP A was in line with the previous quarter at 0.29%. NNPA improved on sequential basis from 0.13% to 0.11%. Credit cost stood at 0.12% in Q4 FY25. This improved from 0.18% in Q4 FY24.

Quarterly profit has grown by 54% from 381 crores to 587 crores. The company has reevaluated its income tax position on deductibility of certain expenditure. PBT grew by 48%, while PAT has grown by 54% because of a one-time tax re-evaluation by the company on deductibility of certain expenditure. Accordingly, the company has reversed 24.44 crores in tax expense from the previous years and reduced FY25 tax provision by close to 10 crores. Thus, there has been a total tax reduction of ~34 crores during the Q4 FY25. 10 crores out of it is pertaining to FY25 while 24 crores is pertaining to the previous year's expense.

Annualized ROA for the quarter was in line sequentially at 2.4% and it has improved by 40 bps against annualized ROA of 2% in Q4 FY24. Annualized ROE for the quarter was 12.1% against 12.7% in Q4 FY24 owing to the impact of capital raise during the year.

Absolute net worth of the company stood at 19,932 crores as of 31st March '25, tad below 20,000 crores.

Bajaj Housing Finance Limited
April 23, 2025

I am moving to Panel # 15 which is a medium-term guidance. There is no change in the medium term guidance on the key financial indicators what we had added from last quarter's investor presentation. Quickly moving to Panel # 17 which is the quarterly financial snapshot as well as the yearly financial snapshot. We have already discussed about quarterly financials. For full year FY25, net total income has grown by 23% and pre-provisioning operating profit grew by 28% year-on-year. Profit before tax was up 28% and PAT grew by 25%. Full year credit cost has been at 0.09% and ROA stood at 2.4% and ROE at 13.4%.

Moving to Panel # 19. Portfolio yield

yield has come down to 9.7% in Q4 FY25, witnessing a 10 bps reduction sequentially and 20 bps reduction on YoY basis, while COF was flat at 7.9% sequentially and 10 bps higher on YoY basis. Accordingly, gross spread reduced by 10 bps sequentially at 1.8% owing to portfolio yield reduction and 20 bps on YoY basis.

OPEX to NTI improved at 21.7% in Q4 FY25, while it has inched up on sequential basis due to investment in new business and management team strengthening as called out in earlier panel.

In terms of asset quality, GNP A was flat on the sequential basis and I've already covered credit cost, ROA and ROE on the previous panel.

I will move to Panel # 20. Just a reiteration of our well-diversified borrowing relationships. We have borrowing relationship across 17 banks and NCD share has inched up by 2.3% sequentially.

Coming to Panel # 23. Portfolio mix remains within our guided range with slight increment in LAP and developer financing on sequential basis. As of 31st March, HL stood at 56.2%, LAP at 10.7% and LRD at 19.1% with Construction Finance at 12.5%.

Moving to Panel # 28. Stage -1 assets have improved by 5 bps to 99.39% as of March '25. Stage -2 assets have witnessed a reduction of 5 bps. So, there's an intra movement from stage -2 to stage-1 in that sense from 0.37% in Q3 FY25 to 0.32% in Q4 FY25, while provisioning coverage has improved from 55.4% in Q3 FY25 to 60.3% in Q4 FY25.

I am jumping to Panel # 30 which is the product wise provisioning coverage. It remains healthy across products. Coming to product wise GNP A, there's a slight movement of 1 bps in home loan GNP A to 0.34%, LAP has improved by 11 bps to 0.65%, LRD continues to have nil GNP A and developer finance GNP A has reduced by 4 bps to 0.05%. NNPA is reduced across products because of increase

in the provisioning coverage . Home loan NNPA has improved by 3 bps, LAP by 7 bps and DF has improved by 1 bps, delivering the overall N NPA at 0.11 %.

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April 23, 2025

That was all what I would have wanted to talk about on the important figures from the deck. Happy to take questions. Me and the management team is here to provide answers to the questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from the line of Piran Engineer from CLS A. Please go ahead.

Piran Engineer : Yeah. Hi! Team . Congratulations on your results. Just a couple of questions. Firstly, have we cut our home loan rates after the 50-bps repo rate cut and is it only on incremental or also on the back book ?

Atul Jain: Okay. Thanks. Yes, on the acquisition of course because we are in a competitive industry , we have to cut in line with what competition is . To the second question on the portfolio, yes the benefit has been passed on in the acquisition while there may be some differential . On the repo book , we have to pass on in line with the repo cut . On the Non-repo book , while there is a differential vs Repo book but there is a benefit which has been passed on.

Piran Engineer: No, I mean, could you quantify it -- is it 50 bps only?

Atul Jain: 50 bps is the repo . So, the repo book , it's a full 50 bps has been passed on , while on the non -repo book there is a differential ; you can say in the range of 10 to 15 bps which has been passed on.

Piran Engineer: That don't figure with BT out because the banks would have anyway passed on 50 bps?

Atul Jain: The bank s would pass on 50 bps over a period of the next three months. So, this 50 bps what we're talking about till now, which is effectively the February cut conversation we are doing , April cut conversation we'll take the view in the month beginning May. Even the bank repo pass does not happen immediately , it happens over a period of three months. The April cut pass on has not happened. In our case, the repo book is rep

riceable as and when, so that's why the repo cut entire 50

bps is passed on the Repo linked loans , while in case of internal FRR linked loans there is a decision which ALCO will take in the April end , there will be some incremental pass on which may happen.

Atul Jain: So, 15 bps is not the final .15 bps is representing February Repo cut number .

Piran Engineer: Okay and even on the incremental loans, it's fair to say that how much you've cut your PLR that much is the incremental yield cut at least for the non -repo linked loans.

Atul Jain: No, it can be higher as well or lower as well, because there is a spread adjustment also in incremental book which can happen , not on the past book . Past book there is no spread adjustment but in

Bajaj Housing Finance Limited

April 23, 2025

incremental book basis the market pricing, you cut your IRR, but there can be a plus and minus in the margin side also depending upon what is the market pricing at that point of time.

Piran Engineer: Understood, understood. This is very clear and also just a follow up on this would be , what percentage of your home loans are repo linked versus say PLR linked on book ?

Atul Jain: Our Repo book is close to 13,000 odd crores which is repo linked out of 64,000 -odd crores, 13,500 crores is repo linked book against 64,000 -odd crores of home loan book.

Piran Engineer: Okay. Understood . Secondly, just for Gaurav , over the last one year, we've increased our NCD share from 35% to 45%. Just wanted to get the logic behind raising fixed rate instruments when we know rates are going to decline ?

Atul Jain: The fundraising decision is taken at the point of a time which is a multiple factor of, let us say, what is the variable money you are able to raise at that point of time versus a fixed money , taking a call on saying that, what is the maximum downward trajectory on the variable money you will encounter versus what is the upfront benefit you are getting. So, it's a calibrated call always at that point of time what is beneficial for the company , we take a n interest rate view . So, when you raise the fixed money, you take the interest rate view versus the variable money available at that point of time. Because we are a finance company, have to keep on borrowing at all points of a time. So, what is the variable money cost versus a fixed cost and in terms of an NCD as well we have raised last year as a variable interest rate NCD. So, there is a variability there . On the fixed NCDs also, to some extent we cover through our OIS hedging as well. So, there are various strategies which are available to manage your cost of funds flow through the cycle where we're cognizant of our book and we are cognizant in the interest rate downward cycle, there is a pass-through which happens.

Piran Engineer: Understood and in today's point of time fixed rate instrument versus a variable rate borrowing which would be a bank borrowing , what would be the difference in cost?

Atul Jain: After the second rate cut, we have not borrowed in the variable rate from the bank, but there will be a ten or differential let us say a three -year bond versus the bank line today differential would be close to 50 to 60 bps.

Piran Engineer: Okay. Okay. Got it. I will get back in the queue for more questions . Thank you so much and all the best.

Atul Jain: Thank you.

Moderator: Thank you. The next question comes from the line of Shubhanshu Mishra from PhilipCapital. Please go ahead.
Bajaj Housing Finance Limited
April 23, 2025

Shubhanshu Mishra: Hi, Atul . Hi, Gaurav . Two questions. The first part is what is the total number of employees?

Atul Jain: I can't hear you clearly. Can you come closer to the mic and speak because we are not able to hear you clearly.

Shubhanshu Mishra: Like how many on-roll employees and how many contractual agents will be deployed and if we can split that asset

class, right? Second is what percentage of our construction finance book would be still in morat ? If you can give the split of what comes out in this year and what comes out in the next one- or two -years' time ?

Atul Jain: Sorry, so if I've understood your questions right, the first question is how many are the regular employees of the company versus the off-roll contract employees. So, the absolute number is 1,977 are company on-roll employees and total manpower is 4,811 as of 31st March '25. So, you can say balance 2,900 are off-roll or contractual employees . That's first part , Second part . You are saying on the construction finance Morat book , is my understanding right , that's the question you asked , how much book is Morat ?

Shubhanshu Mishra: Correct.

Atul Jain: See, I had explained last time. When we give construction finance , there is not a case where we don't have a sweep from the day one in terms of principal repayment as the sales happen . While first on a paper the Morat period is till the point of a time the project gets completed which is close to 36 months kind of a normal scenario which is the Morat , so largely in that sense if you look at from the contractual term it is larger part of the book will be Morat . However, the sweep on the sales collection starts from the day one. If I look at the past experience of last four years, there is no case which eventually comes out of the Morat , because before the three years because of the sales and the cash flows coming stronger, the entire loan gets repaid before the Morat period is over. So, we don't give any holiday on any collection as it starts. So, our construct is clear ; we disburse on tranches. This is the movement of the stage in construction. We have a sales milestone, and a collection milestone linked to each stage of construction at each tranche and each amount of rupee collected from day one there is a sweep structure which comes as principal payment and interest has to be serviced by the developer on a monthly basis on the separate side. So, Morat is a technical question because I am assuming you are coming from the banking side because in the banks they follow different structure, public sector banks where they give a complete Morat upfront and then they collect the money later on. In our case the repayment starts from day one. Have I been clear?

Shubhanshu Mishra: Sure. The first question was around the collection employees. What are the total number of collection employees that if you can give the off-roll employees?

Bajaj Housing Finance Limited
April 23, 2025

Atul Jain: So, in our case, we don't have much of off-roll employees because we are not a very heavy collection, heavy infrastructure company ; 250-odd would be the number of collection employees.

Shubhanshu Mishra: Right . Sure. I will come back in the queue .

Moderator: Thank you. The next question comes from the line of Shashi Kumar from Trade Brains . Please go ahead.

Shashi Kumar : Good evening, sir. I have observed a strong absolute growth in both PAT and total income over the past few years. However, the year-on-year growth rates appear to be moderating recently, for instance, PAT growth declined from 77% in FY23 to 25% in FY25, while total income growth also slowed from 50% in FY23 to 26% in FY25. Could you please share your perspectives in this moderation in growth rates? Additionally, do you see this as a natural normalization following a high growth phase or there are specific challenges or a strategic shift impacting the pace of growing income ?

Atul Jain: Shashi, I can request BoFA team to see the connectivity because we have guessed your questions , Shashi, you can correct and Gaurav will try to answer the question if the question is right . You are talking about growth moderating in the PAT from FY23 to now as a percentage , is that I heard you right?

Shashi

Shashi Kumar: Yes sir.

Atul Jain: Gaurav, can you check on the FY23 growth percent because we are so far looking at FY24 versus FY25, just give us a minute to look at what number you are referring to?

Gaurav Kalani : PAT growth current year is 25 % , last year was 38%. You're looking at NTI growth, right, which was 19% last year and 23% this year, right? Yes, so reason for movement from 19 % to 38 % last year versus '23 to '25 this year.

Shashi Kumar: PAT and total income over the past few years like last FY23 to FY25, PAT has declined from 77%

to 28%, while total income also declined from 50% to 26%.

Atul Jain: For FY 22 we were a three-year-old company. The base was very small. So, as the company will grow forward because if I look at from FY18 to total cumulatively it will look like the growth of a 90% or 80% because company started in '17-18. So, the initial period on a very small base, as the book grows, the income levels will grow in a very different level. There is no decline or no other than a normal sizing conversation because once you grow at a certain size, then the growth happens at a particular percentage, while the growth at a much smaller scale will be at a very different level in terms of income growth right there, because there when you are adding the book, the book increases the book

Bajaj Housing Finance Limited

April 23, 2025

by more than I think in FY22 or FY23 probably book grew by 40 %-45% correct, in FY22 versus FY21, probably book growth was much higher. You have to take a base impact. In that sense in '18 to '19, the book would have grown more than 100 %, the income would have been much more than that. It's a question of a relative sizing and the base lining, Shashi, there's no other impact.

Shashi Kumar: Okay and my follow up question is on like, in Maharashtra, there was recent hike in ready reckoner rates on the home loan average ticket size. Can we increase our growth disbursement guidance for FY'26?

Atul Jain: So, there is no impact of ready reckoner rates on the home loan growth, because ready reckoner rates are in terms of increase by the government, after three years, government has increased the ready reckoner by 6%-7%. In my individual assessment, I don't think it is going to result into any impact in demand for homes or versus home loan demand because if you are buying a house, it is not dependent upon the ready reckoner rate and ready reckoner rate in any case is the reflection of what is the pricing in the market which you are currently buying. So, to the best of my assessment, there is no impact flowing in the home loan growth from decision to increased ready reckoner rate.

Shashi Kumar: Okay. Thank you.

Atul Jain: Thanks.

Moderator: Thank you. The next question comes from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah: Hi Atul and Gaurav, thanks for the opportunity. I have a few questions. So, just one is first clarification, Atul you mentioned on that hedge book to kind of manage this fixed rate borrowing that you have done. So, can you quantify the extent of this hedging, is it material at all which can help us convert this fixed kind of liabilities into floating nature effectively?

Atul Jain: It is to some extent material. It is close to 2,300 crores if I have to give the absolute number.

Viral Shah: Okay. The way to look at it is 2,300 crores of your bonds would behave like a floating rate bond.

Atul Jain: Yes, that is the same way to look at it; 2,300 crores because there is a hedging taken in various forms. So, like if you have a 10-year NCD, you don't take a hedging against the 10 years because that is supposed to play out the interest rate cycle. It is largely a five-year bond what you hedge because that is where on the one end of the interest rate cycle you can enter at the same rate interest cycle and exit at the same. Two or a three year

ear again you are able to take a very calibrated call at the time of a raising how it will play out during the ten or as you raise the money. So, you can take the calibrated call at that point of time what is the differential between the floating rate money versus the fixed rate money what you're getting into and take an interest rate view ahead of a two year or a three year? 10 -

Bajaj Housing Finance Limited

April 23, 2025

year in any case, there is no hedging instrument available and we don't take the view at a 10-year.

So, there's a five year which falls in between where the hedging takes place. So, from that point of view, that is covered. Otherwise, two or three years when you raise the money at that point of time only you take the calibrated call on basis of saying that whether you are taking a fixed call versus a floating money what is available.

Viral Shah: Got it. So, basically on this 2,300 crore s effectively, have we seen already 50 bps kind of a decline?

Atul Jain: More than that.

Viral Shah: Okay. So, we have already seen that on the borrowing front.

Atul Jain: Because OIS they run ahead in the market basis the future rate cut expectations as well.

Viral Shah: Got it. Makes sense, yes. Atul, the other question is basically on the credit cost, right? So, now we are still at 12 bps kind of a credit cost and with no more buffer provisions there and also some bit of I would say changing book mix like say within LAP, the share of self-employed is increasing, when do we see kind of, say, normalization on the credit cost front?

Atul Jain: There is another complexity to the credit cost, which is the factor of what assignment we do, because when we do an assignment, there is a stage 1 provisioning goes down. So, that's why when we guide for the credit cost, we say on a steady state basis, 20 to 25 bps of the credit cost is what we envisage. So, if I have to say that if we don't do any assignment and the book mix remains same. In terms of a medium term that is the 20-25 bps of the credit cost is the guidance what we give which is put as a part of our medium term guidance that because if we continue to let us say assign more, the credit cost looks lower because of a lower Stage -1 provisioning, but 20-25 bps is from a business modeling

perspective of the credit cost, not more than that, less than that can be a factor of time or the decision to do assignment less or more.

Viral Shah: Got it. So, basically effectively this 20-25 is on assets, not on AUM?

Atul Jain: Yes. I will just correct your understanding. I think 12 bps is also an asset, not on AUM, which is the current cost because there is no credit cost on the AUM minus AR what is now my off book. But I am saying that because for a year if you do more assignment the credit cost for the year looks lower because you release the Stage 1 provisioning on the assets what you have assigned out. So, there are multiple mixes of our Standard Assets provisioning. That's where we are saying that if assuming we don't do any assignment out in a year and the kind of business we are pursuing 20-25 bps is the credit cost what we take in, in our business mathematics or business calculation and which is what we guide for. It is always on AR on book, it's never on an AUM; so the 0.12% is also on AR only. I just wanted to clarify.

Bajaj Housing Finance Limited
April 23, 2025

Viral Shah: Got it. Atul, Atul, next is, if you can quantify the impact from, say, the removal of the exit penalties on the floating rate loans, which is say, LAP, of course the home loans, you don't have the exit penalties, but on the LAP front, the proposed circular from RBI, what could be the impact of that if at all that gets into implementation?

Atul Jain: It won't be very material for us at an absolute level because home loans, as you have already called out are already exempt from exit charges

, commercial business is also as per the draft circular are

exempt. So, the only impact would be to an against properly. If I look at the last year entire foreclosures as collection in that business was less than 12 to 13-odd crores. So, if we have to take a zeroization, that is the kind of a number we are talking about, it's not a material number for us.

Viral Shah: And the second order impact, do you see BT outs increasing over there and maybe you will have to work more on the pricing front over there also?

Atul Jain: Let us see how it plays out with that because it's a guess work. Yes, exit barrier going down or not being there, it can result into a higher BT outs, but in that sense if you look at a home loan even today also the exit rates of LAP prepayment or the BT out rates of LAP are not very different. In fact, they are on a higher rate. So, LAP is slightly higher even with the exit clause or exit penalty as well. In home loan there is no exit clause or penalty. It depends on various factors. It is assumed to be much higher, but of course we have to generally talk intuitively, yes, we can say there can be a more BT out when there is no exit clause.

Viral Shah: Got it. Atul, if I may, one more question more from a quarter perspective, there's been a sharp increase in the OPEX on a QoQ basis? And also secondly the PBC number on a sequential basis seems to have increased by around 100 odd basis points despite, say, home loan growing slower, So, what can be the explanation for both of these things?

Atul Jain: First part we had already called out that we are investing deep, and we are going to invest deeper both in the management team and the new businesses, both SBU which we have set up and the top-6 plus markets team, we are investing. So, that sequentially it has moved up by close to 1%, it has not moved up dramatically in that sense. If I correct it, 20.9% has moved to 21.7% or 21.8% and generally March quarter is always heavier, we were talking about impact on the OPEX to NTI growing. One, it has grown by close to 1% in the current quarter versus the previous quarter, a marginal increase. But if you see previous years also Q4 is always the heaviest because generally, you tend to place all your orders and investments in Q4. That's a YoY comparison and a trend.

Second, we have called out clearly saying that we are investing deep in our SBU as well as our non-top 6 market structure. So, that is where it has inched up to that extent on OPEX to NTI for the current quarter. PBC has moved up, Viral on account of two factors; while home loan growth has been lower than the overall growth, it's the assignment out during the quarter was largely non-home loan assets.

Bajaj Housing Finance Limited
April 23, 2025

So, the PBC is calculated on the assets if there was a large assignment out of non-home loan assets, so that's where PBC you see an improvement by 1% on QoQ. Second, also on reduction of cash holdings, because for PBC computation even cash holdings are taken as a denominator. You see on a quarter-on-quarter as the exit quarter if there is a drop in the cash holding, that is also resulting into improvement in the PBC criteria.

Viral Shah: Got it, Atul.

Moderator: We take the next question from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Sir. Hi. Good evening and thanks for the opportunity. I just have two questions. One, I know there's been a fair bit of discussion on the liability side, but I still have one question. Can you please comment on the trajectory for cost of funds for FY26? What is your expectation in terms of how much can it decline because of the repo rate cut?

Atul Jain: So, Raghav, our estimate is assuming the two cuts which has happened, and one cut more happens. YoY I think we should see a drop; 34-35 bps roughly.

Raghav Garg: You're saying on a 75-basis

point s rate cut cumulatively, right?

Atul Jain: On a 75-bps rate cut cumulatively we should see 34 -35 bps kind of a pass -through on a full year basis in FY26.

Raghav Garg: Understood. Thanks . The second question is I wanted to understand how are you looking at your market share in retail home loans at the developer counter? So, why I am asking this question is when I look at the home loan AUM as a multiple of say one year or two-year LAP, developer loan, right , then that multiple of that number has been continuously declining for the last several quarters. I don't know if it makes sense to you or not. Probably you can guide me better, but if you can just comment what is your retail home loan market share maybe based on sourcing at the developer counter ?

Atul Jain: Raghav, our h ome loan market share in the market has been improving every quarter from last two years . If you look at the market dis bursals versus w hat we disbursed we have been inching up in our market share. Now , the m etric what you are seeing is to my mind I think that's not a factor . because we don't acquire home loan only at our developer counter where we have funded the project, but it is not the only part where we are acquiring the home loan business . Home loan b usiness is acquired at multiple counter s and the home loan AUM growth is also a factor of acquisition minus the retention and minus what has gone out . In terms of a competitive market, in the last year there has been a kind of a si gnificant pressure on the book from a BT out perspective, because acquisition prices ha s run much lower than with pre - cost fund cut also or a pre -repo cut as well. So, the metric for the way you Bajaj Housing Finance Limited
April 23, 2025

are looking at is not the rightful metric in that sense , our market share has moved up gradually on a quarter -on-quarter basis from last two years, three years on a acquisition basis at a total level.

Raghav Garg: Understood. So, what percentage of home loan sourcing that you do come from the developers that you have funded to?

Atul Jain: I will assume close to 15 % to 20% kind of a number. I will come back with the exact number, but my b allpark figure will be 15 % to 20% kind of a number.

Raghav Garg: Understood. That's enough. That's all from my side. All my other questions have been answered. Thanks.

Atul Jain: Thanks, Raghav.

Moderator: Thank you. The next question comes from the line of Abhij it Tibrewal from Motilal Oswal. Please go ahead.

Abhij it Tibrewal: Yes, good evening, everyone, and thank you for taking my question. So, first is the clarification on the previous question. When you said about the assumption of a 75-basis points repo rate cut, you foresee a 34 -35 basis points pass -through. Are you talking about the pass -through to the customers if there is a 75-basis points rate cut?

Atul Jain: No. We are talking about pass -through in our cost of funds t o the company . The pass -through to the customer would be higher ; it will be 45 to 50 bps kind of a number which will get passed through. Of course , it will depend upon the competitive intensity in the market , the yield impact can be 40 -50 bps on a 75-bps kind of a cut.

Abhijit Tibrewal: Got it. And I was just trying to understand, I mean, you shared earlier in this call that almost 20% of your home loan book is linked to repo rates and the remaining is linked to your internal PLR where you have already effected 15 basis points rate cut. Even when in this quarter our cost of bo rrow ing is largely flat Q oQ. So, just trying to understand that internal PLR book, right, more link ed to how market forces are, how the competitive intensity is instead of how your cost of borrowings are going to evolve ?

Atul Jain: It is both because one is the projected cost of funds trajectory as well Abhij it, because you have to pass on in the market as the rate cut expecta

tions happen to protect rightfully the BT out kind of a

portfolio because there can be a more BT out seekers if you don't pass through on your internal link ed rate loans . On the Internal linked rate loans sometimes you run ahead on passing through basis your projected reduction in the cost of fund. Like our projected cost of fund reduction probably in this quarter would be close to 20 bps from what last quarter had been there. So, if you have to pass on a Bajaj Housing Finance Limited
April 23, 2025

bit ahead of one or two months ahead of the time on the reset to protect the book from there, that's a temporary mismatch which happen .

Abhijit Tibrewal: Fair enough. Fair enough. And the other thing I was trying to understand in th ese last three months or so, I mean, has anything changed in terms of aggression from bank ?

Atul Jain: If you're talking about public, I think the aggression has not changed even post March end. F rom a private sector bank, we saw a clear bit of aggression in the month of March. I think April in our assessment what we have seen in the market is we are yet to fully f irm up the mind. I think public sector banks continue to be much more aggressive. Private sector banks are not that aggressive in the

month of April, but in March, everyone was as aggressive as what we could have assumed.

Abhijit Tibrewal: Got it. So, essentially speaking, I mean March right, which is where we continue, we've always seen this competition from banks, but beyond that because of rate cuts you have not seen any additional aggression from banks either PSUs or private?

Atul Jain: After the first rate cut, I think PSUs were far more aggressive, after the second rate cut, the market is yet to find its feet or get settled in the pricing because pricing gets settled after 15-20 days of the rate cut, so it's yet to settle down the market. What I talked about the early indicators is our feelers in the market. We'll have to finally arrive at the conclusion in month of May, because February rate cut we saw the impact in the month of March, April rate cuts probably in month of May is where we will be able to appropriately rightfully answer saying that what we are seeing in the market.

Abhijit Tibrewal: Got it. That is useful. And the last question that I had was, I mean, in terms of assignments you explained how credit costs can vary when you do assignments because there's a general provision release. I was just trying to understand how are we thinking about assignments going forward because as you'll appreciate there is a component of upfronting of the assignment income that comes through. So, how are we thinking about assignments more structurally going forward?

Atul Jain: So, assignment is an integral part of a mortgage balance sheet because of an ALM match what we get because we are essentially lending for long term and our borrowings are not for that long term. For a mortgage company assignment at a particular portion of a 12 to 15% of our book normally we keep it and that's a long term strategy as well. You will continue to see the percentage of assigned out at that ratio. It is nothing to do with the upfronting of income. Yes, that's an Ind AS accounting which results into. So, in this last quarter in that sense there is an assignment income of 46 crores which is booked in because of the assignment. But if we exclude assignment income also, then also the income growth would be in line with Q4 FY24 in terms of non-interest income growth.

Abhijit Tibrewal: Got it. This is useful. Thank you so much and wish you and your team to do well.

Bajaj Housing Finance Limited
April 23, 2025

Atul Jain: Thanks, Abhijit.

Moderator: Thank you. The next question comes from the line of Dhaval from DSP Mutual Fund. Please go ahead.

Dhaval: Hi, Atul, congratulations for the quarter. Just three questions. First was relating to spread. So, till

now whatever we have discussed around pricing and cost of funds, is it safe to assume that next year we could see about 10 basis points of spread compression from where we end Q4, so any comment around that would be useful? The second question is relating to the target asset mix. So, if my understanding is right, directionally, we expect the developer book share to increase, we expect the deeper market share to increase and those yield will benefit outcomes. How much of that can play out in next year and sort of help you protect on the asset mix related benefit, any comments around that would be useful? And the last bit is the minimum public shareholding, just any color around that, how do you intend to sort of get to that 7.5%, will there be fresh equity, etc., in FY26 or we intend to use that in FY27, any comments around that would be useful? Yes, these are the three questions. Thank you.

Atul Jain: Thanks, Dhaval. On your first question, if we maintain as it is book mix, yes, you can see NIM compression of a 10 to 15 bps during the year because if we are saying 34-35 bps is what we expect, the differential in the cost going down and I said 45-50 bps on the yield impact which can be there if we take a 75 bps kind of a rate cut scenario. However, as you have only called out, there is a target type mix which is a play around for us available whether a developer finance book going up from 12.5% to 15% what we had called out in last year also which results in to compensating the increase of our non-top six markets which we have invested deep or increase of contribution from the SBU in terms of a near prime and there. We will target to cover a reasonable portion of that hit what we expect from the NIM. Of course, the pool cannot be covered because there is a larger book sitting there, but to the extent our intent would be to compensate or mitigate a larger part of the hit what is going to be there from the yield or a NIM compression in terms of a declining rate scenario. However, I would just like to call out, we had always called out earlier as well even when we were talking about the interest rate cut scenario was not there. Mortgage is a cyclical business. When the interest rates are up of course the margins expand for a point of time, then the liabilities catch up on the going interest rate scenario while the assets run a bit ahead of a liability. On a downward cycle, it will be a reverse way barring the change of the mix play what as I called out we will try to do. But through a cycle that is where it remains, and that's where our ROEs will remain within the guided range of the medium-term ROE range what we have given with the plus/minus whether interest rate increasing cycle or whether a decreasing rate cycle. Of course in that scenario we'll try to play it a bit different to overmanage so that there is a less of a disruption. So, 10-15 bps on a steady state, but we are confident that we should be able to mitigate a larger part of it through the asset mix change strategy what we are trying to execute. You asked on public shareholding. It's 2.5 years away, Dhaval, to meet

Bajaj Housing Finance Limited
April 23, 2025

a 25% requirement . Of course categorically, I can tell you there is no plan to raise new capital in FY26 because our leverage is 5.1 or 5.2 as of 31st March '25. As a mortgage company, it does not make sense for us to raise money anywhere less than 7.5 kind of a lever age. So, there is no conversation or a thought process around any public issue part . For meeting the guidelines there is a mix of whether it can be a secondary offering from Bajaj Finance shareholder s. At the appropriate time, the board of Bajaj Finance will have to take the call to say that how do we need that. But there is no primary conversation which will happen for next at least 1.5-2 years. There's no primary requirement of the capital.

Dh

aval: Understood. Atul, very useful. Thanks and all the best.

Moderator: Thank you. The next question comes from the line of Pranuj from JP Morgan. Please go ahead.

Pranuj: Thanks for the opportunity. So, my first question is on your incremental loan sourcing that you're doing. On what basis do you decide whether you have to link it to repo or your PLR , like is it purely based on competition, some customer cohort or on an incremental basis should we see this queue continuing to move towards higher repo linked loan ?

Atul Jain: So, this is dependent upon market scenario and also our ability to sell to the customer. So, incrementally you should see more of a PLR because repo it's internal settings , we offer repo asset size only to the extent of a repo liabilities we have to not to carry a interest rate risk in the balance sheet. So, if I have to say if there was a 14,000 crores repo book on the assets side, there's a 16,000 crores book on the liability side for us to not have a mismatch in the interest rate risk side because we can't carry interest rate risk side, we are only a credit risk company which we have to take a credit risk because we are in a lending business , apart from that , we don't want to take an interest rate risk. So, the ability to grow repo book is linked to our ability to grow repo linked liabilities , rest has to be in the internal PLR.

Pranuj: Okay. So, the preference would be for PLR part . I am guessing because of higher competition, it could shift more towards repo also?

Atul Jain: It will be determined by the availability of our repo liabilities rather than the competition, because we will not want to create an interest rate risk in the balance sheet.

Pranuj: Okay, okay , understood. And the 15 ,000 crores repo linked liabilities will be all bank loans?

Atul Jain: Largely.

Bajaj Housing Finance Limited

April 23, 2025

Pranuj: Okay. Thanks for that. The second question is on your affordable and near prime SBU unit. So, will the growth over here be purely organic or will you also try to BT out customers from some of the affordable housing companies?

Atul Jain: We are looking at organic growth here. The BT is in this business what we have started as an SBU will not be more than 10 % to 12% of the mix. E ven now what we are acquiring is 10%-12% of the mix only comes as a balance transfer because we want to look at a n organic number and we want to build a purchase transaction mix because we are yet to learn the ropes of the trade in this business as we are going forward and we know from experience that balance transfer is slightly more riskier than the organic purchase which is the monetization versus the investment or a purchase of an asset. So , our focus will largely be on purchase assets here as we grow this business.

Pranuj: Okay. Understood . And what would be the yield as compared to your current on -book yield of 9.7% in the affordable and near prime segment?

Atul Jain: The yield you don't need to compare with the current book because in a home loan to home loan versus a prime acquisition loan to a near prime and a ffordable book, the difference in yield will be close to 180 bps on acquisition.

Pranuj: Okay. Understood . That's very clear. Thank you. That's it from my side.

Moderator: Thank you. The next question comes from the line of Nischint Chawath e from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Yes. Thanks for taking my question. You mentioned about approximately a 10 basis points kind of a hit this year because of the fall in the interest rates . I mean, I was just curious whether this is only for the home loan book or is it kind of doing a math for the entire book , and in that sense, what role can really be played by the change in business ?

Atul Jain: You are talking about book stock as of today, so which includes the book stock. That is where we said that the part of it or

larger part of it will try to mitigate through the asset mix change as we acquire during the year. Because we are taking the stock on the stock today when we are calling th at out.

Nischint Chawathe: And this is not a home loan book, this is the entire book that we're talking ?

Atul Jain: Yes, I am talking about stock .

Nischint Chawathe: Yes, I understand , the stock of not home loan, but the entire book ?

Bajaj Housing Finance Limited

April 23, 2025

Atul Jain: Sorry, entire company book stock .

Nischint Chawathe: And on the bank borrowing side of 34,000 -odd crores, how much is linked to repo?

Atul Jain: MCLR is close to 23 %-24%, balance is either repo or repo equivalent which can be a T-bill or a g-sec where the pass through is as close to repo.

Nischint Chawathe: Got it. And on the disbursement side, how much is linked to repo?

Atul Jain: On the disbursement side, repo in the last quarter would be quite low. I don't have the exact number there, but it would be quite low. Largely if you look at the repo book it would have remained stable versus last quarter to this quarter.

Nischint Chawathe: Got it. Thank you very much and all the best.

Moderator: Thank you. The next question comes from the line of K ayur Asher from PNB MetLife India Insurance. Please go ahead.

Kayur Asher : Yes. Thank you for the opportunity, sir. I am just trying to better understand how do you manage ALM risk in this business ? So, just if you could give some flavor on what would be roughly the tenor of the loans that you extend across these product classes of home loans , LAP. And just against that, how are we placed on the borrowing side? Just because I am trying to understand from the deck, I see that close to 50 % to 60% of your liabilities are up to 3 year tenor. So, just trying to better understand the ALM risk aspect .

Atul Jain: Asher, the loan tenor or what we offer in the various products is different like for a home loan, let us say the tenor can be anything from 15 years to 30 years as well. However, I have to follow that the behavioralized maturity of the home loan is less than 7 to 8 years because the extension of tenor initially is a one conversation, but there is a behavioralized maturity of the book, which is 7 to 8 years, which is largely in line with what is in industry or what we see. And we are largely a prime home loan company , so we see the behavioralized maturity at close to six to seven years only rather than even eight years scenario. And then the second part of the book which comes in terms of whether it's a developer finance, where we look at a behavioralized maturity at less than 24 months today. So, there is various parts of the book . At the average behavioralized maturity of the book is which tenor you extend , on the behavioralized maturity of the liabilities there is various mixes we play. I called out in the earlier answer saying that 12 % to 15% of our assets we always do assignment out as a liability mix because that's the perfect match funding. Then it comes 10 -year bond which is again a long term which covers more than what we look at for covering of a liability, then the bank loans or the NCDs which are largely between average maturity for three to five years. That is where it is managed . What we look at is our ALM , we don't factor in any kind of a rollover of the liability. That's Bajaj Housing Finance Limited

April 23, 2025

what you are looking at a cumulative gap or there is a 10% is well lower than If I say that from the regulatory definition permissible because we don't even factor in rollovers available , for the other loans, there is a rollover , because in the mortgage business if I have to take a eight -year liabilities all eight -year liabilities are not available either in the bond market and no rate is advisable to fill the entire bucket through a 10 year bond market. So, the ALM is to be managed by

the company actively,

which is in like with all mortgage play if I have to say so .

Kayur Asher: Right. Understood. Thanks. This is helpful. Yes, thank you.

Moderator: Thank you. The next question comes from the line of Viral Shah from I IFL Capital. Please go ahead.

Viral Shah : Yes. Thanks for the opportunity for getting me again on the line. Just one last question , Atul, was I was noticing your BSE disclosure . So, there is some 4 ,000 crores of portfolio that has been bought this year unlike in the previous years. So, what exactly is this, if you can give some color from where we are acquiring this?

Atul Jain: Viral, this is a portfolio what we purchase , this is the assignment of the portfolio from various players which I can 't name the players where we purchase the various portfolio as a technically opportunity available from a making a bit of a money. That's the portfolio, which is the purchase , pooling purchasing which is an assignment in, there's an assignment out what we do and there is an assignment in what we do. It's a pure opportunistic bit of a margin expansion strategy.

Viral Shah: Like what yields do this come in , any idea if you can share that?

Atul Jain: It is incremental, it is ROE accretive to the business.

Moderator: Thank you. The next question comes from the line of Shreepal Doshi from Equirus. Please go ahead.

Shreepal Doshi : Hi, sir. Thank you for giving me the opportunity. My question was on the developer finance portfolio. So, I was just checking with the number of projects that we have. So, there is a decline in the incremental projects that we are doing. So , is there some reading with respect to decline in the conversion rates with respect to enquiry to purchase ratio in the real estate sector that you see ?

Atul Jain: Shreepal, no, we are not seeing any decline. While there is less launches which is happening in the last six to nine months, which is as per various reports available in the market, there is less launches which is happening , but at our state we have not seen kind of a decline . That absolute number if you're referring on a quarter -on-quarter growth in terms of a number of projects , on a value basis , we

have done better , we have done a higher number , it can be that there is number of projects can be lower, but it's not structural in nature. I've not seen that number. At absolute number we have added
Bajaj Housing Finance Limited
April 23, 2025

last quarter 45 projects, this quarter 60 is added. So, I am not sure the number is coming in terms of a decline .

Shreepal Doshi: Number of projects like it is 758, right?

Atul Jain: 798.

Shreepal Doshi: Right, right, right. Are you seeing any trend there with respect to like the decline in the enquiry to conversion rate at a project that we financed ?

Atul Jain: No, no, no. You are talking enquiry to conversion of the retail sales or you're talking about conversion of -

Shreepal Doshi: Yes. For the developers .

Atul Jain: While there is a slowdown in sales , that is what if you're referring to the market, the reports in terms of a slowdown of the sales, but you look at the inventory ratio it's the ever lowest in the country today because the launches have declined more than the sales ratio. So, net-net no impact in terms of an inventory because as the inventory is still going down only while the sales are slow, but there is no stock also available proportionately in that .

Shreepal Doshi: Got it. Yes, that was the only question I had. Thank you for answering.

Moderator: Thank you. The next question comes from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Thanks for the follow up opportunity. Just one question from my side. Needed some clarification to my earlier question. So, when you said 35 basis points reduction in funding cost, you meant that over the next one year, right, so 35 basis points lower on the

exit for the run rate for '26. Is that understanding correct?

Atul Jain: No, I meant YoY cost. So, for the year, what was our cost of fund versus next year projected cost of fund. For the year -to-the year, I did not mean exit -to-exit quarter , I meant for the year.

Raghav Garg: Okay. Thank you. That's all.

Moderator: Thank you. Ladies and gentlemen, that concludes the question -and-answer session. I now hand the conference over to Mr. Anuj Singla for his closing comments.

Anuj Singla: Thank you very much Atul sir, any closing remarks from your end?

Bajaj Housing Finance Limited
April 23, 2025

Atul Jain: Thank you very much , thanks everyone for giving us an opportunity to explain our position. Thank you.

Moderator: Thank you. On behalf of Bajaj Housing Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

28 July 2025

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra - Kurla Complex, Bandra (East)
Mumbai - 400 051
BSE Code: 544252 NSE Code: BAJAJHFL - EQ

Dear Sir/Madam,

Sub: Transcript of earnings conference call held in respect of the financial results for the quarter ended 30 June 2025.

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations .

In furtherance of our letter dated 07 July 2025, informing the Exchanges regarding earnings conference call in respect of the financial results of the Company for the quarter ended 30 June 2025, the transcript of Q 1 FY2026 earnings conference call has been uploaded on the website of the Company and is available at ' Quarterly Earning Conference Call Transcript ' drop down at <https://www.bajajhousingfinance.in/investor-presentation>

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

We request you to kindly take the same on record.

Thanking you,

Yours Faithfully,
For Bajaj Housing Finance Limited

Atul Patni
Company Secretary

Email id: - bhflinvestor.service@bajajhousing.co.in
Cc: Catalyst Trustee ship Ltd. (Debenture Trustee, Pune)

Page 1 of 23

"Bajaj Housing Finance Limited Q1 FY -26 Earnings
Conference Call"

July 23, 2025

MANAGEMENT : MR. ATUL JAIN – MANAGING DIRECTOR , BAJAJ
HOUSING FINANCE LIMITED
MR. GAURAV KALANI – CHIEF FINANCIAL OFFICER ,
BAJAJ HOUSING FINANCE LIMITED
MODERATOR : MR. AJIT KUMAR – JM FINANCIAL

Bajaj Housing Finance Limited
July 23, 2025

Page 2 of 23

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Moderator : Ladies and gentlemen , good day and welcome to the Q1 FY '26 Earnings Conference Call for Bajaj Housing Finance Limited.

As a reminder, all participants' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajit Kumar from JM Financial. Thank you and over to you, Mr. Ajit Kumar.

Ajit Kumar: Thank you, Dorwin. Good evening , everyone and welcome to the 1Q FY '26 Earnings Conference Call of Bajaj Housing Finance. First of all, I would like to thank the Management of Bajaj Housing Finance for giving us this opportunity to host the call.

From the Management team today, we have Mr. Atul Jain – Managing Director , Mr. Gaurav Kalani – Chief Financial Officer , and other Senior Members of the Management Team .

We will have opening comments from the Management Team , post which we will open the floor for Q&A.

With that, I would like to transfer the call to Mr. Atul Jain for his opening remarks. Over to you, sir.

Atul Jain: Thank you, Ajit , and JM team for hosting us. A very good evening to all people joining on the call. I have with me , Gaurav Kalani , who is our CFO , and all the senior members of the team to be present here to answer any questions you may have , once we have gone through the investor deck . Over the next 10 -15 minutes, I will quickly highlight the important aspects or important panels on the deck , and then we will open the forum for questions and answers.

I will move to Panel # 3. Overall, Q1 was a balanced quarter with AUM growth of 24% , which was driven by moderation in real estate market , coupled with intense competitive pricing , resulting into higher attrition. PA T grew by 21% , and RO A of 2.3% was in line with Q1 FY '25. Asset quality remained healthy with GNP A at 30 bps and NNP A at 13 bps respectively. OPEX to NTI remained flat at 21.2% against 21% in Q1 FY '25.

Bajaj Housing Finance Limited
July 23, 2025

Page 3 of 23

In terms of geographical coverage, we operate through a network of 217 branches across 175 locations. Annualized ROE for the quarter came at 11.6% , and annualized credit cost was 0.16%. Capital adequacy remains comfortable , aided by capital raised during the last year , with C RAR at 26.9% , and PBC ratio , which is a principal business criteri a for being an HFC as defined by the Reserve Bank of India was at 61.71% , higher than the regulatory requirement of 60%. I will move to Panel # 4 now. I have covered overall AUM growth on the previous panel. At product level, home loans grew by 21%, LAP by 30%, lease rental discounting by 29% and developer financing by 32%.

During the quarter, AUM grew by Rs. 5,736 crores against Rs. 5,701 crores in Q1 FY '25. Portfolio mix continues to remain well diversified with HL mix of 55.8%, LAP of 10.5%, lease rental discounting at 20.4% , and DF at 11.9%. In terms of disbursement, company disbursed Rs. 14,651 crores in Q1 FY '26 against Rs. 12,400 crores in Q1 FY '25, a growth of 22%.

I will move to the next panel. Cost of funds on sequential basis saw reduction of 21 bps and stood at 7.7% in Q1 FY '26 versus 7.9% in Q4 FY '25.

25. This was owing to incremental borrowings at lower rate, coupled with repo rate transmission benefit on existing borrowing. Borrowing mix remained well diversified between various instruments, where money market stood at 53%, bank borrowings at 37% and NHB refinance at 10%. Gross spread for the quarter was flat at 1.8% on sequential basis with reduction in portfolio yield, which got offset with reduction in cost of funds. Net interest margin stood at 4% and that too was in line with Q4 FY '25. OPEX to NTI was flat at 21.2% in Q1 FY '26. Company's digital initiatives continue to get traction with e-agreement penetration now at 93%, and improved penetration in digital customer onboarding journey now at 88% in June '25. I will move to Panel # 6. Healthy asset quality during the quarter with GNPA of 30 bps and NNPA of 13 bps as of 30th June, '25. Annualized credit cost stood at 16 bps in Q1 FY '26, against 5 bps in Q1 FY '25. However, if we exclude overlay release of Rs. 25 crores in Q1 FY '25, normalized credit cost would have been at 17 bps in Q1 FY '25. So, 16 bps in Q1 FY '26 versus 17 bps normalized in Q1 FY '25. Profit after tax grew by 21% to Rs. 583 crores in Q1 FY '26 against Rs. 483 crores in Q1 FY '25. Annualized ROA for the quarter was 2.3%, which was in line with Q1 FY '25. Annualized ROE was 11.6% in Q1, due to excess capital, post capital raises done in FY '25. Overall net worth stood at Rs. 20,508 crores as of 30th June '25. Now I am jumping straight to Panel # 15. These are key financial indicators for medium term guidance for the Company. They have not changed from the previous quarter. Bajaj Housing Finance Limited
July 23, 2025

Page 4 of 23

I will move to Panel # 17. I have covered majority of the metrics in the previous slides. However, during the quarter, net total income grew by 25% as an additional metric. Operating expenses grew by 26%. Overall, PAT came at Rs. 583 crores against Rs. 483 crores. Moving to Panel # 19. As evident, portfolio yield reduced by 20 bps on sequential basis and 30 bps on Y-o-Y basis and stood at 9.5% in Q1 FY '26. While COF also witnessed reduction of 20 bps on sequential as well as Y-o-Y basis to 7.7% in Q1 FY '26. Thus, on a sequential basis, the gross spread was flat at 1.8%. However, there was a reduction of 10 bps over Q1 FY '25, because of a 30 bps reduction on the portfolio while the cost of fund reduced by 20 bps. OPEX -to-NTI, as we called out, was flat at 21.2% due to investment in SBU and non-metro markets as we called out during last quarter's Investor Day. Now, I have already covered asset quality, ROA and ROE on the previous panel. Thus, we will move to Panel # 20. Well diversified borrowing mix, which is backed by borrowing relationship with 17 banks, NCD mix had inched up 5% sequentially, corresponding reduction in bank borrowing by 4.5% and NHB refinance by 0.40%. This resulted as we borrowed more long-tenure NCD during the quarter gone by to optimize cost of funds. Moving to Panel # 23. Overall, well diversified AUM mix, witnessed movement between products while change within our guided range. LRD mix improved sequentially by 1.3% and reduction in developer finance by 60 bps, home loan by 40 bps, and LAP by 20 bps. Moving to Panel # 28, GNP A, NNPA have been covered on earlier panels. Stage 1 assets had slight reduction of 3 bps on sequential basis to 99.36% in Q1 FY '26, with increment of 2 bps in Stage -2 assets at 0.34% and 1 bps in GNP A at 0.30%. Provisioning coverage ratio remained healthy at 56.25%. Moving to Panel # 30. In terms of product-wise GNP A, marginal increment of 2 bps in home loans at 0.36% in Q1 FY '26, while improvement of 4 bps in LAP at 0.61%. Overall GNPA thus inched up by 1 bps. Overall NNPA inched up by 2 bps to 13 bps as of 30th of June. Moving to Panel # 31. This is the new panel what we have added for the first time as we have start

ed sharing the investor deck. While the medium-term guidance continues to remain intact as called out in the earlier panel. Given the 100 bps rate reductions which have happened since February '25, we have added this new Panel in the current quarter on Management assessment of key financial indicators for FY '26.

Due to heightened competitive activity, pricing on the acquisition, higher portfolio attrition and benign real estate market, AUM growth assessment for FY '26 is expected to be in the range of 21%-23%.

Bajaj Housing Finance Limited
July 23, 2025

Page 5 of 23

In terms of operating efficiency, as the company has been investing in the newly launched SBU

and non-metro market coupled with NIM moderation due to lower rate scenario, OPEX to NTI is expected to be flat in the corridor of 20 %-21% in FY '26 in line with what we delivered last year. These metrics are also expected to hold across portfolio and remain within our medium-term guided range.

Coming to profitability, NII is expected to remain stable and in line with FY '25, while NIM or NTI may moderate by 15 -20 bps. This is because of 2 factors. One is reduction in investment income, which was higher in last year due to excess investment post 2 rounds of capital raise and also lower income on derecognized loans, because we have planned for lower assignment in the current year versus what we did in last year.

Now, ROA is expected to remain range bound at 2 %-2.2%, which is in line with our medium-term guidance and with ROE moderation of 11 %-12% which is resulting from equity overhang of a capital raise done in FY '25.

Now, this is all on important updates for the quarter from my side. Me and Management team are happy to take questions from the forum. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will now wait for a moment, while the question queue assembles. The first question is from the line of Dhaval from DSP. Please go ahead.

Dhaval Sanghvi: Hi, thanks for the opportunity. Atul, I just wanted to say a couple of things. First is on the guidance for FY '26. So, effectively, we have cut down our AUM expectation by approximately 300 basis points versus our previous assessment.

And in terms of margin, there is another 5 bps of impact mainly because of the additional repo.

Last time, I think you remember, I think we said 75 bps, now it is already 100 basis points.

Another 5 bps of margin compression and no improvement in OPEX, because of the additional investments, which is basically offset by the 5-bps side cost benefit compared to your earlier expectation, and hence the ROA in the 2 to 2.2 corridor. So, is the broad guidance understanding correct or is there any change? So, that is the first question.

Atul Jain: Broadly correct, Dhaval. 21%-23% against a medium term of 24 %-26% AUM growth trajectory is correct. Margins, we are likely to see a compression of 5 -10 bps which is called out.

Improvement in OPEX, while on a ratio you will not see improvement, but on operating efficiency point of view, I will only like to call out that we will continue to improve because improvement is not visible, because investment is one part, but the second is also moderation in NIM and NTI like we called out because of a lower assignment. Because OPEX to NTI ratio has 2 parts - One is a growth in income, second is OPEX.

Bajaj Housing Finance Limited

July 23, 2025

Page 6 of 23

OPEX efficiency, we continue to drive despite the investments what we are making, but because of a moderation in NIM as well, like if I have to give an example, if the NII or NTI would have been the same in this Quarter 1 FY '26 the way it was in FY '25, our OPEX to NTI would have looked at 19% against a 21.2%.

So, operating efficiency is continuing to be there despite we continue to invest, but NIM moderation

or NTI moderation will mean that the OPEX to NTI line will look flat as far as the

ratios outcome is concerned. I hope I have been able to answer your question, Dhaval.

Dhaval Sanghvi: Understood. This is very useful. Just one other thing which I wanted to touch base is on the growth expectation. So, typically, we see this in every rate cycle that there is a lead lag between the competitive environment where someone benefits on the cost of funds, better than others but over a period of time it catches up. So, do you see somewhere in the second half of this year and maybe early 2027, you see the catch up happen from a competitive dynamic perspective or what are the ways to basically go back to our medium-term growth expectation? So, just wanted to hear your thoughts on that.

Atul Jain: Our hope would be that by end of Quarter 3 or so, we should be able to go back to, that is why we have not changed our medium-term guidance, while we have changed the assessment for the current year.

The reason for that is because of very intense competitive activity, as you see, the disbursements grew by 22% on a Y-o-Y, but AUM growth was same or flat in terms of an absolute number.

That was of heightened competitive activities due to rate cut pressure in the segments what we operate. We estimate that it will still flow through for 1 or 2 quarters. After that we are expected to come back to the normal trajectory what we think. That is what we assess as of today.

Dhaval Sanghvi: And what would be your incremental spreads, like where we would be today and your expectation for the full year?

Atul Jain: NII is expected to remain flat, compared to what last year was there. So, gross spread at 1.8%, plus minus 4 -5 bps here and there is what we continue to maintain, because that we control through the change in the product mix or change in the segment, because that is where we want to be in the corridor. NTI will go down, because of like we called out lower investment income

in the current year versus last year , because of overhang for excess capital last year was much higher and we keep on consuming every month as we go forward.

Second is the lower assignment income.

Dhaval Sanghvi: Got it. This is very useful, Atul. Thanks. All the best.

Atul Jain: Thanks Dhaval .

Bajaj Housing Finance Limited

July 23, 2025

Page 7 of 23

Moderator: Thank you. The next question is from the line of Raghav from Ambit Capital. Please go ahead.

Raghav Garg: Hi. Good evening. I just have a few questions. One is on the LAP growth that has been pretty strong for last many quarters. I just wanted to understand what are you doing to deliver this kind of growth in the LAP portfolio? Is it expansion into new states or new customer profiles? I just want to get better color on this. That's my first question.

Atul Jain: Raghav, the way we look at LAP and lease rental discounting, we look at an interchangeable segment basis the risk-return profile. We had called out 2 quarters back , stating that as the risk - return ratios become favorable for LAP portfolio, we can increase our weight on the LAP , which is what we had done. There is a Home Loan portfolio because of a PBC requirement.

There is a non -Home Loan portfolio where LAP and L RD both sit. So, this is opportunity. We see an opportunity which is risk -return metric being more positive in LAP versus L RD. We will increase that ratio.

We are data -dependent and market -competitive activity -dependent. Because LAP , the pricing had rectified to a certain extent in the market in the last 2 quarters, what we saw. That's why we could grow LAP more. It will depend upon risk -return ratios, Raghav. We remain committed to grow whichever part of the business makes better business sense for the company.

Raghav Garg: What would be your disbursement yield on the LAP portfolio versus say, whatever you are charging in th

e Home Loan portfolio , how much higher would it be?

Atul Jain: Approximately, on a thumb -rule basis, I think it will be higher by 100 -120. I will just give a minute to Gaurav to check the data. My approximate ballpark figure will be 100 -120 bps.

Raghav Garg: Understood.

Gaurav Kalani: Between the portfolio...

Atul Jain: 100 bps. I said 100 to 120 bps. It is 100 bps.

Raghav Garg: Understood. My other question is on the employee OPEX bid. So, w hen I just look at your employee OPEX and then divide that by the average number of employees, that number, which is sort of an indicator of salary expense , has been growing at a rate of 30% for the last many quarters. What is driving such growth in salary costs? And where do you foresee this trend or growth rate settling? Or when do you see this growth rate coming down? Because 30% for the last many quarters is a pretty steep growth rate , right? I just want to understand why this is the case.

Atul Jain: Employee cost.

Bajaj Housing Finance Limited

July 23, 2025

Page 8 of 23

Gaurav Kalani: Employee cost has year -on-year grown 20% from Rs. 113 crores to Rs. 135 crores. Are you looking at the same number, Raghav?

Atul Jain: Raghav, it is a different number. Because 30% is not the number what we have. 20% is the number what we have. In fact, it was flattish versus last year. Last year was a flattish number versus the previous year number. So, last 2 years put together, we would have seen close to 20% kind of a growth in the salary cost. But to answer that question, where is the growth coming in the recent quarters we have seen in salary , is coming largely from the investments what we have done in SBU, as we called out, and also the non -metro market.

Also it would continue to be done for the next 6 months. I will say at least next 2 to 3 quarters it will continue to be there. Because as we continue to expand . Non-metros, I will say maybe another 1 quarter to 2 quarters where we will continue to invest to reach a t reasonable size.

SBU probably we will continue to invest, not only in the current year, but in the next year as well as we continue to expand our geographic presence and the customer segmentation.

At an overall level, it will not impact materially in the company OPEX line, that we are mindful of. That is where I called out OPEX to NTI ratios, the operating efficiencies will continue to build , despite our building or making these investments . As NIM moderation tapers off, you will again start seeing the operating efficiencies coming in.

Raghav Garg: Understood. No, I was just referring to this employee count , which seems to be about 10% lower Y-o-Y. But I think your explanation helped a lot. So, c an I move to the next question?

Atul Jain: Yes, please.

Raghav Garg: Okay. So, I just wanted to clarify whether you said that NIM may moderate by 5 to 10 basis

points. Is that what I heard? Is that the correct understanding ?

Atul Jain: Yes, it will moderate to 10 basis points roughly , 5 to 10 basis points.

Raghav Garg: Okay. And one explanation was that you will do lower assignments. The other one was lower investment income , what is the reason for this?

Atul Jain: Lower investment , it is Y-o-Y comparative what we are doing. Last year since we had done excess capital, because we did 2 rounds of a capital raise. One was the rights issue what we raised in April and then there is a public issue of Rs. 3560 crores what we did there. So, consequently, we were carrying much higher levels of investment . As the capital got consumed, the issue d proceeds got deployed.

The current year Y-o-Y, the investments are going to be lower and coupled with the yield from the investment to the current year is going to be lower , because of a lower interest rate regime.

Bajaj Housing Finance Limited

July 23, 2025

Page 9 of 23

So, both the factors put together, there will be a lower

investment income , which is visible in the

Q1 F Y '25 to Q1 F Y '26 as well if you look at the differential between after NII to NTI. The differential is NII is above , but NTI is lower versus Q1 FY25 to Q1 FY26 .

Raghav Garg: Okay. But say for example if I look at cash and investment side, if I look at it for this quarter and compare it to 1Q F Y '25, cash and investment as a percentage of borrowings of total assets, it seems to be same Y-o-Y. There is not material difference.

Atul Jain: Raghav, you are looking at a 30 June figure. When we look at the investment, it is an average investment and average cash carry during the quarter.

Raghav Garg: Understood.

Atul Jain: At the quarter end, the figure can be the same , but average investment for the quarter can be very different even when the number is the same.

Raghav Garg: Fair enough . Thanks a lot for the questions .

Atul Jain: Thanks, Raghav .

Moderator: Thank you. Our next question comes from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Hi. Thanks for taking my question. If I look at the growth rate in home loans and that is kind of consistently sort of slowing down from 30% in the first quarter of last year , now going all the way to like around 20 %-20.5%. So, I am curious, is this because of just heightened competition or is it to do with the fact that demand has not yet picked up? What is it that is happening over here? And I know you do not give break -up of disbursements , but some color in terms of whether there is any growth in disbursements or not.

Atul Jain: So, Nischint , the growth rate in HL has come down due to 3 factors. One is the real estate market has been showing some moderation over the last 2 -3 quarters as evident from various reports , what you would have seen as well as what was published in newspapers. Even when you look at the Bureau data for home loan disbursements in the last 2 -3 quarters versus earlier, there is virtually no disbursement growth.

There is an AUM growth , but no disbursement growth at an industry level. So, when the industry growth is not there in disbursements, for you to continue to grow disbursements at the pace what you were doing becomes difficult , because you have to take the part from someone else.

To answer the question in that sense that disbursement growth is still happening in the retail side, for Q1 versus last Q1 we would have a 12% disbursement growth as far as home loans are concerned.

But it is higher attrition because of competitive pricing which is one part. Second part is the

Bajaj Housing Finance Limited

July 23, 2025

Page 10 of 23

market being slower than what it used to be specifically Y-o-Y, that is what is resulting into the growth being low.

Nischint Chawathe: Got it. And any sense in terms of, I know you explained the competitive dynamics changing aspect, but any sense in terms of any revival in demand that you would probably expect?

Atul Jain: So, there are 2 parts. For the size of a demand perspective, I think we are a small player . As of now, we have a good highway to cater and as we continue to expand in our segmentation of near prime and Affordable , we will continue to grow the disbursements as well as the AUM , even if the demand remains sideways.

What we see in the Q3, which I said as an answer to the first question, we see by Q3 , the pricing disruption and accordingly the portfolio attrition to stabilize, which will mean that we expect or we should be back on the mode by Q3 or so , as per our estimate in case there is no further large pricing disruptions in the market, which we do not estimate to be, but I am just stating that if there is no large further pricing disruption in the market, growth even remaining sideways, I think we can revert to our original growth numbers , even if the overall industry level remains

sideways.

Nischint Chawathe: Got it. No, in terms of rate transmissions,

you would have done 2 cuts, right, if I recollect rightly and if you could just sort of spell that out once again for us.

Atul Jain: We have done 3 cuts. Third cut was done on 1 July. So, there are 2 parts to the rate transmission. One part is that there is a significant amount of a book, which is linked to external benchmark even in the asset side. So, there the rate transmission happens as per the benchmark which is agreed and passed on.

Other is the book linked to our internal benchmark. Internal benchmark, where the prime salaried book, we have passed on 3 cuts till now from the rate cut cycle, which is totaling a total amount of 45 bps on the existing portfolios, on internal PLR.

On the external repo linked benchmark portfolio, which is also significant in our case, there is a full 100 bps of transmission which has happened.

Nischint Chawathe: And 45 is fully passed on or 45 will be reflected or how much will be reflected from the next quarter?

Atul Jain: From the 45, 20 is passed on 1 July. So, what we are factoring in for the ROAs for the coming quarters or for the full year is factoring in what we have passed on 1 July, because there is an incremental cost benefit also which is going to accrue in the Q2. So, we expect our cost of funds to go down further by close to 20 to 25 bps in the Q2 itself. So, the NII will hold. There is a reduction in the portfolio yield as you will see the next quarter or after that result. But there will be a corresponding reduction in the cost of fund also what you will be able to see.

Bajaj Housing Finance Limited

July 23, 2025

Page 11 of 23

Nischint Chawathe: Got it, got it. This is very helpful. Thank you very much. All the best.

Moderator: Thank you. Our next question comes from Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: Yes. So, my question is on the yields and the disbursement growth. So, if you could just spell out the incremental yield on the HL and LAP portfolio, and the disbursement growth as well for the HL and LAP portfolio for this quarter.

Atul Jain: The retail portfolio like I called out for Nischint, the disbursement growth was 12% versus Q1 FY '25. Incremental yield at the HL level, just give me a minute, I will check from Gaurav

Gaurav Kalani: 8.76% in HL.

Atul Jain: In HL, aggregate average yield is 8.76% for the quarter gone by in the incoming portfolio. But it is an aggregate of segments because we operate from 7.5% onward. Most of the customers we operate at 7.5%, which is after the June rate cut. And April-May-June is an aggregate of April where the pricing was different, May was different. As of today, it will be lower than what was at Q1.

Prithviraj Patil: Yes. And for the LAP part?

Atul Jain: Corresponding reduction in cost of funds as well.

Prithviraj Patil: Yes. So, for the LAP as well, the loan against LAP part, the disbursement growth and the incremental yield.

Atul Jain: Disbursement growth will be... At the product level, that is why we gave at the retail level, I think, but it will be in the similar range. Because it is largely HL, which is more dominant. In terms of a yield, it will remain between 9.6, 100 to 120 bps higher than what it is in HL, because it is a portfolio yield as well as incoming portfolio yield. This 8.7 was an incoming portfolio for HL 8.76 average in the last quarter. It will be roughly in the range of 9.7 to 9.9.

Prithviraj Patil: Okay. Thank you. That's it from my side.

Moderator: Thank you. The next question comes from the line of Abhijit Tibrewal from Motilal Oswal.

Please go ahead.

Abhijit Tibrewal: Yes. Hi sir. Good evening. Sir, first thing is just a clarification. You repeated that twice already, but this disbursement growth of 12% that you spoke about, is it HL disbursement growth or is it your retail disbursement growth, which includes your HL and LAP?

Atul Jain: Between H

L and LAP, it will be similar almost.

Bajaj Housing Finance Limited

July 23, 2025

Page 12 of 23

Abhijit Tibrewal: Okay. Okay. But this is both HL and LAP put together.

Atul Jain: Yes. Retail.

Abhijit Tibrewal: Retail. Got it. And, sir, then you spoke about that lowest rate which is being offered by BHFL in HL is currently 7.75%.

Atul Jain: 7.49.

Abhijit Tibrewal: 7.49%. That's the lowest rate which is being offered by us. So, sir, from what I could understand,

right, this moderation in growth guidance, you are also factoring in competitive pricing on acquisition of new loans. So, what is the rate that is being offered by competition, perhaps because of which, looking at the risk return metrics, we are having to let go of some of that business?

Atul Jain: So, there are various companies and various banks which are offering at a different price. So, that data is there in the public domain carried by most of the newspapers. The rates are varying from , starting from as low as 7.3 %, 7.35% from largely public sector banks to 7.9 %, 7.8% from few private sector banks.

Then we also say when we start at 7.49 %, it's a spectrum which starts with. But depending on the customer bureau, customer, various attributes, aspects, income range, the rate varies. 7.49% is for the best of best customer , and there is a staircase on the type of a customer , and also the income profile, bureau profile, which applies.

So, the lowest range in the market today would be starting at 7.3.%, 7.35%, which is largely all public sector banks , going up to for the real prime customer, up to 7.75 %, 7.8%, between 7.35 to 7.7 for the topmost customer, then there is a range which keeps on going down. So, yes, the rate pressure or the competitive intensity is very significant in the market.

Abhijit Tibrewal: Got it, sir. And s ir, the second question I had was on the Stage -3 PCR. I saw it's declined. Understandably, still remains healthy, but has declined about 4% Q -o-Q. So, just trying to understand, went up in the fourth quarter, has declined again. So, what is happening there on the Stage -3 PCR line?

Atul Jain: Abhijit, it is a function of, at the stage where the case, because there is an ECL model on various DPD s, various case, which moves. There is a differential of LGD and the provision rates, which get applied. So, there is no change between the provision policy of the company between March to June. It's a function of an outcome of, because there are cases which is as per our policy, we go and provide extra than our ECL model if the risk assesses to be there.

So, their provision coverage can look like elevated if there is a risk assessment on additional risk from few customers which is outside or in addition to the ECL, versus in a quarter if they have

Bajaj Housing Finance Limited

July 23, 2025

Page 13 of 23

assessed the customers to be having higher risk than the ECL model assessment. So, ECL model remains stable, Abhijit.

There is an assessment -based additional provisioning in some quarter which can risk and take on few of the account s, which can result into PCR moving to a certain extent. Like we have guided also in the medium range, as we continue to grow, as we get bigger , and unfortunately, while not wanting us, NPA pool also will grow bigger. These swings in PCR ranges will not be there, because today NPA pool is total Rs. 300 odd crores .

So, the provisioning coverage can swing on basis few cases, assessment of risk being higher.

Please mind it, we are not saying that below ECL we can provide. It is above ECL risk assessment, which can vary.

Abhijit Tibrewal: Got it, sir. Thanks for that. And sir, last question, again circling back on margin.

Atul Jain: Abhijit, just to close this. LGD for us as an ECL model is 40%. So, anything above 40% is an additional risk assessed on the accounts which is there. So, in the long range, at some point o

f

time, it can even be 40%, if the risk has not assessed, any particular individual case to be more riskier than the ECL model. That's where the range can be swinging between basis risk assessment on an individual account.

Abhijit Tibrewal: Got it, sir. So, just to clarify on that, what you suggested is 40% PCR is good enough, based on the LGDs that we have, based on your additional risk assessment, right, there are higher PCRs that you are carrying on, certainly.

Atul Jain: As per the ECL model, we are required to have 40% provisioning coverage. However, we take a conservative view and the risk and collection teams, debt Management teams, take calibrated calls on where do they see if the long -term risk additionally is coming. They recommend for additional provision, which then results into a higher PCR.

Abhijit Tibrewal: Got it, sir. This is useful. And, sir, just last question, circling back again on margin and the PLR discussions that we have already had in the call. So, total 3 PLR rate cuts totaling to 45 basis points, including the last 20 basis points PLR cut, which you did on July 1st. So, just trying to understand, sir, I mean, how often is the ALCO meeting done , and at what frequency can PLR rate cuts be done in the future? I think, there will be a component of competitive intensity , and the portfolio attrition that you are seeing, which will dictate that. That was the first part.

And t he second part was, sir, in the last earnings call, you had guided for margin compression of 10 to 15 bps, and also kind of added there that some bit of it can be mitigated through a change in product mix or a product mix improvement. This time around, we have guided for 15 to 20 basis points margin compression this year. So, now that mitigation through improv ement in product mix will no longer hold this year, is it?

Page 14 of 23

Atul Jain: So, Abhijit, 2 answers. First, on the ALCO frequency, ALCO happens every month. However, there's an ALCO subcommittee, which is a Management Committee, which is headed by me, which happens twice a month. So, the ALCO, in that sense, twice, subcommittee. And subcommittee is empowered to take calls, basis on emerging data and this is the movement in the cost and the market competitive there. So, we are pretty agile there. So, technically in 3 times in a month also, there is a movement which is feasible on the basis of ALCO subcommittee decisioning, which is empowered as per ALCO process.

Second on the margin compression, when we are saying 15 to 20 bps, like I called out in the earlier question, it is largely due to what we are saying elevated from a 10 to 15 bps to 15 to 20 bps is because of a reduction in other income due to lower investment income, lower investments in the current year with rate reduction, lower investment income, and also lower cash being carried, because we have toned down our assessment of assignment, what we are going to assign out in the portfolio. See, if the growth overall is projected to be lower, then we don't want to assign out that much portion, because we want to build more capital efficiency.

Those are the 2 factors which is resulting into, while the mitigation in terms of a product mix is still playing out. That is why NII's we are projecting to hold in line with last year. In fact, I will say that we are being more optimistic on holding the line. That is why we are saying whether cost of fund reduction, coupled with mix shift will hold the NII line. NTI line is impacted because of those 2 factors what we have called out. I hope I have clarified.

Abhijit Tibrewal: Got it, sir. This is clear. Yes, sir. This is absolutely clear. Thank you very much. And sir, I wish you and your team the very best.

Atul Jain: Thank you, Abhijit. Thank you.

Moderator: Thank you. Our next question is from the line of Viral Shah from IIFL Capit

al. Please go ahead.

Viral Shah: Yes. Hi. Thank you for the opportunity. So, I have couple of questions. One is on the margin. I think it is more of a clarificatory, I would say, question. You mentioned 5 to 10 bps kind of margin compression or NIM compression that is incremental, right, from versus 10 to 15 you had mentioned earlier?

Atul Jain: Yes.

Viral Shah: Okay. Secondly, Atul, you mentioned and the reasons that were mentioned is because of the lower DA income which we have. And secondly, of course, the cash levels which are there. So, over there, just want to understand how does this impact the NIM or the core NII which is there, because that will be forming part of your NTI, right, the non-interest income.

Bajaj Housing Finance Limited
July 23, 2025

Page 15 of 23

Atul Jain: Yes. Viral, I called out specifically NII we are expecting to hold. This is NTI. That is what is even called out specifically in Panel # 31, that NII for FY '26 is largely expected to be stable and in line with FY '25.

However, NIM which is NTI or a NIM as you call it, because NII is expected to be stable. This is a NIM or NTI which is going to be moderated in FY '26, that is exactly after NII these 2 incomes comes after NII. That is what we have ...

Viral Shah: So, basically the NIM that you are defining is basically the NTI as a percentage of the assets.

Atul Jain: Yes.

Viral Shah: Not the core interest income and the expense.

Atul Jain: That is what we have called out specifically as NII. NII is expected to be stable. That is what we have called out.

Viral Shah: Got it. And secondly, over here, Atul, if I look at it, given the rate reduction, there will be also a higher relatively treasury income also, right. So, if we strip that out on a core basis, the NIM as you define or say NTI, that will be slightly lower, right?

Atul Jain: We do not have a treasury income line in that sense. The treasury income line is only the cash carry what we carry as extra money to invest in, and that is whether as a LCR requirement of a either T-bill or a G-Sec or money market or mutual fund. So, we do not run a treasury portfolio, Viral, in any manner, because we are an operating company. There is no treasury portfolio of investments what we run. So, there is no treasury ...

Viral Shah: So, what I meant is basically whatever the cash and the investment book that we have, that will be some gains because of the rate cut, the G-Sec rate reduction, right? The mark to market that would happen.

Atul Jain: Because of total investments carried in the end of the quarter is Rs. 3,000 crores which is a mix of a T-bill, G-Sec, money market, mutual funds. And that is not a book which we carry for a long term. We keep on liquidating, because that is a book we run for LCR requirement. We do

not run a treasury investment book , so as to say , for gain or a loss. We carry the investments only for the purpose of maintaining LCR ratios , and they keep on getting liquidated or booked basis the cash requirement of the company. There is no permanent investment book in the company.

Viral Shah: Got it. And Atul, the second question is I would say more on the growth front. You mentioned , of course , the reasons for say the near term sluggishness which are there , but how confident are you say when we get into FY '27, you will still have I would say there is always a lead lag effect , given that for I would say close to one -and-a-half year , we would have had lower disbursement

Bajaj Housing Finance Limited

July 23, 2025

Page 16 of 23

growth. How confident are you that FY '27 will go back to say a '24 kind of at least an even growth , versus say not even talking of '25 or '26?

Atul Jain: We are confident as of today for that we will be going back to the growth path by Q3 of the current year itself , because that is what we look at. See our disbursement growths are not that b

ig a problem today because of hyper competitive activity. That is what we said at even Q1 at a retail level also. We grew disbursement s versus last year by 12%. But the growth has been absolute flat , because of higher attrition , which is a factor of a more intense competitive pricing , and also rate cut cycle which has happened at an elevated level or you can say 100 bps cut between February to June. The impact of it is we expect to stabilize over next 2 -3 months, 4 months or a max at a 5 months, 6 months kind of a level.

There on , as the attrition gets normalized , we expect, or we assess to be back on our normalized growth path. So, it is not even FY '27 what we are talking about. We are talking about in 4 -5-6 months as the attrition pressure gets normalized , we should be back on our normal growth path.

Viral Shah: On a disbursement basis you are saying? Book growth for this year will be 21 %-23%.

Atul Jain: Disbursements have still grown . Even in the current quarter , we expect the disbursements to grow significantly over last year. However , the AUM is not growing , because AUM growth has remained flattish versus last year , because of a much higher attrition. As attrition stopped growing or attrition gets normalized , the AUM growth we are likely to see back coming to the normalcy.

Viral Shah: Got it . Very clear , Atul. And just last question from my end. Given that we will be say assigning lesser quantum of portfolio in this year , will that also impact at the margin our credit cost , because generally there is provision relief that happens when we assign. Does that kind of say accelerate our movement towards the medium -term credit cost?

Atul Jain: Yes, yes . But that we believe that is a good problem to have , because it is a Stage -1 asset provisioning as long as it is not say , while the credit cost is a factor of a Stage -1 plus Stage -2, stage 3. Rightly called out , if you assign out, you will see a lower credit cost which is actually not a lower credit cost , but it is a good asset provisioning not being there. Non-assignment will mean there will be a higher Stage -1 provisioning , which consequently may look like a higher credit cost to the P&L.

Viral Shah: Got it. Very clear , Atul. Thank you and all the very best.

Atul Jain: Thank you.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital . Please go ahead.

Bajaj Housing Finance Limited

July 23, 2025

Page 17 of 23

Shubhranshu Mishra: Hi Atul. Hi Gaurav. Good evening.

Atul Jain: Hi Shubhranshu.

Shubhranshu Mishra: So, 2 or 3 questions. The first one is what would be our 65 %-70% of the HL portfolio as a yield or what would be that number? I understand that we are not giving the lowest rate to everyone.

Second is that you did speak about some degree of slowness in the real estate.

Atul Jain: I could not get the question right. Can you clarify what do you mean when you said 65 %-70%.

Shubhranshu Mishra: So, a bulk of our portfolio , whatever that number is , let's say, 50% 60% what would be that blended yield , not on the entire portfolio. What is basically our comfort yield or mid -80% range for our HL portfolio ?

Gaurav Kalani: So, hi, Shubhranshu, Gaurav here. Home loan overall would be around 9% at a portfolio level.

Atul Jain: Shubhranshu , it is difficult to cut a portfolio at a 50% level and say that we are looking at the mix of the overall portfolio.

Shubhranshu Mishra: Overall portfolio , so HL at a portfolio yield is ...

Gaurav Kalani: Around 9%.

Atul Jain: Around 9% as of 30 June , which is the number which is given.

Shubhranshu Mishra: Right, a nd in that 55% that you give out , what is pure HL and what is top-up?

Atul Jain: See pure HL has to be above 50% as per the regulatory requirement. The exact number would be IHL number is , Neeraj on 30 June?

Gaurav Kalani : 50. 9%.

Atul Jain

: 50. 9%.

Gaurav Kalani: 50.9%.

Atul Jain: 50.9% is a pure IHL portion out of 55.8%. Balance would be not only top-up it will also be part of a fee LAN or insurance.

Gaurav Kalani: 9% is mix of both. So, this 9% yield is of both home loan plus top-up included.

Shubhranshu Mishra: Right. So, what is the pure home loan yield?

Bajaj Housing Finance Limited

July 23, 2025

Page 18 of 23

Atul Jain: It will be difficult to segregate , Shubhranshu , but it won't be materially different , because generally if you are talking about out of a 5% other than IHL portion , which is a pure home loan , there is a portion would be your cross sell LAN or the fee LAN . So, top-up LAN would be close to 3%-3.5% of the portfolio , whatever yield. Normally top-up loans come at 100 bps higher yield or equivalent to LAP yield approximately.

But at a n overall home loan it is not going to push up the yield too much. 3% of the book is not going to drive 50% book to a significant level. But at a broad level , 100% bps is a differential between top-up price to the pure home loan price segregated.

Shubhranshu Mishra: Right. And there is a lot of investor chatter around regulation around top-ups. Are we facing any regulatory diktats or pressure from regulators to reduce the top-up or let go of the top-up entirely?

Atul Jain: Regulators have been guiding over the last 1 -1.5 years , which through the normal newspaper or there to be mindful of the top-up and that is where they had increased the risk weight around 1 year back. Apart from that there has not been any specific communication at least not to us , because like we called out the top-up is not a very significant part of our business.

So, we at least have never received any specific conversation or have been part of a chat on a specific basis on a top-up applicability. But overall, at a systemic level , Reserve Bank of India had earlier guided all companies, all NB FCs, HFCs, banks to be cautious about top-up, and that is where they have increased the risk weight on the top-up loans from 100% to 125%. Apart from that we have not heard any other chatter recently or definitely not had any specific conversation with any regulator or supervisor, which is NHB in this case.

Shubhranshu Mishra: Right. Given the fact that there is a softness in the real estate market , and which has been rightly called out, do we foresee any pricing wars from other HFCs, PSU banks, private banks? Is there a possibility of this leading to mispricing of home loans going forward in the next 5 -6 quarters?

Atul Jain: I missed Shubhranshu the first line of your question. Second line , I understood clearly you are saying mispricing , but in what context , so that I am able to...

Shubhranshu Mishra: Softness in the real estate market, will this lead to mispricing by almost every player , PSU banks, private banks, H FC?

Atul Jain: So, softness of a market always results into more competitive intensity what we are looking at, because if you look at credit growth in the economy overall it is much softer than what it should be.

There is already a reflection in the pricing competitiveness or the price offering in the home loan. There is a reflection of already a softer overall credit growth there , which is a normal scenario, which is an industry cycle.

Bajaj Housing Finance Limited

July 23, 2025

Page 19 of 23

If there is any more softness in the demand can there be more pricing pressure? Yes, but it is an industry phenomenon , which is a normal cyclical phenomenon.

Shubhranshu Mishra: So, there can be mispricing , if there is more softness?

Atul Jain: I am stopping short of saying that we believe that the current pricing is also not fully appropriate.

That is a function of current softness of a demand for credit overall. Because if you look at the overall credit growth in the system that is lower, which is resulting into a bit of i

n our assessment,

much lower pricing for the Home Loan portfolio in the market. I will not call it a mispricing, but I will say the pricing in the home loans are much more softer in our assessment , because of the overall softness in the demand for credit in the bank, in the system.

Shubhranshu Mishra: Right . And just one last question on near prime and Affordable . What about the demand there? And instead of building it out organically, can we think of doing co -lending with smaller HFCs?

Atul Jain: Shubhranshu , we generally prefer to build organically , and that is what we will build organically. Co-lending is not fully evolved , because whatever we generally see co -lending, which is a CLM

2 by the banks and the HFCs, we as a HFC can't do CLM 2 . We have to do CLM 1 only, which has not moved significantly for at least for us as mortgage space, which is a heavier underwritten product in the industry overall. So, we can operate that, but we don't think there is much scope to, very high scope there to grow. So, we will build organically only, that is what we are looking to build organically.

Shubhranshu Mishra: And the demand in those segments, near prime and Affordable ?

Atul Jain: Demand remains robust, there is enough market space and since in any case we have started only, so there is, we don't feel constrained of the market demand. We are moving cautiously because this is a new area which we ventured into 14 -15 months back, but we are in our assessment progressing well.

Shubhranshu Mishra: This was very helpful , Atul and Gaurav . Thank you so much . Best of luck for ensuing quarters .

Atul Jain: Thanks Shubhranshu .

Moderator: Thank you. We have Renish from ICICI Securities with the next question . Please go ahead.

Renish: Yes, hi sir . And congratulations on a good set of numbers. Just 2 things from my side, one on this LAP piece . So, while this portfolio has been growing at a decent pace, but when we look at the average ticket size, the same has gone up by almost 20% over the last 2 -3 quarters from 6 odd million in Q2 FY '25 to 7.2 million by Q1, which essentially means that the bulk of the growth is actually driven by the ticket size increase , and maybe indicating subdued volume growth. So, just wanted to understand, what are the probable reasons for low volume? If it is linked to the cash flow problem or something else?

Bajaj Housing Finance Limited

July 23, 2025

Page 20 of 23

Atul Jain: So, Renish, the average ticket size, because we remain a player in the prime mortgage, whether that is in a LAP or a home loan, and barring the new vertical in near prime what we have started.

So, the ticket size can swing between, because we remain largely in the ticket sizes of 40 -50 lakh to around Rs. 2 to Rs. 2.5 crores to Rs. 3 crores is the ticket size , where we operate.. So, the average ticket size movement is for that.

One reason for LAP ATS movement is also we used to earlier do in a way what we call Affordable LAP also to some extent as a part of our rural vertical, which we have stopped doing in last 6 -7 months. Now that volume in terms of a quantum was not very high, but number of cases would have been bringing down the average ticket size at a company level.

Now that we stopped doing around 6 -9 months back as we started pressing pedal on Affordable home loan, because we want to build first there in largely Home Loan portfolio , then maybe restart that smaller ticket lap. I am not calling it a micro lap, because micro -LAP has different connotations in terms of yields. We were never in that 24 -25 kind of segment . But we were doing smaller ticket LAP s in the upcountry markets earlier, which we are not doing from last 6 -9 months. That can be one factor. But value -wise, that business was never material as a balance sheet.

Renish: Got it. And if I may ask, what is the strategic decision behind moving to a higher ticket size?

Atul Jain: We have not moved to higher ticket size; we remain in that segment. There is a market movement as well , Renish . Overall, if you look at any product, whether it is a home loan or a LAP, in the market there is a demand for largely a more higher ticket, which is we are a function of a market , and since we operate in a prime space, that is the ticket size movement.

The discontinuing or not doing in up -country , smaller ticket LAP, which we were doing, like I said, that that was because we are now, as we re -pivoted and we moved the business of Affordable and near prime into the new SBU as we set up last year , we assessed that initially first we have to focus much more on building a Home Loan channel. We being an HFC also, we require to focus on HL , and then we said that later on we will build the smaller ticket LAP business in the SBU as we grow further. There is no strategy behind it. It is just an assessment at that point of time as we are re -oriented or re -calibrating the entire Affordable or near prime business as an SBU, what we should prioritize.

Renish: Got it. Got it. This is very helpful. My second question is on the attrition rate . The BT out rate.

Obviously, this quarter it has gone up, but when we look at and you also did mention about increasing competition. Now, let's say if in next 4 to 5 months, if this BT out rate further increases, do you feel any downside risk to your already revised growth guidance in FY '26?

Atul Jain: In our assessment, we have factored in the downward risk what we are seeing as of today and we have assessed it in our way on a conservative manner. Conservative manners means that we have assessed the situation to remain elevated for next 4 to 5 months, which is a factoring in the

Bajaj Housing Finance Limited

July 23, 2025

Page 21 of 23

growth projection . So, we don't see further risk there. Until unless there is another shake up in

the market. we don't see that additional 50 bps rate cut coming in, but we are not the one who decides that.

Renish: Correct.

Atul Jain: That I can't predict. That is not factored in, but basis whatever we have seen, we believe that on a conservative factor in the max negative side, what we can have.

Renish: Got it. Let's say, just a follow up on that, so we are not factoring any further rate cut in next 4 to 5 months when we might have done our stress test on BT out?

Atul Jain: Yes, we are factoring in one more rate cut for our stress test scenario over 25 bps, additionally coming in during the year.

Renish: Got it, got it. This is very helpful, sir. Thank you and best of luck.

Atul Jain: Thank you.

Moderator: Thank you. Ladies and gentlemen, in order that the Management is able to address questions from all participants in the queue, we request you to please restrict yourselves to 2 questions only. You may rejoin the queue if you have further question. Our next question comes from the line of Piran Engineer from CLSA. Please go ahead

Piran Engineer: Yes. Hi, team. Congrats on the quarter. And thanks for taking my question. Just a follow-up or maybe it's been partially discussed, so firstly the gap between our medium-term growth of 25%, and say near term of 20-21, how much of that is attributed to just a weaker real estate sector?

Atul Jain: So, the difference is 24-26 to 21-23, which is a differential, let us say a 300 bps kind of a differential, not 4 and 5. It is largely to do with the higher competitive, lower pricing, higher attrition, less to do with the lower demand.

I called out in earlier question also that because of given our relative size being slower, lower demand or a stagnation of demand would not have led to our revising the growth projections. It is the competitive pricing activity, and resulting into higher attrition which is resulting into our guiding for a 300-bps assessment downward in the current condition.

P

iran Engineer: But then that, Atul, leads me to the question, what will change in 6 months? Because when we say by third quarter everything will be okay.

Atul Jain: What happens is there is always a much higher attrition or a much higher movement or a disruption in the market when the rate cut happens, and there is pressure which gets built up. But over a period, it disappears and then it gets normalized. That's a normal scenario. That's what we

Bajaj Housing Finance Limited

July 23, 2025

Page 22 of 23

are saying that if there is no further shock in the system of a very high rate cut or more than expected rate movements what is there, we should expect it to normalize in the next 4-5 months.

Piran Engineer: No, so what we are basically saying is banks get aggressive when rates are cut. There is a sort of pent-up aggression, if I can use that word.

Atul Jain: The moment a portfolio is much higher for an extremely rate-sensitive customer, the movement is much faster or much bigger. Later on, because in any case, we are also passing on the portfolio, then the customers are more stable as we go and the portfolio also keeps on substituting. If there was a customer at a higher rate that keeps on going out, there is a newer customer which is coming in which is at a lower rate. So, here, rate tends to get normalized in 4-5 months.

It's nothing to do with the competitive banks being more active at the initial level than not being active. It's a phenomenon in terms of a more rate sensitive or a more rate seeker customer moving out faster, and the substitution of a customer which is coming in at a new pricing. The ratio of a new priced customer going up versus the customers going out. It's a mathematical formula.

Piran Engineer: So, basically what you are saying is whoever has to leave will leave immediately, and those who have stayed back stay back with NBFC or HFC.

Atul Jain: There is always an exit which keeps on happening. There is a normal scenario. The elevated elevations will get normalized in 4-5 months scenario. That is what I am calling out.

Piran Engineer: Got it. Okay. That makes sense. Fair enough. And just secondly, for Gaurav, over the last one year, rates were fairly high, but we actually reduced our share of bank borrowings and borrowed more from NCDs. It's a bit counterintuitive, because I would have expected when rates are high, keep more floating rate borrowing, so that we benefit once rates start getting cut. But it's actually been the other way around. So, what am I missing here?

Gaurav Kalani: So, basically we look at incremental borrowing rates between NCD and bank lines at the time we are borrowing. So, since the price differential has been better on the NCD side, while we have been borrowing, after factoring in the reductions which may come because banks get repriced, basis MCLR movements which we have not seen much happening. So, we factor all that in, and looking at those movements versus what acquisition level we are getting pricing on NCD versus bank lines is what we take as a call at that point in time. As of now, we've been seeing that the differential has been beneficial more towards the NCD side. That's why we've been focusing more on NCD borrowings.

Piran Engineer: And what would that differential be say today, a fresh bank line from a PSU bank?

Gaurav Kalani: This quarter differential would have been around 20 basis points.
Piran Engineer: 20 basis points. Okay, that's it from my end. Thank you , and wish you all the best.
Bajaj Housing Finance Limited
July 23, 2025

Page 23 of 23

Moderator: Thank you. Our next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka , your line has been unmuted. You may proceed with your question.

Abhishek Murarka: Yes, thanks. So, thanks for taking my question. In your Home Loan book, what is the percentage or absolute amount of Affordable and near prime, if you can share that?

Atul Jain: So, Abhishek, in our Home Loan book, the ratio would be around 16%, which is a non -prime book, and 84% would be the prime and near prime book. So, we segregate between prime and near prime on one side and non -prime and Affordable on one side. 84 -16 would be the approximate mix in the book between prime, near prime.

Because prime, near prime is a bit of an overlap , that's why there is a categorization we do non -prime, affordable and near-prime, prime. Prime, near prime would be around 84 % and 16 %.

Abhishek?

Moderator: Thank you. Since the current participant seems to have dropped from the queue. We will take that as our last question for today, ladies and gentlemen. I would now like to hand the conference over to Mr. Ajit Kumar for closing comments. Over to you, sir.

Ajit Kumar: Thank you all for joining the call today and thank you to the Management team of Bajaj Housing Finance for giving us the opportunity to host this call. Any closing remarks, Atul sir?

Atul Jain: No. Thank you very much for all the participants for patiently listening and thank you, Ajit, once again for giving us the opportunity, and by hosting us. Thank you all.

Moderator: Thank you. On behalf of Bajaj Housing Finance Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Dec 2025

12 November 2025

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001 To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra - Kurla Complex, Bandra (East)
Mumbai - 400 051
BSE Code: 544252 NSE Code: BAJAJHFL - EQ

Dear Sir/Madam,

Sub: Transcript of earnings conference call held in respect of the financial results for the quarter ended 30 September 2025.

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations .

In furtherance of our letter dated 24 October 2025, informing the Exchanges regarding earnings conference call in respect of the financial results of the Company for the quarter ended 30 September 2025, the transcript of Q2 FY2026 earnings conference call has been uploaded on the website of the Company and is available at ' Quarterly Earning Conference Call Transcript ' drop down at <https://www.bajajhousingfinance.in/investor-presentation> .

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

We request you to kindly take the same on record.

Thanking you,

Yours Faithfully,
For Bajaj Housing Finance Limited

Atul Patni
Company Secretary

Email id: - bhflinvestor.service@bajajhousing.co.in
Cc: Catalyst Trustee ship Ltd. (Debenture Trustee, Pune)
Page 1 of 18

"Bajaj Housing Finance Limited
Q2 FY '26 Earnings Conference Call "
November 06, 2025

MANAGEMENT : MR. ATUL JAIN – MANAGING DIRECTOR – BAJAJ
HOUSING FINANCE LIMITED
MR. GAURAV KALANI – CHIEF FINANCIAL OFFICER –
BAJAJ HOUSING FINANCE LIMITED

MODERATOR : MR. PRAVEEN AGARWAL – AXIS CAPITAL LIMITED

Disclaimer: This transcript is edited for factual errors and does not purport to be a verbatim record of the proceedings. The reader is also requested to refer to audio recording of the call uploaded on the company website on 23rd July 2025. In case of discrepancy, the audio recordings will prevail. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Bajaj Housing Finance Limited.

Moderator: Ladies and gentlemen, good day and welcome to Bajaj Housing Finance Limited Q2 FY '26 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveen Agarwal from Axis Capital Limited. Thank you and over to you, Mr. Agarwal.

Praveen Agarwal: Thank you, Nirav. Good evening, everyone, and welcome to this earnings call of Bajaj Housing Finance. Today with us, we have the management team led by Mr. Atul Jain. Along with him, we have Mr. Gaurav Kalani, CFO and other senior members of the team. I would request Mr.

Atul to share his initial remarks post which we will open the floor for Q&A. Over to you, sir.

Atul Jain: Thank you, Praveen and the Axis team for hosting this call. Good evening to all the participants.

I am Atul Jain. I have with me all senior colleagues of Bajaj Housing Finance, Gaurav, Jasminder, Vipin, Pawan, Dushyant, Niraj and Gagan and Vijay. I will take 15-20 minutes first to cover important panels of Investor deck which has been uploaded on our website and afterwards we will have questions and answers.

First panel I would like to take, is panel number 3. Another stable quarter for AUM, profitability and credit cost. This was amidst heightened competitive intensity as well as decreasing interest rate scenario. AUM grew by 24% on Y-o-Y basis and stood at INR1,26,749 crores as of 30th September. PAT increased by 18% with annualized ROA at 2.3%. Asset quality remained healthy with improvement in GNPA at 0.26% and NNPA at 0.12% and annualized credit cost at 18 bps.

Operating efficiency also improved during the quarter and opex to NTI stood at 19.6% against 20.5% in Q2 of last year. Geographical coverage of BHFL now spans across 176 locations with network of 220 branches. Annualized ROE for the quarter came in at 12.2%. Capital position with CAR at 26.12% remained healthy and PBC criteria which is a regulatory criteria was at 61.21%, against a regulatory threshold of 60%.

I am moving to the next panel. I have already covered AUM growth which grew 24% but when we look at a product level AUM, home loans grew by 19%, LAP by 29%, LRD by 35% and DF by 25%. AUM for the quarter in absolute terms increased by INR6,329 crores. This was against INR5,497 which is close to INR5,500 crores in Q2 FY '25.

Bajaj Housing Finance Limited
November 06, 2025

Portfolio composition also continued to remain well diversified with home loans at 55%, LAP at 10% and LRD in excess of 21% and DF at sub 12%. Disbursements for the quarter grew by 32% from INR12,000 crores in Q2 FY '25 to close to INR16,000 crores, i.e. INR15,914 crores in Q2 FY '26.

I am moving to the next panel. Cost of funds improved during the quarter and stood at 7.4% having 50 bps reduction on YOY basis against 7.9% in Q2 FY '25. On sequential basis, cost of funds saw a reduction of 34 bps on account of policy rate transmission on existing borrowing as well as incremental borrowing at lower rate. Borrowing mix remained well diversified with

higher mix of money market borrowing.

Overall borrowing mix was 54% through money market instrument, 37% through bank borrowing and 9% of NHB refinance. Gross spread was flat for the quarter at 1.9% against 1.9% of Q2 FY '25. However, on a sequential basis, gross spread was 10 bps higher due to higher flow-through benefit on cost of funds versus movement across portfolio rate. However, this is likely to get normalized going forward, basis some pass-through in the portfolios has happened due to October '25 and with expectation of another rate cut in December as the markets are predicting.

Net interest margin is holding at 4% on a sequential basis while at a YOY basis it dropped by 10 bps. I have already talked about opex to NTI in earlier panel which has dropped to 19.6% in Q2. Digital initiatives continue to further improve with our E-agreement penetration at 94% and online customer onboarding penetration at 93% in September '25.

I am moving to panel 6. Asset quality remained healthy during the quarter with improvement in GNPA by 4 bps to 26 bps in Q2 FY '26 and also NNPA by 1 bps to 12 bps. Annualized credit costs stood at 18 bps in Q2 FY '26 against 2 bps in Q2 FY '25. The normalized credit costs because in Q2 FY '25, in fact in H1 FY '25 we had overlay release which we had created during COVID period. If we would exclude the overlay release in Q2 FY '25 the annualized credit costs would have been 14 bps.

In terms of profitability, PAT for the quarter grew by 18% from INR546 crores in Q2 FY '25 to 643 crores in Q2 FY '26. Annualized ROA at 2.3% against 2.5% in Q2 FY '25 and annualized ROE at 12.2% against 13.3%. The ROE has been lower in the current year because of three factors. One, capital raise done in FY '25, second, there was no overlay release in the current year against last year overlay release and also, current year we have lower income from derecognized loans versus last year. Sum total from net profits, net worth has further increased to INR21,170 crores as of 30th September '25.

I'm now straight jumping to panel number 18. Majority of quarterly metrics have been discussed. Net interest income grew by 34% in Q2 FY '26 while the net total income grew by 22% owing to lower income on fair value changes as well as lower assignment income. That was what I was
Bajaj Housing Finance Limited
November 06, 2025

Page 4 of 18

calling out earlier because of a lower assignment income, the ROE was lower and consequently that's where net total income is looking at a lower growth at 22%.

PBT and PAT grew both at 18%. In terms of half yearly financials, net total income increased by 24% during H1 FY '26. Operating expenses grew 21% and pre-provisioning operating profit grew 24%. Overall, PAT for H1 has grown by 19%.

Opex to NTI has improved by 40 bps for H1 versus H1 FY '25. Credit cost for H1 has been 17 bps against 4 bps in H1 FY '25 but that was due to overlay release of INR50 crores in first half of the year at a cumulative level. INR25-INR25 crores in each of the quarter in the last year. Annualized ROA 2.3% and ROE of 11.9%.

Moving to panel 20. Portfolio yield moderated by 22 bps on sequential basis and 60 bps on a YOY basis at 9.3% in Q2 FY '26. Cost of funds dropped by 34 bps on sequential basis and 50 bps on a YOY basis to 7.4%. Overall gross spread for the quarter inched up by 10 bps on sequential basis. However, it was flat versus last year basis. Opex to NTI we have talked about 90 bps reduction on YOY basis from Q2 to Q2. NIM moderation of 10 bps on a year-on-year basis largely led by a drop in income from assignment and other income. Asset quality and profitability matrix have already been covered.

I'll move to panel 21 on the borrowing mix. Borrowing mix continues to remain well diversified supported by borrowing relationship with 17 banks. Mix of NCD share in the overall borrowing mix further

increased by 2.6% on sequential basis while CP mix increased by 3.1% offsetting moderation in bank borrowing share by 4.7% and NHB refinance by 1%. This was due to incremental borrowing largely from money market instruments considering the cost benefit.

Going to panel 24, depiction of the portfolio mix between products, this remains within our guided range while on sequential basis LRD improved by 1.1%. Home loans deteriorated by 70 bps and LAP by 20 bps and developer finance by 10 bps.

Moving to panel 29, on sequential basis stage 1 assets have improved by 3 bps to 99.39% in Q2 FY '26. Stage 2 were flat at 34 bps. GNP A improved by 4 bps to 26 bps and NPA by 1 bps to 12 bps. Provisioning coverage remained healthy at close to 56% in line with the previous quarter.

I'll jump to panel number 31 which is the last panel I would want to cover, Product level asset quality. Provisioning coverage ratio remains in excess of 50% across product line. Home loans GNP A improved by 4 bps to 32 bps in Q2, 2 bps in LAP at 59 bps and DF GNPA remained flat. Overall NPA improvement as called out by 1 bps.

This is what I would have wanted to share from my end for the quarter. Happy to take questions between me and the management team.

Moderator: Thank you very much. We'll now begin with the question and answer session. The first question is from the line of Shubhranshu Mishra from Philip Capital. Please go ahead.

Bajaj Housing Finance Limited
November 06, 2025

Page 5 of 18

Shubhranshu Mishra: Hi Atul, hi Gaurav, good evening. So, this competition especially from PSU banks is something cyclical with rate cuts, right? So how are we building a strategy

Moderator: Hi, can you speak a little louder please?

Shubhranshu Mishra: Hi, can you hear me now?

Management : Yes, we can hear you now.

Shubhranshu Mishra: Hi Atul, hi Gaurav. So, this competition from PSU banks is something which is cyclical which happens every rate cut cycle. So how are we building a strategy so that we can circumvent this especially because we operate in the prime home loan segment. That's question number one.

Second is that the home loans have reduced to roughly around 55% of the portfolio. We also used to do top up. So, what is the pure home loan and what is the top up in that 55% ? And if we can spell out the yields on each of the categories home loan, LAP , LRD and developer finance ?

Atul Jain: Thanks Shubhranshu . You asked three questions. The first question is the competition from PSU.

We take in prime home loan now the competition is going to be the feature rather than the novelty. You called out saying that the competition heats up during the declining interest rate scenario. But if we are looking at last two and a half, two to three years the intense competition is the norm and as we make our plan for the future, we are now taking it as a feature rather than an aberration which will go down.

Now, as a prime player, as players who are focused on the prime mortgages, we need to modify our strategies accordingly to be able to compete through the market because if you look at our disbursement growth, it had been far ahead of the industry growth. Industry home loan disbursement growth YOY had been in the range of 6 %-7%. This is whatever Bureau data we can access at a broad level. The numbers are not yet close d. While our disbursement growth in home loan also had been far higher than the industry disbursement growth.

We are here to compete. We keep on modifying our strategy. We called out in last quarter saying that deepening the presence and increasing the width of our customer segmentation, deepening our presence in each micro market and the market , is the strategy we follow which is the strategy we will continue to follow to continue to grow in the home loan despite the competition from the public sector banks.

You asked a question on the HL contribution. 55% is in

the HL book . The IHL contribution

which requires, which is a regulatory PBC criteria, we were at 50.45% as of 30th September .

The rest of it was either a top up or the fee LAN or the insurance LAN which is not considered as an individual home loan. So, the regulatory criteria is 50% on that.

On the yield product wise, the yield product wise at a portfolio IRR at HL had been at 8.6%, LAP at 10.3%, LRD at close to 8.1% -8.2%, developer finance close to 11.5%. At an aggregate level, we come at 9.26% is the yield what we come at the portfolio. Now HL is also a mix of a prime and a non -prime but I am telling you at an aggregate level.

Bajaj Housing Finance Limited

November 06, 2025

Page 6 of 18

Shubhranshu Mishra: Just if I can squeeze in one last question, you did mention about deepening the presence into each micro market. So, are we also increasing our payouts to various developers or various connectors or large national DSAs?

Atul Jain: Our COA remains flattish because the payouts are not the only, because our home loan market is largely commoditized, most of the payout structures are also common . So, it is not likely that by increasing the payouts you can increase the market share. It is by making more product nuanced which is catering to the market and having a deeper presence in each of the market is the approach we take.

Increasing payout will not result into the higher market share is our assessment and which is not what we follow. We remain absolutely in line with the payouts what is offered by the market or leading player and there is no increase in COA over last year or over last quarter.

Shubhranshu Mishra: I'll come back in the queue. Best of luck for the further quarters

Moderator: Thank you. Next question is from Viral Shah from IIFL Capital. Please go ahead.

Viral Shah: Hi Atul and Gaurav and team. Thanks for the opportunity and congrats on a good set of numbers.

Atul, I wanted to know , so I am looking at the guidance that you have put out on the panel 16, it remains unchanged primarily on the margin front. Now for the first half of this year or the two quarters, we have kind of delivered a flat -ish margin , so we are guiding for a 15 -20 basis points kind of a decline for the full year perspective.

Are we expecting such a sharp decline in the second half or just more of a continuation of the guidance and we are likely to basically beat these numbers?

Atul Jain: On margins, I will request Gaurav to address this.

Gaurav Kalani: On a full year basis, we are expecting to be in this guidance range only because of the compression we are seeing driven by attrition pressure across the portfolio especially in the home loan side , also in the construction finance side. That attrition pressure followed with another rate cut expectation in December is what we are factoring in and that's where we are looking at year - on-year level this kind of a compression which we have guided for.

Atul Jain: So as of today, our estimate remains in this range. However, as the time shifts up, we are able to

do better , that is where we look at . But our estimates as of today stand at the same what we have guided for.

Viral Shah: Gaurav, just a bit on that. I think what you mentioned is basically an expectation of another 25 bps kind of a rate cut in this fiscal. I think last quarter when we gave that number , I don't think we were baking in that kind of expectation. Does it mean that on an underlying basis we are probably despite a 125 bps rate cut instead of 100 bps, we are likely to kind of say beat the numbers what we had guided for in the previous quarter? Would that be the right way to look at it?

Bajaj Housing Finance Limited
November 06, 2025

Page 7 of 18

Atul Jain: So, our guidance is not just -- there has been some improvement in the performance metric in terms of a growth in disbursal because we have not estimated that

kind of a growth in disbursal s

what has happened. However, on the negative side with the expectation of another rate cut and when we look at the benefit in the COF what we will get passed on versus the rate cut impact which may be there in the market .

It's a bit of an estimation because we remain a market focused business. The pass-through in the market will be what we will be guided by. That's where it's an estimate. So, you can say that we in that sense , if last quarter we were projecting these numbers without a rate cut , at the end of this quarter we are projecting the same margins with one rate cut baked in , in the numbers. To that extent you can quantify it , saying that our improvement in our confidence on the margins over one quarter.

Gaurav Kalani: And here on, the benefit on cost of fund would be marginal versus that if the portfolio attrition pressure continues to remain that way , we may see the pressure on the yields continuing. So that's where we are continuing with the guidance. Predominant part of the COF benefit is already passed through. Now we may have around 10 basis points of further benefit which we may see through the balance part of the year considering the rate cut.

Viral Shah: So basically, considering the rate cut you expect another only 10 bps kind of a decline in cost of funds ?

Gaurav Kalani: Yes. We are expecting in December to come in and then that to kick in , on the cost of fund Q3 would have gone , Q4 is where we will see a balance. So that's where.

Viral Shah: And just from a mathematical standpoint , Gaurav, this number if I have to say, take in a 10 or 15 basis points we anticipate probably

Gaurav Kalani: Sorry, we lost your voice. Can you repeat the question?

Viral Shah: I'm just saying that if I look at now this number s and say if I assume , say a 10 or 15 bps kind of a decline for the full year , with this revised kind of market dynamics , is it right to say that in the second half we may actually see more like say 20 to 25 bps decline from the first half or say the 2Q levels?

Gaurav Kalani: Not very clear Viral but it has both factors on yield as well as cost of fund. I have explained cost of fund . On the yields because of both reasons on attrition as well as new acquisition coming at lower price with one other rate cut we are expecting and with the acquisition challenges which we are seeing in the market on the public sector banks being aggressive etc , we have factored in a certain yield compression on the overall portfolio and that's where we are guiding for these numbers.

Atul Jain: It's a combination of Viral , estimated compression in the acquisition pricing to the yield compression and reducing out of that the COF benefit which will come.

Viral Shah: Got it very clear. Do I have a chance for one more question?

Bajaj Housing Finance Limited
November 06, 2025

Page 8 of 18

Atul Jain: Sure.

Viral Shah: Can you just also spell out ...

Gaurav Kalani : Viral we lost you in between again

Viral Shah: Hello. Am I audible now?

Atul Jain: Yes.

Viral Shah: I am saying, can you give an update on what is the traction that we are getting on the near prime and affordable segment and like what's the size of it ? How many locations we are ? And what are the customer segments primarily on the yield front that we are targeting?

Atul Jain: Just to give an update on the SBU what we started because we had started operating in the near prime and affordable segment before we set up an SBU but we set up a dedicated SBU in the last year . The business is doing well in terms of the milestones what we laid down for this

business. It is ahead of the milestones what we thought.

Now it operates from top 36 markets with an average size of a range of INR40-INR60 lakhs , while affordable business within that we operate across these markets outskirts as well as in some tier 4 and rural markets as well whe

re ATS is in range of INR15-INR35 lakhs . Currently

we are now acquiring close to INR250 odd crores per month business in this line and expecting to rapidly scale further .

Like we said that it is ahead of our expectations and ahead where we would have thought it would reach there. As incrementally it goes forward, we are looking at this to be growing at a much faster pace during next year as well . The reason we have grown it a bit slower than we could have grown , our estimate also was lower because this has different nuances compared to the prime retail businesses

So that's where we went slow during initial setup but based on our experience, we feel confident and now we are scaling it up faster and we will try to scale it up much higher during the next year

Viral Shah: Thank you, Atul . All the very best

Moderator: Thank you . Next question is from the line of Siraj Khan from Ascendancy Capital . Please go ahead.

Siraj Khan : Thank you for the opportunity and a good set of numbers . First few statistics Can you say the one plus DPD number

Atul Jain: Sorry?

Siraj Khan : 1 plus DPD

Bajaj Housing Finance Limited

November 06, 202 5

Page 9 of 18

Atul Jain: I am not able to hear you clearly .

Siraj Khan : 1 plus DPD

Atul Jain: 1 plus DPD . I don't think 1 plus DPD is the number . We give 30 DPD numbers , 1 DPD you are asking for all customers who have bounced . That is not a metric , Siraj. So, this is a 30 DPD metric which comes , customer comes to the stage 2 from stage 1 . So, stage 1 remains 0 to 29 DPD which is a standard definition and that is a consistent definition which is used across industry or across the quarters what we have been publishing the data.

Stage 2 remains which is 30 DPD to 89 DPD is 34 bps which remains stable and 90 DPD and above is 26 bps. So, 99.39% is 0 to 29 which is stage 1 , that is if you have to call it and if you look at last 8 quarters it is in range between 99.31, 93, 93, 97 . In fact if I look at it towards the better there, we have been at 99.39 % in 2-3 quarters We have been in between 99.31 % to 99.39 % in last 8 to 10 quarters .

Siraj Khan : Understood . So sir another question what I wanted was kind of partly answered in the previous participant's question , was on the affordable and near prime business ? But what I want to understand with respect to the slowing , and we are saying that we are taking it slow . So is this because we are taking it slow as a deliberate decision to understand the customer in that segment ? Or are we seeing any demand or specific asset quality related issues ?

Because some of the players that are in this segment of the affordable housing and near prime they are seeing some asset quality issues in the lower ticket size . Although our ticket size is not as low as these other players but since we are in that range , in that ballpark range , what is your view and assessment on that segment?

Atul Jain: So, this is not leading from any view on the asset quality or any stress what we are seeing or the demand compression . It is just that we started this business 15 -18 months , as practice of the risk management will do , we wanted to take it slow .

We are also onboarding the entire team , this is our entire ground s up build that also takes time for us to build . And like I said in the previous question now we feel confident of trying to rapidly scale it up , that is where we are and we expect this business to be much more ahead next year

Siraj Khan : Understood. And with respect to the fall in the derecognition income , the assignment income .

So, this was by design or by default. I was wanting to understand, is this like a one off or will we see this as kind of a stabilized number in the going ahead quarter?

Atul Jain: Siraj, when we said the yearly guidance during the last quarter, we said assignment we do for two reasons . One reason is , assignment is the treasury strate

gy . We are excess of capital , we

have excess of our capital and we took a conscious decision in the current year to not do assignment for treasury strategy because as a treasury as a means of fund , otherwise we had been normally falling 12 %-13% of our assets assigned out to our strategy, e ven as a treasury strategy for our ALM match .

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But if you look at our ALM, we went long last year . So, our ALM again , even if it is a five year bucket plus, it is quite comfortable even under borrowed asset . So, the need, conscious decision was to not pursue for treasury ALM match assignment in the current year .

The second reason for assignment for us , is always that if we are falling short of a PBC because if there is more opportunity to acquire non -HL assets and if we have the ability to assign them out, we like to take the opportunity to assign out the assets, maintaining PBC , as well as in the process having a higher ALM where the benefit flows through .

That we will be open even in the second half of the year depending upon , if we have an ability to mobilize more non -HL business based on our ability to assign them . So, first part of treasury is a conscious strategy to run it down that's why you will see much lesser in Q1 and Q2 and we called out last year , in the assessment also we have said that NTI is expected to be lower because of this, but if it is Q3 and Q4, this will depend upon requirement .

If there is a requirement to assign out, we will do an assignment out, we can look at a higher income , the income can be higher . That's where we are . I hope I have answered your question
Siraj Khan : Yes, thank you .

Moderator: Thank you. Next question is from Rahil Shah from HSBC . Please go ahead

Rahil Shah: Thank you for the opportunity . I have a question around the competition and just wanted to understand more about it . What would be your BT in or out rate , in the overall home loan segment ? And second, on the affordable housing side , what would be your BT in and also your AUM size?

Atul Jain: So, Rahil at an overall level, because we don't measure it in the segment wise BT in and BT out . At an overall home loan acquisition for the company , our BT in is 15% approximately of our overall HL acquisition , which is perfectly in line with the industry . Industry is 16-17% is the BT in, ours is 15% . At a segment level we don't break it which segment is there but aggregate level, since it is 15% , I think it will be largely for all the segments which is there .

Rahil Shah: And BT out?

Atul Jain: BT out is a factor of attrition , which is now attrition -- at an aggregate level if I look at it, our repayment rates in the Q2 FY '26 looked at 27 %-28%. At an aggregate level, it's a combination of various products . At a home loan level, it is a 21 %-22% kind of an annualized attrition , what we are seeing. 21%-22% which is an elevated attrition because of the pricing in the market . My guess is, because it's a part of both, which is customer paying on its own as well, but that would be a 20 %-30% part . So, at a 20% annualized attrition I can look at maybe 14%-15% as a BT out rate , from our book . But both BT in and BT out are different metrics . So, percentage wise, it may look at 15% , I request you not to assume both are the same .

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November 06, 202 5

Because 15% is on a different number which is on our HL portfolio . BT in we are talking about through the door acquisition and broadly industry level 16 %-17% is the acquisition . BT out at an industry level, I don't have a rightful number available because banks do not generally have a detailed HL or a focused metric s available.

Rahil Shah: Sir, in this 21 %-22% how this would compare to last year or two years back ? Just wanted to understand the pace for the increase...

Atul

Jain: Last year it would have been in the range of 15 %-16%.

Rahil Shah: So, from 15%-16% it's now upwards of 20 %-22% and you would say mostly this would be going to PSU banks or even large private banks would be something who would be part of ...

Atul Jain: Largely PSU.

Rahil Shah: Okay got it. And sir, what would be your AUM in affordable housing?

Atul Jain: We track AUM in two contexts , one is prime and non -prime . Non-prime includes affordable . So, the balance sheet mix in home loan today would be 86 :14, 86 will be prime and 14 would be non -prime including affordable. .

Rahil Shah: Thank you so much .

Moderator: Next follow up question is from the line of Siraj Khan from Ascendancy Capital. Please go ahead.

Siraj Khan: Yes. Thank you for the follow up. Hope I am audible? First question was with respect to a follow -up on was with the NII plus fee income. The fee income has gone up. So, are we seeing more cross -selling and will that be a slight driver for the NIM plus fee? Not the NIM, but the NIM plus fee will drive higher with the fee and commission income being ramped up ? Is that a conscious strategy or will it be stable?

Gaurav Kalani : Broadly, this is insurance income, which is driving that number apart from other charges, etc., which is like bounce charges, foreclosure charges, switch charges, etc. But predominant is the insurance income. It grows in line with the growth in business apart from the non -prime business, which will have higher penetration. But otherwise, overall, it will remain in line with the growth of business.

Siraj Khan: Okay, because like on a YOY basis, that number seems quite high. So, I thought maybe something else is also driving. Secondly, with respect to the affordable business, again, affordable in the near -prime case ...

Atul Jain: Just to clarify, on a YOY basis, it is looking at a double. But if you look at a Q4 FY '25, I think Q2 FY '25 was a bit lower. We have to go back why it was much lower and look at from Q4 FY '25 to Q2 FY '26, the number is not that different.

Bajaj Housing Finance Limited
November 06, 2025

Page 12 of 18

Siraj Khan: Understood, understood. And again, on the SBU, so what will be the yield difference over that book from our normal book? And as we see that the rates would go down, and one of our recently listed peers said that we try to use our cost -of-borrowing advantage and try to bring in customers and lock them in our book at a lower rate, kind of saying that they'll undercut the competition.

So, with that point, how do you see that difference in yield over both the books compressing?

And will that materially improve the NIMS and the yield of the book? Is that possible?

Atul Jain: See, each acquisition for each segment is at a point of time driven by the competitive intensity and also what market is available. We don't try to price ourselves lower to answer that question.

We try to optimize the price what is available in the market, basis the proposition, of the segment what we are addressing.

On an aggregate level, the yield, if I collect the entire non -prime business including affordable, yield will be a differential of close to 1.25 to 1.5% from the pure prime business. From the prime business, the aggregate yield will be differential by around 1.25 to 1.5%.

Siraj Khan: And so, 1.25 to 1.5% will be, it will be above the affordable near prime business over the prime. Have I got that correct?

Atul Jain: Yes.

Siraj Khan: And so, what we're essentially saying is we will not try to undercut or we will try to price it as per the merit and as per the demand scenario, demand ?

Atul Jain: Yes. As per the demand, because there is no, we don't believe in cutting the price, but we believe in always being competitive in the market.

Siraj Khan: Understood. Thank you. Thank you very much.

Moderator: Thank you. Next question is from the line of Satinder

Singh from Eon Investments. Please go ahead.

Satinder Singh: Yes, thanks for the opportunity. So, my question is around the assignment strategy. So , given that our gearing currently is below our target gearing of 7 to 8, so I was wondering if assignment makes great sense. So, while assignment does help us increase our ROA, but then it doesn't help on the ROE side. So, what is the metric we are targeting?

Is it ROA over ROE or is it ROE? So that's the first part. And the second is, given the outlook that we have on the market, so what is the time frame within which we should hit that, say, 7 to 8 gearing or let's say median 7.5 gearing?

Atul Jain: So, Satinder, two parts. We do assignment , like I was answering , when I was answering the earlier question over assignment strategy on the net total income trend. We do assignment because of two factors, not ROA or ROE driven, but one from a treasury strategy from an ALM perspective.

Bajaj Housing Finance Limited
November 06, 2025

Page 13 of 18

So, mortgage because asset booking is of a much larger duration while your liabilities are of a much shorter duration comparatively. So, it is always a sound strategy in our assessment in a mortgage to have a certain percentage of assets always being assigned out to have a perfect ALM match . That's what we have been doing , from inception, if you look at our six -year, seven -year record, we had always been assigning about 12 -13% of the assets, whether leverage being high or leverage being low, it is coming from treasury strategy.

Having said that, last year since we went long on the bond side and our ALM match was corrected, we called out that in the current year we are not falling assignment out from a treasury strategy because our leverage is low, precisely to the reason what you called out.

Because of the leverage being low, we said that we will do assignment not for the treasury

strategy and our ALM match has happened because leverage can still be low, but there is an ALM gap, we prefer to do more assignments so that we don't build a tenor risk in the balance sheet. But the tenor risk is not the point as of today.

So, treasury strategy is not there for assigning from an ALM point of view. However, the second part of the assignment remains on the PBC, which is on a non-home loan assignment. If we have an ability or opportunity, because our home loan book is growing at 19%, aggregate we have grown at 24%. That means our home loan book is growing at a faster pace and home loan is 55%.

So, if it is growing at 19%, that means the other part of the book is growing at a 30 odd percent. Now, if I have an ability to grow a non-home loan portion more, but to meet the PBC criteria, we have an opportunity to assign and get the spread. It's not a question of leverage or not because then the opportunity is not there to do that business in the non-home loan because then you get constrained by your growth in home loan book to grow the non-home loan business.

Have I been able to explain you clearly, Satinder, or you want me to elaborate further?

Satinder Singh: No, no, I think that's very clear. I think this is very articulate. And when do we hope to hit the seven and a half kind of a gearing, based on the outlook that you have?

Atul Jain: I think two years is the time frame where we should be. It will depend upon the growth numbers, of course, but as we give a medium term growth guidance, I think two years, two and a half years is the time frame where we should look at achieving that sustainability vision. This is what we say target ratio of a leverage.

Satinder Singh: Okay, right. And one final question. Given that we should be now nearing the end of the rate cutting cycle, how optimistic are we that we should be able to revert to our medium term guidance in FY '27?

Atul Jain: You're talking about the AUM growth?

Satinder Singh: Yes, the medium term

guidance in terms of AUM growth and we are -- primarily AUM growth.

Bajaj Housing Finance Limited

November 06, 2025

Page 14 of 18

Atul Jain: We cut our guidance for the current year basis the higher attrition pressure, which as of today is not looking to come down. We guided for that last year in the current last quarter, saying that the current year growth is looking to be lower because of the higher attrition pressure. However, as the company focus remains on growing disbursement, which you can see in quarter one and quarter two, the disbursements have grown faster than what they were going last year. But our AUM growth is slightly muted because of a higher attrition pressure.

As the attrition pressure weans off with our rate stabilization in the market, with one more rate cut in December, you can expect stabilization in the market in three four months. As we continue to focus on growing disbursement, we feel that by next year, then we can come back to our normalized or the medium term guidance growth in AUM. Disbursements continue to grow the way we are doing it now. Attrition pressure comes down, the AUM growth comes back on track in line with the medium term guidance that we have given.

Satinder Singh: Okay, and on the opex to NTI, what kind of time frame do you see as of today in terms of coming back to a 14 to 16 target?

Atul Jain: So, 14 to 16 was not a coming back. 14 to 16 was always a three to four year aspiration number, three to four year trajectory. I think that we remain on that. In a lower interest rate scenario, the reduction in a Y-o-Y basis will be either flattish or a 1%-1.5%. But as the cycle turns, with the income expansion, because opex to NTI has two parts. One is the income expansion, second is the opex growth. We will always be opex efficient, and as we continue to grow, I think next three to four year, you should clearly see the 14 % to 15 % kind of opex to NTI numbers.

Satinder Singh: Okay, fine. Thank you very much. Great set of results. All the best.

Moderator: Thank you. Next question is from Bobby Jayaraman from Frunze Investments. Please, go ahead.

Bobby Jayaraman: Yes, hello. You mentioned there was a lot of competition in the home loan segment. How is it in lease rental discounting, and property developer loans?

Atul Jain: Sorry, I couldn't get your question clearly, Bobby. Can you do me a favor and repeat the question?

Bobby Jayaraman: What is the level of competition in lease rental discounting, and developer loans? Is it as much as it is in home loans?

Atul Jain: Lease rental discounting, the level of competition would be higher than the home loan as well, because these are all, one, the customers are quite evolved. They have an access to each of the large lending institutions and each of the large lending institutions, specifically banks. This is a product which is not offered by housing finance companies. I think probably we might be the only company which is offering this at scale.

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This is the published results, whatever we have seen. But all banks, including all public sector banks, large public sector banks, and including all large private sector banks, this is a product of choice. So, the competition is significantly, you can say, in line with what is as a home loan. For developer finance, competition is more from some housing finance companies, NBFCs, and in recent past, what we have seen largely from even some private credit funds to the AIF structure. While AIF work on a normally higher trajectory, but as they take exposure at the beginning of the project, the project funding also gets locked in through that structure. So, and that's where competition on the construction finance comes. But construction finance, we are not guided by any competition, Bobby. We do that, basis the opportunity available .

I

think there's enough opportunity availability in the market. It's a risk construct driven rather than the competition or the pricing driven. Lease rental discounting is a market competition driven, but construction finance is risk driven from acquisition part of it.

Bobby Jayaraman: Now I understand. And also taking a longer perspective, over the next 10 years or so, the whole idea behind NBFCs is that, there'll be so much demand that the banks won't be able to cater to it and you can offer a solution, right?

Because your cost of funds are higher. That's the basic premise, right? For NBFCs. But you're not seeing anything like that now because the GDP growth is around 6.5 % to 7%. So, you're not seeing the real estate demand, which will not incur this much pricing competition.

Atul Jain: So, Bobby, if I get your question right, but first I would have a slightly different opinion than you in terms of what is the reason of an HFC being existent rather than a bank. In our assessment and the way, we look at the construct of our company, we don't look at it as if is doing a credit or meeting the credit demand, which bank is not able to meet .

Because we, our larger part of the balance sheet is in the prime segment, which is whether a prime home loan or a lease rental discounting there, which is all banks, all large banks, public, private are aggressively present. So, we don't look at it as doing the business and we believe from a cost of fund perspective, for a well -run company, for a good credit, which is what we are, which is rated highest in India as a domestic credit rating, your cost of fund can be higher at a coupon rate level versus a bank because bank may have a, you can say a CASA benefit coming in through their coupon rate s.

But when they look at their all expenses put together to mobilize the treasury or mobilize the CASA and the other related compliance costs, I don't think a well -run company at a AAA level is at a disadvantage versus a bank to be able to compete in the prime space. If that would have been the case, Bobby, then what we have seen for years, for decades in the country, HDFC Limited was leader in mortgages, not even State Bank of India. S tate Bank of India, I think, became the largest player close to 17, 18, if my memory is right.

So, from 20, 30 years, HDFC was the dominant player and including when SBI crossed it, it remained the second by a near margin. So cost of funds is not very different for a well -run, high Bajaj Housing Finance Limited

November 06, 2025

quality credit company is my assessment and we continue to remain focused and next 10 years also, we'll continue to build a business for scale, low risk, in line with what banking is there with offering all mortgage products to balance risk and return.

If GDP growth will mean the market will continue to grow at a much larger level. The second, the GDP mortgage, mortgage as a GDP penetration also is lower in country and as a country per capita is increasing, we believe there is a sufficient scope from there. Looking at a long term average, because if you look at a home loan market, it has always grown on a plus minus 12 %-13% kind of a AUM growth, which has been there, last 10 -15 years.

We believe it can slightly go up from here onward. That means a portion can be higher rather than lower as we move forward from here.

Bobby Jayaraman: Okay, I understand. And as you move with affordable loans, your risk, your credit cost might likely be higher. So how does that align with your low risk model, which is one of your guiding principles?

Atul Jain: So, when we guide for our medium term, GNPA s is as well, we always guide for Bobby , from last year, is 40 to 60 bps, because that's the model is constructed for. We are today lower, and we like to be lower in there. But the model what we construct is for that 40 to 60 bps of a GNPA and 20 -25 bps of a cr

edit cost. That makes it a mix.

See, model is scale, low risk and medium return, or a reasonable return. We don't say it's a scale, low risk and low return. Because if you have to be a scale, low risk and low return, we don't need to do a non-prime business or a construction finance business. But we have to deliver a reasonable return. That is where some mix of or a relevant mix of a non-prime business and a construction finance is essential for the balance sheet mix.

Well, the dominant part of the balance sheet will always remain prime plus lease rental discounting, which are lowest or least risk asset. It's a part of a sum of parts in that sense in the company. We have one of the fourth pillar of strategic differentiator of the company also, which we put out in our deck always, is also we are a full mortgage product suite company.

We are not a one segment of a mortgage which is there. So, we'll always offer all products in mortgages. Relevant weight on each of the segment can be plus and minus basis risk return calculation at that point of a time.

Bobby Jayaraman: Okay, I understand. Thank you very much.

Moderator: Thank you. Next question is from Siraj Khan from Ascendancy Capital. Please go ahead.

Siraj Khan: Thank you again for the follow up. One question more on the business and other notes on the business. On the business, The LR D business, I mean, it's already at one, more than one fifth of the business 20 odd percent. Where do you see this settling? I mean, do we have a mind where we cap it out or anything with respect to that?

Bajaj Housing Finance Limited

November 06, 2025

Page 17 of 18

Atul Jain: No, Siraj. That's because we have a capping of a 60% residential business, 40% non-residential. Basis the opportunity available and the returns available, if it gives better return, there is the capping is only the regulatory capping and there also like I called out in earlier question, if I have the ability to do a assign out, we'll continue to grow because this business fits perfectly with our concept of a scale, low risk, reasonable return.

This meets all the three boxes on the criteria what we have. It's a scale, low risk business, it gives a reasonable return because of a low opex. So, there's no cap what we have other than the regulatory cap, which is on a non-home loan business.

Siraj Khan: Okay, so I mean, so we could scale because it's a very high growth business. So, I was just wanting to ask, have we internally set any cap, like 25% or 30%. So, there is no issue with respect to the concentration specific.

Atul Jain: It will not go beyond that, because if 40% is your total non-residential business, which can be between LAP, construction finance and lease rental discounting, I think there will be an automatic ceiling. It will come at an AR level, not at a AUM level. AUM level, it can have a different there, because if you have an ability to assign, you can continue to grow more.

So, largely, say 20-25% beyond will be is not a visibility. But if there's an opportunity, we like to grow and if you have an opportunity to grow and also assign out, because on a standalone basis, it cannot grow to 30%. That will mean construction finance and LAP have to go down to zero, if it is an or 10% at the AR level. But AUM level, there's no cap or if you have an ability to keep on mobilizing.

Siraj Khan: Understood. Great. And the second question was more so on like, we've seen in the HFC space, specifically in these, what do you say, affordable housing space, where a lot of there has been this PE backed over sell, sell side overhang of the PE player exiting. In our case, that's not the case. But we have a high holding with respect to Bajaj Finance Holding, 88%.

So, my question is indirectly with respect to the minimum shareholding. I was also reading up a consultation paper that is saying that the minimum shareho

lding timelines with respect to which

that has to be met at the 25%, public shareholding. So, anything with respect to that, because from what I understand now, with the market cap of INR50,000 crores to INR1 lakh crores, within three years from listing 25% has to be achieved. We've been listed for like a year or so.

Atul Jain: The guidelines have already come. It's not a consultancy paper in any case. So, we have time till September '29 now to get it. It's not gazetted yet, but the guidelines have come. So, it will get gazetted. The guidelines have come. So, we'll have time till September '29 for the parent to dilute.

By the time I think we will require one additional round of a capital or primary capital and the basis. The other -- it will be decided by the BFL board it because it's a decision given by parent to dilute. We are not in a hurry to dilute because we have not got any urgency to raise primary capital.

Bajaj Housing Finance Limited

November 06, 2025

Page 18 of 18

Siraj Khan: I understand that. So, I was just wanting to understand from respect to -- I'm not sure. I'm sure that they will not be selling out. But how will the -- how will that come down? I mean, most probably it will be through a QIP, but that will be much later.

Atul Jain: It is the FY '29. It is four years from now. Yes.

Siraj Khan: Yes. Thank you.

Moderator: Thank you very much. As there are no further questions, I'll now hand the conference over to the management for closing comments.

Atul Jain: Thank you. Thank you all for your patient listening. Thank you all for joining us on the call.

That's all from us. All of us here for that. Thank you.

Moderator: Thank you very much. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

7 February 2026

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001 To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra - Kurla Complex, Bandra (East)
Mumbai - 400 051
BSE Code: 544252 NSE Code: BAJAJHFL - EQ

Dear Sir/Madam,

Sub: Transcript of earnings conference call held in respect of the financial results for the quarter ended 31 December 2025

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 14 January 2026, informing the Exchanges regarding earnings conference call in respect of the financial results of the Company for the quarter ended 31 December 2025, the transcript of Q3 FY2026 earnings conference call held on 2 February 2026 at 6: 15 p.m. IST has been uploaded on the website of the Company and is available at ' Quarterly Earning Conference Call Transcript ' drop down at <https://www.bajajhousingfinance.in/investor-presentation> .

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

We request you to kindly take the same on record.

Thanking you,

Yours Faithfully,
For Bajaj Housing Finance Limited

Atul Patni
Company Secretary

Email id: - bhflinvestor.service@bajajhousing.co.in
Cc: Catalyst Trustee ship Ltd. (Debenture Trustee, Pune)

Page 1 of 21

"Bajaj Housing Finance Limited Q3 FY'26 Earnings
Conference Call "

February 02, 2026

MANAGEMENT : MR. ATUL JAIN - MANAGING DIRECTOR , BAJAJ
HOUSING FINANCE LIMITED
MR. GAURAV KALANI - CHIEF FINANCIAL OFFICER ,
BAJAJ HOUSING FINANCE LIMITED
MODERATOR : MR. VIRAL SHAH - IIFL CAPITAL SERVICES LIMITED

Bajaj Housing Finance Limited
February 02, 2026

Page 2 of 21

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Moderator : Ladies and gentlemen, good day and welcome to Bajaj Housing Finance Limited Q3 FY'26 Earnings Conference Call hosted by IIFL Capital Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Viral Shah from IIFL Capital Services. Thank you and over to you, Mr. Shah.

Viral Shah: Thank you, Nirav. Good evening, everyone. This is Viral Shah from IIFL Capital. Welcome to the Q3 FY'26 Earnings Conference Call of Bajaj Housing Finance Limited. On behalf of IIFL Capital, I would like to thank the Management of Bajaj Housing Finance for giving us this opportunity to host the call.

From the management team today, we have Mr. Atul Jain – Managing Director; Mr. Gaurav Kalani – Chief Financial Officer and other Senior Members of the Management Team. We will have opening comments from the Management Team , post which we will open the floor for Q&A.

With that, I would like to transfer the call to Atul for his opening remarks. Over to you, sir.

Atul Jain : Thank you, Viral and IIFL team for hosting today's conference. Good evening to all the participants. Investor Deck for Q3 has been uploaded on our Company's website under the Investor Section and also on both the Stock Exchanges . I hope you had a chance to go through the same. Me and my colleagues are here to first take you past the important features of the deck and then subsequently to answer any questions you have on the deck. I will quickly cover important panels of the Inves tor Deck.

First, I will start with Panel # 3. Overall, a good quarter for AUM and profitability. AUM stood at Rs. 1.33 lakh crore, growing 23% on a YOY basis due to continued good momentum in disbursements during the quarter, which were partially offset by higher attrition. PAT grew 21% with annual ized ROA of 2.3% and ROE of 12.3%. Asset quality remained healthy during the quarter with GNP A at 27 bps, NNP A at 11 bps and annualized credit cost of 19 bps. Operating efficiency as well improved during the quarter, leading to OPEX to NTI at 19%. This 19% is

Bajaj Housing Finance Limited

February 02, 2026

Page 3 of 21

excluding one -time exception item against 19.8% in the same quarter last year. Company's geographical coverage stood at 221 branches across 178 locations. The Company also continues to have comfortable capital adequacy with CAR at 23.15% and PBC for the Company, which is a regulatory criteria, stood at 61.37% from a thre shold of 60% as per regulation.

I will move to the next panel :

I have talked about overall AUM growth. Overall AUM addition was Rs. 6,664 crores in Q3 FY'26 compared to Rs. 5,745 crores in Q3 FY '25. AUM growth at product level was Home Loans grew 18%, LAP at 32%, LRD at 39% and developer financing by 18%. Portfolio composition continues to remain well diversified with Home Loan mix at 54.5%, LAP at 10.7%, LRD at sub 22% and DF at 11.6%. Disbursements during the quarter reflected good momentum with growth of 32% on YOY basis from Rs. 12,571 crores in Q3 FY '25 to Rs. 16,545 crores in

the quarter gone by.
I am moving to the next panel, which

is Panel # 5:

Cost of funds improved by 50 bps on YOY basis from 7.9% in Q3 FY '25 to 7.3% in Q3 FY '26. On sequential basis, COF moderated by 5 bps due to policy rate transmission on existing borrowings and also impact of incremental borrowings at lower rates. Borrowing mix continued to remain well diversified with higher composition of money market instruments. Borrowing composition was 52% from money market, 39% from banks and 9% from NHB refinance. Gross spreads overall moderated by 12 bps sequentially from 1.9% in Q2 FY'26 to 1.8% in Q3. This was due to portfolio yield reduction of 17 bps, which got partially offset by 5 bps benefit in COF. Now, spread for Q2 FY '26 had expanded to 1.9% from 1.8% in Q1 FY '26 and Q4 FY '25 and you will recollect during last quarter we had called out that the margins have expanded due to delayed transmission in part of the portfolio while the cost of funds benefit was up front. So, in that sense, Q3 became as a normalized at a spread of 1.8% which was in line with the previous two quarters before Q2. However, from a YOY basis, this was lower. Net interest margin held at 4% in Q3 FY '26 while remaining flat on sequential as well as on YOY basis. OPEX to NTI, which was covered in initial panel, improved to 19%. Exceptional item was of Rs. 13.1 crore due to one-time impact of gratuity provision pursuant to implementation of Labor Codes. I will move to Panel # 6. Healthy asset quality during the quarter with GNPA 27 bps in Q3 against 26 bps in Q2. NNPA improvement of 1 bps on sequential basis from 12 bps to 11 bps. Credit cost annualized was 19 bps during the quarter compared to 15 bps in Q3 FY '25. However, in Q3 FY'25, we had a one-time overlay release of Rs. 10 crores. Factoring that, the credit cost would have been 20 bps in last year. So, 19 bps versus 20 bps last year. Quarterly PAT has grown 21% from Rs. 548 crores to Rs. 665 crores. Annualized ROA stood at 2.3% against 2.4% last year same quarter. But in line with sequential 2.3% in the previous quarter and ROE at 12.3% compared to 11.5% in Q3 FY '25. Overall net worth of the Company was a bit tad below Rs. 22,000 crore at Rs. 21,838 crore as of 31st Dec '25.
Bajaj Housing Finance Limited
February 02, 2026

Page 4 of 21

I will now straight jump to Panel # 19, which is both a quarterly snapshot as well as a 9-month YTD snapshot. Majority of the quarterly metrics have already been covered on the previous panel. NIM for Q3 FY '25 has grown by 19% to Rs. 963 crore while NTI has grown 24% on YOY basis. This is due to higher assignment income and fees and commission income. Both PBT and PAT has grown by 21%. On a 9-monthly basis, net total income has grown by 24%. Operating expenses increased by 20% and PPOP, which is pre-provision operating profit has grown by 24%. Overall, PAT has grown 20% for 9 months FY '26. OPEX to NTI, on a year-to-year basis up to YTD basis has moderated by 50 bps to 19.9% from 20.4% in 9 months FY '25. Credit cost was 18 bps in 9 months FY '26 against 8 bps in 9 months FY '25 because of an overlay release of Rs. 60 crores in 9 months of last year. Adjusted for that, it is largely flat. ROA was 2.3% and ROE was 12% in 9 months FY '26. I will move to Panel # 21. As discussed earlier, portfolio yield dropped by 17 bps on sequential basis from 9.3% to 9.1%. While cost of fund saw sequential benefit of 5 bps to 7.3%. Thereby, gross spread has contracted by 12 bps to 1.8%, but similar to Q1 and also Q4 of last year level. OPEX to NTI has dropped by 80 bps to 19.8%. NIM flat at 4% on YOY as well as sequential. Asset quality trend and portfolio metrics have already been discussed on previous panel. I will move to next panel. Well diversified borrowing mix, this is enabled through borrowing relationship with 18 banks and highest possible credit rating of AAA / stable. In terms of sequential movement in borrowing mix, Bank's borrowing mix

has increased by 2.8% while
NCD mix has moderated by 70 bps. CP mix has come down by 1.6% and NHB refinance by 40 bps.

Moving to Panel # 25. Portfolio mix remains well diversified basis our guided range. On sequential movement, LRD and LAP share has increased by 40 bps each while moderation in Home Loan share by 60 bps and construction finance by 20 bps.

I will move to next panel. Now this is the panel we are introducing for the first time. This is an additional panel. This is giving an update on our SBU which we set up around 1.5 year back for Sambhav loans for near time and affordable to expand both customer segment for the Company as well as enhanced yields for the Company. Now currently this business on close to 18 months of an operation has reached a level of a monthly disbursal run rate of 325 to 350 odd crores. As a company we are targeting Rs. 600 crore plus monthly disbursement run rate in next 12 to 15 months through strategic investments being made in this SBU. Sambhav loan has two parts. What we call as Sambhav loans in SBU has two parts. One is Near Prime and second is Affordable. Under near prime business we target average ticket size of 40 lakhs to 60 lakhs

having yield in corridor of 9 % to 11% with focus on top 36 markets. For affordable we target average ticket size of 15 lakhs to 35 lakhs with yield ranging between 11 % to 13% and operating in deeper geographies of top 36 markets that is the outskirts of the main cities as well as tier 4 and rural locations. In terms of geographical coverage , this business is now operating from 73 urban locations and 72 tier 4/ rural locations. Under Sambhav loans , we offer loans for all transactions in home loan which is whether purchase, resale, self -construction and balance

Bajaj Housing Finance Limited
February 02, 2026

Page 5 of 21

transfer. We have also deploying dedicated teams for separate type of channels in this business, which is intermediary sourcing is B2C teams. At our developer counters we are deploying B2B teams, dedicated B2B teams as well as direct -to-consumer teams and the loan against property teams.

We will move to the Panel # 31. Stage -1 assets are moderated by 3 bps on sequential basis to 99.36% in Q3 while stage 2 asset has correspondingly increased by 3 bps to 37 bps while both of them are at same levels as of last year. Now GNP A has inched up by 1 bps to 27 bps from 26 bps of last quarter, but NNP A has improved by 1 bps. Overall the asset quality remains same. Provisioning coverage ratio remains healthy at 58.76%.

I will now move to Panel # 33 which is the last panel I would like to cover. Provisioning coverage ratio remained healthy and was higher than 50% across product lines. Home loan GNP A inched up by 2 bps on sequential basis to 34 bps. LAP GNP A improved by 7 bps to 52 bps while GNP A was flat as of Q3 FY '26. Overall NPA improvement by 1 bps including flat NPA in home loan while LAP NNP A has improved by 5 bps to 24 bps.

That's all from my side on quarter update. Happy to take questions now between me and the management team.

Over to you , Viral .

Moderator : Thank you very much. We will now begin with the question -and-answer session. First question is from Abhishek from HSBC. Please go ahead.

Abhishek: Hi Atul. Hi Gaurav. Thanks for taking my question. A few quick ones. One is Tier-1. Why has it declined so sharply? Even if I add back the profits it would be about 70-80 bps. The drop at about 3% QOQ is very sharp. Can you talk about that? Basically this quarter's Tier-1 drop, that's point number 1. Point #2 , when you are giving this medium -term outlook on cost to income what is the time frame? Because even if I assume something like 3 years, the OPEX growth will work out to around 9% if the revenue growth is somewhere around 20%. So that looks quite low or is that possible given all the AI intervention etc. that you are doing? So that's ques

tion number 2.

Question number 3 is if you can share the BT -in and BT -out in home loans for the quarter. That would be very useful. Thanks. I think those were my questions.

Atul Jain: Thanks , Abhishek. First part of the question, Tier-1 decline. That is in November there had been a consolidation of applicable guidelines by Reserve Bank of India when they came out with a consolidated circular. There has been a minor change which we are seeing in that guidelines as they consolidated the guidelines because there was an illustration given for under construction home loans and the developer loans. In the erstwhile guidelines which allows the provisioning for undisbursed tranches of home loans or undisbursed tranches of construction finance for provision of capital only up to the next stage of disbursement. Now while of a consolidation of the guidelines this example has been removed. Now on a conservative basis then we have provided

Bajaj Housing Finance Limited
February 02, 2026

Page 6 of 21

capital for the entire chunk of undisbursed loans in both home loans as well as the construction finance loans rather than only up to the next tranche available till we have a much more clarity. So that is where you have seen the sharper drop in the Tier-1 for provisioning of entire undisbursed tranches of home loan and construction finance loans in the current quarter. That is where the drop in the Tier-1 you are seeing. Cost to income ratio, time frame ...

Abhishek: Sorry, just to ask a clarification. When will this clarification come from the regulator because this mean that all the incremental disbursements that you do, even in that or the sanctions that you do, undisbursed part will start attract a capital charge, so how do you see a faster capital consumption?

Atul Jain: This will be, but at the point of a time because this is only applicable on the under construction home loans , we have a reasonable size there. So as the volume grows the buildup of the undisbursed portions will be lower because the older portions keep on getting disbursed. But to the point what you are making , till the point of a time there is a regulatory clarity or the provision , we have to provide for that because the illustration was the basis for providing till the next tranche. But that illustration , with the illustration gone, you have to provide for as the guidelines

stand as it is. We have to factor in as a conservative basis and factor in all the entire capital. But we will hope for the regulatory clarity or a question at an early date. But pending that we will continue to provide for entire capital on all new loans also being disbursed. The second part of the question was cost to income ratio. The time frame we take a 3 to 4 year for 14 % to 15 %. Now, this OPEX growth can be a bit higher because as we will continue to invest what we call in the Sambhav loans next 2 years -3 years we will continue to invest in our Sambhav loan unit much more. Even in fact we will accelerate our investment next year in the Sambhav loans to gain scale much more rapidly in the near prime and affordable space. Now if you look at a year -on-year it has dropped from 20.75 % to 19 %. Almost a drop of 1. 75% over the last 4 -5 quarters on a quarter -on-quarter basis at an absolute basis. When you see that this is despite the currently declining interest rate scenario which compresses the margin. So we remain very, on our path that we have chalked out the 15%-16%, 14%-15% would be feasible to deliver in next 3 -4 year time frame without any extra there. Just the path of growth and the path of movement what we are doing will be sufficient for us to reach that level. On a BT -in and BT -out I will request Gaurav to give you the details. So our BT -in for the last quarter was 16.5% of our total home loan acquisition. BT out on the portfolio is 16.9 %.BT -out Gaurav is informing me it is close to 20 %. BT-in is 16.5

% of home loan acquisition for the last quarter.

Abhishek: And compared to industry level BT would you have that number also?

Atul Jain: At a normal basis in BT -in industry used to be 15% of the total home loan disbursement. So we are in line with that but however my own personal assessment is that has gone up in the last 2 quarters specifically because that is an impression or what you can say assessment we have. Basis that data whatever the published data previously will have on the composition of the home loan industry it used to be 15% used to be BT. But my own suspicion is last 2 -3 quarters it is Bajaj Housing Finance Limited
February 02, 2026

Page 7 of 21

much more elevated because of a rate cut pressure from public sector banks. It is my own assessment of the market.

Abhishek: Quick data point, Sambhav loan, what is the AUM?

Atul Jain: AUM is close to now 5 ,000 plus odd crores.

Abhishek: Both near prime and affordable put together.

Atul Jain: Yes.

Abhishek: Okay , got it . Thank you and I will come back in the queue for more. Thank you very much.

Moderator: Thank you. Next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi Atul, hi Gaurav. Thanks for the opportunity. So just want to understand what is our prepayment rate which would include the BT -out plus there would be foreclosures, there would be people who want top ups and there would be people who would be fighting for rates. So if we can split this into these four broad categories. The second is how many people do we bank on a monthly basis as in the NACH hitting their bank accounts on a monthly basis. The third question is around liabilities. Today what of our borrowings are on floating and what do we think about the cost of funds going forward in the next year. Thanks.

Atul Jain: Hi Shubhranshu. On the prepayment rate , total cumulatively what I called out in the last question is 20%. Now this is a mix of a part payment being done by the customer, the natural attrition on what happens and also the BT -out while largely you can take 60 %-70% of it as a BT and balance be the natural attrition what the customer does or for 20% kind . So 14 %-15% you can take as a BT and 4 %-5% would be the natural attrition plus the part payment. On the banking numbers I will check and come back to you by the time because as I remember my mix is close to I think 300,000 odd customers would be there , but I will just validate that. On the fixed and the floating mix if you look at AUM we are at 60% floating and AR floating will be 52% because when we look at the liabilities we look at AUM because there is a balance sheet which is assigned out , so floating is 60% at AUM and around 52% on AR basis .

Shubhranshu Mishra: Just one clarification on this BT -out, so if there are 100 applications which say that , okay I want to transform my files , how many are we able to retain back?

Atul Jain: Roughly 40% of the applications eventually move out in 90 days period.

Shubhranshu Mishra: Okay and this versus the industry in the same ticket segment would be how much?

Bajaj Housing Finance Limited

February 02, 2026

Page 8 of 21

Atul Jain: There is no industry data which gets published on this basis on the ticket size and on attrition basis where retention or attrition basis , so I will not be able to comment on whether it is high or low, but given that we are in the prime segment , I suspect our attrition rates would be higher than the industry. Our banking numbers are 3.3 lakh , just now we confirmed . I said

approximately 300,000 , so its 3.3 lakh.

Shubhranshu Mishra: And what do we think of cost of funds in 2027?

Atul Jain: It is a very difficult question if you are asking today because Q4 is very difficult . Vijay is here from treasurer, Vijay?

25-30 bps of a downward revision we are looking at for a full year level is an assessment

as of

today but given the current whatever has happened in last 30 -35 days in the market specifically in the money market side where the money market prices have gone up but we assume that till March from April things should get back to normal.

Shubhranshu Mishra: So you saying 25 bps of cost of funds will reduce despite the G -Sec yield hardening?

Atul Jain : I am saying that the G -Sec yield hardening is we are taking it as a till March phenomena because of the liquidity crunch in the market , from April we expect the market to be normalized because basis today if you look at the money market today , then we are not talking about any savings there but our reasonable estimate is the next year there should be 20 -25 bps kind of there because there is a repricing of the existing borrowings also because there is a existing borrowings maturity which were done slightly at a higher rate which will get replaced . Even if the markets don't come back to a very low level , there is some gain which will come from the level what you are currently borrowing , because currently what we are borrowing the incremental borrowings are cheaper than the cost of funds at the book level what we have , even in the current scenario as well . So that's what will give us savings as we go forward .

Shubhranshu Mishra: Understood. Thank you so much. I will come back in the queue. Best of luck.

Moderator: Thank you. Next question is from Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Good evening , sir. Just two questions. Thank you for taking the question. Firstly, if you could just comment a little bit on the competitive intensity , now why I ask this is , this quarter at least based on the commentaries that we have heard until now everyone is talking about a significantly elevated competitive intensity and primarily coming from banks, within banks, PSUs. Now I understand we have been talking about this competitive intensity for the last couple of quarters but just trying to understand , I mean has it got much more pronounced in the last maybe 2 -3 months and within that I mean is the competition only pronounced in the prime and super prime segments or are you also starting to see this competitive intensity go up in the near prime and affordable segments? That is my first question. The second one is around the PLR changes that you have done. So if you could just help us understand that last quarter in the month of January Bajaj Housing Finance Limited
February 02, 2026

Page 9 of 21

what PLR changes have we done and how are we thinking about any further PLR changes over the next two months of this quarter ? And lastly, this quarter we have done slightly higher assignments . So how are we thinking about it? Is there an annual assignment volume that we work with or is it like more opportunistic based on you using it as a liability tool , so whenever opportunities arise you go ahead and do the assignment. Just those three questions.

Atul Jain: Thanks , Abhijit. So Abhijit first on the competitive intensity we have called out during last quarter as well . We feel the competitive intensity is a feature not a novelty in the market. That is what I stated in Q1 and Q2 as well. So there will be the pressure on the prime side and the super prime because that is a major part of our business will always be high is what we work with a base case assumption. It remains as pronounced as it was and we believe it is likely to remain like that. So our plans factor in a high level of a competitive intensity continuing because there will be at a point of time there will be some banks who will be very aggressive at a point of time there will be other banks who will be very aggressive. Largely competitive intensity from the banks on the pricing side remains on the prime and super prime side. On the near prime or affordable side it is not the pricing intensity but the number of play

ers presence and the

number of players wanting to make more space there which is increasing but the pricing intensity is not seen as a competitive manifestation there. On the PLR change we have done a total --So there are various parts of our books. One is a book which is an external benchmark link where it is passed on in line with the benchmark which is close to 10 %-12% of our book is linked to repo rate. There the book is passed on the repo rate benefits are passed on as per the external benchmark. On the non -repo rate linked book which is our salaried book in the prime side what we have passed on till now from a rate cut cycle from March is 60 bps. So January I am not clear. February onwards ever since the rate cut cycle in line with each rate cut like this last rate cut which had happened we had passed on in December. So January there is no further rate cut. So 60 bps of a pass through has happened. And we don't see as of now any further pass through in next 60 days whether downward or upward basis the market conditions as of now. That is of course subject to I am assuming there is no rate cut coming in the upcoming MPC.

Abhijit Tibrewal: Right. So just one follow up based on this the first question the Tier-1 that you explained right

why the decline. So I was just trying to understand if my understanding is right. Now what we have done is on the sanctioned amounts as well we have taken a capital charge and till better clarity comes. But the problem here is until now right as an industry we never used to provide on the sanctioned amounts right. While you said that over a course of time those sanctions will convert into disbursements. But until the time clarity emerges people will shy away from giving higher sanctions right. Because that eventually means that even without disbursing you are having to take a capital charge.

Atul Jain: So this is not linked to that, Abhijit. This is not sanctioned amount. With sanctioned amount in any case you have to factor in some as a part of a credit conversion factor in your disbursement and that's only for a temporary period of 30-60 days which in any case keeps on going on a rotating basis. This is on an under construction home loan or under construction project finance you have disbursed one tranche because you have to disburse first tranche but that the money keeps on
Bajaj Housing Finance Limited
February 02, 2026

Page 10 of 21

going over a period of 24-36 months in tranches which are linked to the construction. So you have to sanction the full amount, you have to disburse the first tranche because that's how you will disburse the final money. So there is no escape from not sanctioning because you are disbursing then you are providing full.

Abhijit Tibrewal: Got it. This is useful. Thank you so much and I wish you and your team the very best.

Moderator: Thank you. Next question is from the line of Chirayu Maloo from Kotak Institutional Equities. Please go ahead.

Chirayu Maloo: Hi. Thanks for taking my question. Most of my questions are already been answered. I just have one from my end. So can you please share how your NIMs will trend going forward and what will be the impact on margins assuming that long term yields will remain elevated?

Gaurav Kalani: Hi, Chirayu. So for the current year we have already guided for NIMs movements and NTI movements etc. So for the year while we had said that we will be able to maintain the NII's in line with last year, NTI at an overall level we are looking at around 15 basis points to 20 basis points of drop there for the entire year. So that's what we had guided at the start of the year.

Chirayu Maloo: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Viral Shah from IIFL Capital Services. Please go ahead.

Viral Shah: Thank you. Atul, I had two questions. One is do you have any say targets with regards to how big the near prime

and affordable segment could be, say, maybe 3 years down the line? And secondly, even this 325-350 crores of monthly origination that we are doing in this business, can you let us know what percentage of this is say a fresh origination versus say a BT-in and who would be the typical competitors for us in the market?

Atul Jain: So Viral, the target for near prime and affordable can be as large as it is there. Because we are like we said that last year when we started this we said that as we go forward, as we get more confident on the credit performance of the portfolio, we will continue to expand our offerings here as well as our appetite here. So today what we are looking at is in next 1 or 2 years to take the business multiple from where it is there. 12 months where you have already said that next 12 months to 15 months we will be looking to nearly double the kind of a disbursement run rate. There on it is a business which is evolving. Space is large, reasonably large. We will continue to evolve. Next three years we will see ourselves having a significant amount of investments continuing in this business which is near prime and affordable for us to keep on growing. So 36 months from here it will be an investment phase. So you can assume that we will be looking to grow the business significantly aggressively over next 2 to 3 years. On what you ask for a BT mix in this, in this the BT is close to 27% odd to 30% odd in the acquisition what is there. Rest
Bajaj Housing Finance Limited
February 02, 2026

Page 11 of 21

is the purchase or resale or a plot plus construction P plus C which is an affordable, which is a typical there P plus C, builder or resale. BT-in is 27% odd to 30% odd.

Viral Shah: And Atul, the competitors if you can give some sense over here? From where we are getting this BT?

Atul Jain: The business will get BT from even it can get a BT from a bank as well. So there is no particular person which is targeted because it depends upon the customer need what is getting met. The customer can be looking for a top up which is which was a loan was earlier. Largely if you're if you're looking to see that are the BT-in customers coming more from affordable. No, that is not the case. It is a mix of affordable HFCs to even banks to a prime companies as well where a customer can be coming in. See the yield is between 9% to 11%. That's what we are calling, but the yield in some cases can be even. So yield is not that dramatically different for a customer to

be only coming from a deep down the line from an affordable segment. It's a mix of the segment.

Viral Shah: Got it. Thank you.

Moderator: Thank you. Next question is from line of Raghav from Ambit Capital. Please go ahead.

Raghav: Hi. Good evening and thanks for the opportunity. I think you partly answered my question but I should go ahead. You mentioned that you'll be scaling up the affordable home loans where ticket sizes 15 lakhs to 35 lakhs. I think you're also saying that you're targeting some 600 crores of disbursements over the next 12 months to 18 months. My first question is what percentage of the 600 crore target will come from the 15 to 35 lakh segment?

Atul Jain: As of today from what we do it in near prime, if my numbers are correct, I think 35%-40% comes at an aggregate level between 15 lakhs to 35 lakhs. But I'll have to come back to you for the exact numbers because my assessment is close to 125-130 odd crores comes in that segment and balance comes from the higher than 35 which is a near time segment. 35% of 350-odd crore monthly number comes from affordable segment. Balance comes from the near prime segment.

Raghav: Okay. And then your sourcing strategy, so I think you partly answered that, that 27%-30% comes from BT-in which is where you're acquiring from the other affordable HFCs. Is your own sourcing team?

Atul Jain: Even for balance transfer you have

to have your own sourcing team because customer will not walk in. But it's a mix of a strategy between balance transfer and the market facing. We have four types of sourcing teams what we are deploying or what we have deployed at a subscale. But finally there is an internal data team, data and digital processing team where the larger business composition is towards the balance transfer. There is a market intermediary focus team. There is a builder counter sourcing team because there is a fresh purchase also of a sub 40 lakhs -sub 45 lakh ticket sizes which is getting done. That is where it is sourcing. Then we have also deployed a dedicated LAP team for this segment as well. So there are four dedicated teams which

Bajaj Housing Finance Limited

February 02, 2026

Page 12 of 21

have been deployed to procure this business. BT is a mix of a business which comes in largely through the direct channel somewhat also through a market intermediary facing.

Raghav: Understood. And this 35% which is affordable, will this increase or should we assume that this will remain as it is at 35%-40% of the 600 crore disbursement that you are targeting?

Atul Jain: In the short run the percentage should remain the same. But as we go further forward from here the percentage should increase. I will say short run means next 6-12 months you should assume the percentage remaining the similar what we are talking about. But as we go forward from there the percentage would increase towards the affordable. Because that is where as per our plan for next 3 years that is what we are planning.

Raghav: Understood. And any guidance as to what percentage this can increase to from 35% maybe 50% or higher? Is that something that you are planning?

Atul Jain: We will evolve. Next 12 months, 15 months we have answered. We will evolve. It will depend upon how do we experience the customer. We are first time putting up this guidance or the update on the SBU which we settled around 18 months back. Because 18 months back we started. Because we at that time also said that as we gain experience, as we get more comfortable, we will be able to take much more clearer stance and inform. Today 18 months down the line we are much more confident. That is why we are taking a view for next 12-15 months and a bigger longer term view. But the mix will continue to evolve. This is the market opportunities as well as our experience as well as what we want to do. So I will desist from giving a guidance too far forward. That says next 12 months -15 months of a mix guidance is there. Rest we remain available to encash any opportunity available in the market, it is there. So we are not guided by a particular thing.

Raghav: Fair enough. My last question. Based on your assessment so far for the affordable housing finance segment, I am not sure if you have done these calculations. But what percentage of your targeted locations overlap with areas where affordable HFCs are already operating? Is that something that you would have done?

Atul Jain: Markets will be common only, Raghav. There is no differential in the market. The catchment areas of affordable housing will remain same for whether for any other HFC or for us. They are not going to differ significantly that for us. And differ only if we go to let us say multi-year down the line, we are going very very deep geo, then it is there. As of now for us next 2-3 years, we will remain largely wherever most of the companies are there.

Raghav: Maybe if you were to go district wise. Maybe there would be districts where you don't have as many number of affordable HFCs. And some districts where the market is either oversupplied or fairly well supplied. I was just trying to understand some flavor on that.

Bajaj Housing Finance Limited

February 02, 2026

Atul Jain: You have to assume for next 1 -2 years, it will be largely the markets where

most of the players

are available. Because that is how we have started where Top 36 markets outskirts are where all the companies are there, based on where the major part of this volume is coming in and that is likely to be there for next 1 -2 years. Like I said, maybe by next year when we give a fresh flavor for 1 -2 years down the line, we can give more flavor. But as of now you should assume it is the same market.

Raghav: Okay. That is a very clear answer. Thanks a lot.

Moderator: Thank you. Next question is from the line of Sucrit Patil from Eye sight Fintrade . Please go ahead.

Sucrit Patil: Good evening to the team. I have two questions. My first question to Mr. Jain is, as housing finance market remains competitive, how does the management think about balancing growth opportunities with underwriting disciplines across core products like home loans and LAP?

What changes in borrower behavior or portfolio performance would prompt you to become more selective or adjust the growth priority? Any color on how you make these decisions internally?

Just want to understand that. That is my first question. I will ask my second question after this.

Thank you.

Atul Jain: Thanks , Sucrit. If I have understood your question, you are asking on how do we balance risk - return equation across products. That is the spirit behind the question what you are asking. See, we run an active management strategy, active risk management strategy. The products what we do are, now all products have their different roles. Within home loan as well, the prime has a different role and a near prime or a non -prime has a different role. Then affordable has a different role. It is matched by the opportunity, risk emanating from it, costs associated with it and the return. Now at a point of a time, as the management what we look at is, we are a low risk at a broad level. Our strategy construct is we are a low risk company, which is what is reflected in our risk performance over the years as well in the portfolio. So our anchor product remains always a low risk, which is a prime housing as well as a lease -rental discounting . There we always take, there we believe that kind of portfolio what we acquire is above pristine or at a pristine level portfolio, which helps us to maintain our overall risk performance of the company. At a point of a time, if a product is a risk challenge or a return challenge, I am bringing in a question of, you were asking a question from the risk challenge point of view. I am bringing in an aspect of even a return challenge. There can be a relative weight, which shifts from one product line to another product line. But there is no conversation, which will as a management will do, saying that a risk threshold breach is acceptable in a product. There is a risk threshold for each product construct. And each product has a particular role in the overall company construct as a percentage of the company AUM . So that overall at an aggregate level, we can deliver a lower risk and a reasonable return company what we stand for. It was a theoretical question and I think I have given a theoretical answer, but I hope you would have ...

Bajaj Housing Finance Limited

February 02, 2026

Sucrit Patil: It's a very good answer. My second question to Mr. Kalani is, along the similar lines only, beyond the reported asset quality and capital metrics, what are the key indicators you track internally, such as customer repayment patterns, portfolio assessment or funding behavior that help you assess credit risk and balance sheet health ahead of what shows up on the numbers. Just want to understand a view on this, how you handle this particular issue.

Gaurav Kalani: So predominantly we look at a few metrics internally like bounce rate, how are they moving, stage -wise asset movement, how is it happening, etc. And that's why we also published some of them in the present

tation. If you look at the stage 2, which is the early indicator, the first indicator would be the bounce rate, second indicator would be stage 2, and then getting into the stage 3 side. So stage 2, if you look at, has pretty much remained in that 35 bps to 40 bps corridor. That gives us that comfort that overall across the couple of years, recency -wise also, we are pretty much okay on the asset quality side.

Repayment rates, we have discussed already, Sucrit so, repayment rates over the last 1.5 years have remained high. This year specifically have remained elevated, not just for us at an industry level. Home loans overall, if you see, whatever results have come this quarter also, if you see 18% to 20% is the repayment rate across the industry, which you would see. For us also, it's there in that corridor, around 20% rate. We have been sensing it over the last three quarters and have already factored that in, while we gave our guidance in the Q1, along with the Q1 results.

Sucrit Patil: Thank you and best of luck for the next quarter.

Atul Jain: Thanks, Sucrit .

Moderator: Thank you. Next question is from Omkar Kamtekar from Ascendancy Capital. Please go ahead.

Omkar Kamtekar: Thank you for the opportunity. The disbursement growth of 32%, will it translate similarly on the AUM side?

Atul Jain: Both are different denominators, Omkar, because the balance sheet denominator is different and the disbursement denominator is different. Then there is a factor of attrition also which comes. So, it would not be the same, it would be different, whether the disbursement base is different and growth in AUM growth. That's why 32% disbursement growth; you are seeing 23% AUM growth. And going forward also, there may or may not be a correlation on both the numbers. Omkar Kamtekar: Not growth, the split. So, 35% of the Rs. 350 crores is affordable. So, is that split also applicable on the AUM? So, how much of the AUM of the 5,000 crores?

Atul Jain: Between near prime and affordable, the disbursement would by and large translate into the same split in the AUM growth, because it's a newer portfolio.

Bajaj Housing Finance Limited
February 02, 2026

Page 15 of 21

Omkar Kamtekar: Understood. And because it's relatively new, so, I think you barely would have any specific data with respect to any credit cost in this particular book or asset quality movements. But overall, what you are seeing, say, 1-2 years down the line, because I think generally in this kind of a book, first delinquency is just coming after, 24 months or down that line. How do you see in that perspective? And how is the count of growth? The volume of growth in your prime, super prime, near prime, affordable, all these four verticals?

Atul Jain: So, Omkar, first question, what you asked on the delinquency metric. Yes, while the delinquency comes later, but the early indicators, which start becoming visible, which is a bounce rate metric, because we are the first round, what we would have booked will be 18 month or 18 MOB. So, we are seeing, we are reasonably confident on seeing the performance. That's what we had called out last year that we first see the early performance because we were new in this business. And basis that that we will take a decision to scale. Now, when we are giving an update in the current quarter, when we have taken a decision to scale it much more rapidly. We feel that that is an indicator thing that our early impact, early reading of all the early metrics is giving us a comfort to rapidly expand this portfolio. The second question I could not understand fully.

Omkar Kamtekar: So, what is the volume growth? So, approximate volume growth, because what I know, looking at some of the results in the space, some were cautious on the volume growth, some were optimistic on the volume growth in the specific segment. So, some of the affordable housing companies were saying

that they were good. Some of the near prime, they were saying that it's neutral. So, your view on the volume growth in each of the segments, the near prime, affordable, super prime, that way. How is that currently? And where do you see it moving in the, say, 12 months to 18 months? Because even the housing prices index that can be seen on the NHB side, these prices are moving up. So, how do you look at the volume growth in each of these segments?

Atul Jain: So, like we have called out near prime and affordable, we are looking to close to double the run rate in the next 12 months to 15 months. So, in both the segments and if the mix will remain 35 - 65 only between affordable and near prime, very clearly you can deduce from there, saying that we are highly optimistic of volume growth in near prime and affordable segments as we grow from 12 months to 15 months from here. That's based on because we are newer in this segment and we are in an investment mode phase. That's what gives us the confidence and this is because our size is comparatively lower in the market. As far as the prime segment or the super prime segment is concerned, to a certain extent it is linked to the market disbursement growth as well. But we have been growing our business there. We have kept on making more inroads in these segments over the last 1-1.5 years as we got new home loan leadership team on board, which is led by Jasminder for us for last 18 months. And we remain very confident of our continuing volume growth there as well, while the volume growth there in the prime and super prime segments will, to a certain extent, be linked with the market growth as well. Because there we are not a upstart, we are present in a reasonable level in the market, specifically in the top 6 markets. Their volume growth will be driven more by non-top 6 markets as well as in the top 6 markets, somewhat linked to the market growth. But net-net in all the 4 segments for the short

Bajaj Housing Finance Limited
February 02, 2026

Page 16 of 21

period, which is next 12 months to 18 months, we remain positively positive and optimistic on the volume growth in all the segments, whether prime, super prime, affordable or near prime.

Omkar Kamtekar: Just one data keeping question and on the ratios. So in this Sambhav housing SBU, you know, what are the sanction ratios or the disbursement ratios? So like if 100 cases come to you, how much would, how much would go to sanction and how much would go to disbursement? Like a waterfall for the, so far, whatever the 18 months that you have seen?

Atul Jain: But at a broad level, 55 % to 60% would get sanctioned and out of that 70% -75% would get

disbursed. But it will vary between various segments. Near prime can be very different, affordable can be very different. But at a broad level, 55 %-60% would get sanctioned out of 100 cases, which are logged in the system and 70 %-75% would get disbursed out of the whole case. Omkar Kamtekar: The cycle size currently is low. So that was great. On the rate, yields, affordable you are saying is 11 to 13. I mean, is this on the lower end or do you think that you can push this higher?

Because among the affordable HFCs that are listed, they are at the upper end of this scale that you are saying. And I mean, so do we think that we will be using our benefits and the cost and trying to gain market share by undercutting them? Or this is like a conscious, or this is just an indicative market?

Atul Jain: So, Omkar, the affordable is a very wide market. It starts from 9 %-10%, goes up to 16 %-17%. So when you see a blended rate of other district players, if you see a 13% rate, it will be a mix of a business starting from 10%, going up to 16 %-17%. Now there are various segmentation within the affordable. Since we are new in affordable, we have started the business not very long back. We are right now towards the upper end of the affo

rdable segment, which is a segment, in the segment we operate in, this is the rate what is operated by most of the companies. There is no price positioning to gain market share because the size of the market versus what we are doing is relatively, we are like in affordable, there is a formal segment which is at a better price range. We are more present in the formal segment rather than the informal segment. So segment-wise the price varies. In the same segment, we are more or less in line with all the other affordable players. But we don't operate in technically more down the line or a more different type of collateral assessment because we are yet learning the rope. So at this point of time, for the next 12 months -15 months, we will like to concentrate only on the upper end of the affordable segment. Maybe 12 months -15 months -18 months down the line, we will try to explore that. Omkar Kamtekar: Fair enough, because I felt that the yield bracket was on the lower side. So maybe we were doing this consciously to scale the book or something.

Atul Jain: We have positioned ourselves towards the formal side rather than the informal side. That is why the acquisition would be.

Moderator: Thank you. Next question is from Kunal Shah from Citigroup. Please go ahead.

Bajaj Housing Finance Limited
February 02, 2026

Page 17 of 21

Kunal Shah: Hi. So most of the questions are answered. Just want to check a couple of things. Firstly, when you look at it in terms of the other income, so is it primarily from the assigned loans or is there something else, maybe 90 -odd crores in Q3 and almost like Rs. 133 crores for the 9 months? So is this because the off-book AUM is also going up during the quarter?

Atul Jain: So 90 crores for the quarter is largely driven by the income of derecognized loans versus the Q3 FY'25, which was lower. But however, for 9 -months comparison, it is almost the same levels of FY'25 to FY '26. Because there is a timing differential. Last year, I think Q1 and Q2 were heavier on the assignment. This year, Q3 was heavier on assignment. So on a year -on-year basis, the assignment income remains almost the same. But on a quarter -on-quarter basis, you are seeing a much more uptick in the current year.

Kunal Shah: So in terms of the guidance, what you had suggested that there would be pressure on margins because of the lower reliance on assignment during this particular fiscal, do we see because I think there is a large chunk which is gained during this quarter, so do we expect that to continue even in the 4th Quarter and the impact on margins may not be so high?

Atul Jain: There are two parts, Kunal, why we do the assignment. One is the ALM match, which is where the assignment is there. However, we had called out in the Q1 saying that ALM match, not driven by ALM match, but we like to do a lower assignment for the year to leverage the capital position more. However, we had also called out because if there is an opportunity to grow more in the non -home loan segment to maintain our PBC criteria, we will not cap the business in the non-home loan, but then assign out. So for Q3, we had to assign out or we followed the policy strategy of assigning non -home loans more because the home loan growth, as you are seeing from an AUM, was 18% driven by much more higher attrition, but at overall part, we are growing at 23%. Then we would have been in a problem in the PBC criteria, that's why we assigned more in the Q3. For Q4, depending upon the home loan growth versus the non -home loan growth opportunity, that will determine the assignment of strategy, whether we do less or more, will be more driven by a home loan AUM growth versus a non -home loan AUM growth factor.

Kunal Shah: Got it. And when we look at NTI for first 9 months compared to last year's first 9 months, my calculation suggests that it's down by hardly like 6 odd basis points and we are

still guiding for

maybe NIMs expected to moderate by 15 to 20 odd basis points. So what exactly is the number?

So if you can just highlight 9 months NIM compared or maybe the NTI which you indicate in the guidance to F Y'25 number, then 9 months F Y'25 number.

Gaurav Kalani : So you are right Kunal, as of now we are trending in 4% corridor over the last 8 quarters, I mean 3.95 to 4% in that corridor. While we had guided for full year 15 -20 basis points, looking at the first 2 quarters we had done lesser assignments considering how we see the attrition happening and accordingly we saw first 2 quarters at 24% growth. This quarter we did relatively higher assignment than what we had done in the initial 2 quarters. From here looking at full year, I believe 8 -10 basis points of compression would still happen on the NTI level for the full year. I am talking of F Y'25 versus F Y'26.

Bajaj Housing Finance Limited
February 02, 2026

Page 18 of 21

Kunal Shah: Okay, so it would be 8 -10 versus the guidance which was there of 15 -20 which has been indicated.

Gaurav Kalani : Correct.

Kunal Shah: Okay, so we have not revised that actually in the assessment for FY' 26.

Gaurav Kalani: We will have to see how attrition plays out and also the acquisition. The attrition pressure continues and accordingly as we see the disbursement growth happening and the AUM growth, accordingly we will plan for assignment in the 4th Quarter.

Kunal Shah: Got it. But I would say maybe home loans as a category would any way s be growing relatively slower compared to that of LRD, LAP and the other segments. So maybe the reliance on assignment will still continue to be high given this kind of scenario of active competition or maybe you are seeing anything in particular in terms of the sanctions , which is giving you the confidence that maybe still that assignment could continue to be low ?

Atul Jain: So Kunal, we are hoping for that our home loan teams will disburse far more than what they are disbursing. So they will grow much faster. So that is what we are hoping for but we are ready for a plan B which is if our non -home loan businesses continue to grow at the pace.

Kunal Shah: Then we will assign. Okay, got it. That helps. Thank you.

Moderator: Thank you. Next question is from the line of Bobby Jay from Prunes Investments . Please go ahead.

Bobby Jay: Hello. On Slide # 17, you have your medium term growth as 24 % to 26% and your FY '26 is 21% to 23%. So what is going to change over the medium term, you think, given that the level of competitive intensity is expected to be high?

Atul Jain: Hi, Bobby. We had called out clearly when we gave a guidance for 21 %-23% for the current year versus the medium -term growth guidance. The medium term growth guidance had two factors. One, at that point of a time, the basis of disbursements we were growing and the attrition which was there and our own strategy to keep on gaining market share in home loans. The medium term guidance stand because that's what we believe we can deliver in t he long run or a medium run. That is also dependent upon that what we said that 12 % to 14% kind of an industry growth. Now 21 to 23, we guided lower for the current year because after the rate cut cycle started and specifically towards nearer to June, we s aw a significant uptick in the attrition pressure which was led by largely balanced transfer out to banks. Our assessment is as the interest rate cycle gets normalized, which we had earlier estimated to get normalized by December or Jan uary of this year because we were not factoring in another cut in November which came. As the interest rate cycle gets stabilized, the attrition pressure will go down and if we continue to maintain our disbursement growth which is subject to industry continue to grow

Bajaj Housing Finance Limited
February 02, 2026

Page 19 of 21

at 12% to 14% which is the only delta fact

or what we have in our assessment, we believe we can go back to the medium term guidance what we have given. So that's the mathematics behind the medium term to the current year.

Bobby Jay: The medium term is what, 10 years or 5 years?

Atul Jain: The me dium term we take 3 to 4 years.

Bobby Jay: 3-4 years, okay. But you said that the competitive intensity was a feature of the industry, not really something that just happens for one year. So despite that, you think you can grow at this rate?

Atul Jain: Yes, so when I say the feature of the market, yes, competitive pressure in terms of pricing is a feature of the market but the attrition pressure with time when the rate stabilizes. See, one is acquisition which is a feature, acquisition pricing competitiv eness which is a feature of the market which is what we factor in will always remain. However, the second factor which is in a declining interest rate scenario which the same factor multiplies by triggering much more attrition. As the interest rate stabili zes, the second factor of a much higher attrition goes off while the acquisition remains a feature. It's not a novelty, it remains a feature. So that's how as the interest rate stabilizes or maybe at a point of a time when they start going up, the attrition

pressure comes down significantly while for acquisition pressure remains the same. So right now today we are experiencing both sides. Acquisition pressure in the front end because of a pricing being a feature not a novelty but along with the declining in interest rate scenario, it is triggering a much higher attrition pressure on the book.

Bobby Jay: Okay, I understand and what percent of your loans did you disburse through a direct assignment this quarter?

Atul Jain: Direct assignment? We assign out after acquisition. We don't do any co-lending in that sense. We don't disburse in co-lending.

Bobby Jay: Not co-lending, but you directly sold the loans, right? Rather than wait for the loans to mature?

Atul Jain: Yes, so that is assignment is done post acquisition which is largely of a non-home loan total of 3,470 odd quarter loans got assigned out during the quarter.

Bobby Jay: So what percent is that approximately?

Atul Jain: For total balance sheet, this will be close to 2.5%. Total balance sheet is close to 2.5% of Rs. 1,33,000 crore, Rs. 3,500 crores would be 2.6% of the total balance sheet.

Bobby Jay: Okay, that's helpful. Alright, thank you very much.

Bajaj Housing Finance Limited

February 02, 2026

Page 20 of 21

Moderator: Thank you. Next question is from line of Shubhranshu Mishra from PhilipCapital. Please go ahead.

Shubhranshu Mishra: Hi, thanks for the opportunity again. Two questions. I think there have been a couple of promotions within Bajaj Housing. Can you please introduce the broader team of new business heads now? Second is, how does the Sambhav distribution team or the sourcing team look like? Like how many front end guys, how many credit guys, how many collection guys? If you can spell out that architecture? Great, thank you.

Atul Jain: Shubhranshu, there is no new change which has happened in the organization. The organization, the way it is structured, if you refer to our presentation, which is put up on the, as a part of Investor deck, the Company broadly operates in three verticals. One is the Prime vertical. Prime vertical is headed by Jasvinder. As I called out and he was introduced in earlier calls as well. He used to be with ICICI Mortgages for a long period of time. He leads our entire Prime vertical, whether Home Loan or LAP. The entire support structure, enabling structure of the Prime team works with him to deliver the outcome, what is the volume. His role is volume scale and low risk. That's what he is delivering for the Company. Near Prime and Affordable is the second vertical for the Company, which is what we started as SBU 18 months back.

Mr. Pawan Bhansali,

leads that vertical. He has been leading the vertical ever since we started setting up this vertical. Again, the enabling functions work with him to deliver this. Third vertical of the company is commercial, which is headed by Vipin Arora, who leads the commercial vertical, which incorporates both Vipin and Dushyant Poddar, who heads our Construction Finance Business, leads as an overall commercial vertical, Lease Rental Discounting and Construction Finance. There are three verticals of the Company at a business level, but there is no recent change in the Company. So I am not sure what you are referring for. If you are referring to LinkedIn, that is part of a normal career progression. After a time, there is somebody who gets upgraded or up there. But no role change or no material role change. We keep on organizing and reorganizing our business. Recently, we reorganized our direct business entirely under one umbrella. But there is no Org. design change, which has happened in the recent past, Shubhranshu. The second part of the question was on terms of a number of people differently in the front-end and in the back-end, I will request Pawan to answer. So collections as of today, because you asked for the DMS also in near-prime, collections, we run a horizontal structure, which is our DMS at a Company-level structure, barring commercial, because commercial runs at the relationship level. Other than that, for front-end?

Pawan Bhansali: For sales team, for Sambhav, we have around 600 odd employees are there.

Atul Jain: So almost close to 900 odd people.

Pawan Bhansali: So that is on front-end, direct including there is 900. And then followed by credit and operations team, which is again 150 odd people are there. And collection, as we said, right now it is horizontal.

Bajaj Housing Finance Limited

February 02, 2026

Page 21 of 21

Shubhranshu Mishra: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will take one last question from the line of Omkar Kamtekar from Ascendancy Capital. Please go ahead.

Omkar Kamtekar: Thank you for the follow-up. Just one statistic. What was the individual housing loan percentage of the total portfolio?

Atul Jain: IHL as per definition of NHB was 50.71%, as of 31st of December.

Omkar Kamtekar: Thank you. That is it.

Moderator: Thank you very much and now I hand the conference over to Mr. Viral Shah for closing comments.

Viral Shah: Thank you, Atul, Gaurav and Bajaj housing team. Atul, do you want to make any closing comments?

Atul Jain: Viral , we only wish to extend our thanks to all the participants for listening to us on the call .

Viral Shah: Thank you.

Moderator: Thank you very much. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2026

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